

**Waterloo Community School District  
Waterloo, Iowa**

**Annual Comprehensive  
Financial Report**

**For the Fiscal Year Ended June 30, 2022**

**Waterloo Community School District  
Waterloo, Iowa**

**Annual Comprehensive  
Financial Report**

**For the Fiscal Year Ended June 30, 2022**

**Submitted By: Financial Services  
Michael Coughlin, Chief Financial Officer**

# Waterloo Community School District

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November 03, 2022

To the Board of Education and Citizens Waterloo Community School District

State law requires that all general-purpose local governments publish a complete set of financial statements presented in conformity with accounting principles and auditing standards generally accepted within the United States of America. Pursuant to that requirement, we hereby formally issue and transmit the comprehensive annual financial report (CAFR) for Waterloo Community School District for the fiscal year ended June 30, 2022.

This report consists of management's representations concerning the finances of Waterloo Community School District. Consequently, management assumes full responsibility for the completeness and reliability of all the information presented in this report. To provide a reasonable basis for making these representations, management of Waterloo Community School District has established a comprehensive internal control framework that is designed both to protect the District's assets from loss, theft or misuse and to compile sufficient reliable information for the preparation of Waterloo Community School District's financial statements in conformity with accounting principles generally accepted in the United States of America (GAAP). Because the cost of internal controls should not outweigh their benefits, Waterloo Community School District's comprehensive framework of internal controls has been designed to provide reasonable rather than absolute assurance that the financial statements will be free from material misstatement. As management, we assert that, to the best of our knowledge and belief, this financial report is complete and reliable in all material respects.

BerganKDV, Ltd., a firm of licensed certified public accountants, has audited Waterloo Community School District's financial statements. The goal of the independent audit was to provide reasonable assurance that the financial statements of Waterloo Community School District for the fiscal year ended June 30, 2022, are free of material misstatement. The independent audit involved examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements; assessing the accounting principles used and significant estimates made by management; and evaluating the overall financial statement presentation. The independent auditor concluded, based upon the audit, that there was a reasonable basis for rendering an unmodified opinion that Waterloo Community School District's financial statements for the fiscal year ended June 30, 2022, are fairly presented in conformity with GAAP. The independent auditor's report is presented as the first component of the financial section of this report.

The independent audit of the financial statements of Waterloo Community School District was part of a broader, federally mandated "Single Audit" designed to meet the special needs of federal grantor agencies. The standards governing Single Audit engagements require the independent auditor to report not only on the fair presentation of the financial statements, but also on the audited government's internal controls and compliance with legal requirements involving the administration of federal awards. These reports are available in Waterloo Community School District's separately issued compliance report.

GAAP requires that management provide a narrative introduction, overview and analysis to accompany the basic financial statements in the form of Management's Discussion' and Analysis (MD&A). This letter of transmittal is designed to complement MD&A and should be read in conjunction with it. Waterloo Community School District's MD&A can be found immediately following the report of the independent auditors.

## **Profile of Waterloo Community School District**

Waterloo Community School District is governed by a seven-member elected Board of Education who serve four- year terms. The Board of Education is a policy-making and planning body whose decisions are carried out by school administrators. Waterloo Community School District is the eighth largest of Iowa's public schools. The enrollment is 10,680 students. Enrollment is expected to maintain for the 2022-23 school year based on the stability of instruction format that is recovering from necessary Covid 19 procedures. Waterloo Community School District operates a total of two regular high schools, one alternative high school, one Career Technical Education Center, four middle schools, eleven elementary schools and various preschool locations. School buildings range in age from over 90 years old to a few years old. All facilities are in excellent condition as a rigorous maintenance schedule is followed. Waterloo Community School District provides a full range of educational services appropriate to students in early childhood and grades kindergarten through twelve. These services include regular and enriched academic education, special education for children with special needs, career technical education center and numerous individualized programs such as specialized instruction for at-risk students, for limited-English-speaking students and the International Baccalaureate program.

This report includes all funds of Waterloo Community School District. The District has no material component units and is not a component of another entity. The District provides a full range of services including instructional, administrative, transportation, food service, maintenance of sites and facilities, custodial, clerical, extra-curricular, co-curricular athletic and community education.

Waterloo Community School District maintains budgetary controls. The objective of these budgetary controls is to ensure compliance with legal provisions embodied in the annual appropriated budget approved by the Board of Education. Activities of the general fund, debt service fund, special revenue funds, capital projects fund and enterprise fund are included in the annual appropriated budget. The level of budgetary control (that is, the level at which expenditures cannot legally exceed the appropriated amount) is established at the function level for all funds combined rather than at the individual fund level. During the year ended June 30, 2022, Waterloo Community School District did not exceed the amount budgeted in the function areas of Instruction, Support Services and Noninstructional Programs and did not exceed its general fund unspent authorized budget. The district did exceed the Other Expenditure budget due to long term bond refinancing.

Annually, Waterloo Community School District's Board of Education adopts a budget and approves the appropriations for the general fund, debt service fund, special revenue funds, capital projects fund and enterprise fund in accordance with provisions outlined in the Statutes of the State of Iowa. The budgets are prepared on a modified accrual basis. During the fiscal year, monthly financial reports are prepared comparing the budget to actual receipts and disbursements of the various funds.

## **Relevant financial policies**

Waterloo Community School District operates under the laws as defined in the *Code of Iowa* and policies as determined by the local Board of Education. A comprehensive accounting system is promulgated by the Iowa Department of Education including account numbers for revenue and expenditures by function and object. The District additionally tracks revenue by source of funds and expenditures by location, curricular program and funding source. Annual budgets are provided to the Department of Management and annual financial reports are provided to the Iowa Department of Education in their prescribed formats. Periodic financial reports are submitted to the Iowa Department of Education or other granting agencies for many federal and state grants.

Waterloo Community School District's Board of Education takes its fiduciary responsibility very seriously. It has adopted policies defining a budgeting process, financial reporting, purchasing, facilities planning, insurance and cash management. Idle cash is invested in Board-approved allowable investments which include certificates of deposit, money markets, pooled investment trusts and obligations of the United States Treasury or its agencies. A quarterly investment report is provided indicating performance of investments to a comparative benchmark.

## **Pandemic Federal Funding**

In fiscal year 2021-22, the district experienced unprecedented federal financial support to recover from the effects of the Covid 19 pandemic. Funding to cover health and safety needs, technology needs and student instructional support was enacted by congress. Waterloo qualified to receive over \$51 million by June 2024. This funding has enabled the district to initiate and continue necessary efforts to address student achievement needs, technology upgrades, staff retention efforts and student and staff health and safety with facility sanitation practices.

### **Local economy and economic outlook**

The economic condition and outlook of Waterloo Community School District have improved in recent years, following many years of declining enrollment and slow economic growth. Waterloo Community School District's total taxable property valuation declined during the 1980's to \$1,520,527,165 in 1989-90. Since then the total taxable property valuation has risen to \$2,782,371,960 in 2021-22. However, the taxable valuation has been impacted by state mandated rollback in taxable valuation. The taxable valuation is currently 56.9094% of the assessed valuation for property. Commercial property is taxed at 90% of the total valuation. The valuation of commercial property is approximately 30% of district property.

### **Long-term financial planning**

Waterloo Community School District is located in Black Hawk County. There is a statewide pool, with participating counties contributing tax revenue and then receiving back an allocation based on student enrollment. This funding is now known as secure an advanced vision for education (SAVE). All ninety-nine counties in Iowa currently have the one-cent local option tax for school districts. The Iowa legislature has enacted the program as permanent throughout the state, rather than individually by county. Community input as well as professional analysis has been taken into consideration for the overall plan of construction and remodeling. Retail sales have remained relatively stable during the uncertainty of the pandemic and hopes are that as the pandemic issues are addressed, they are projected to continue in favorable status. A recent analysis of retail sales that provide SAVE funding for capital projects, saw an increase of 18.3% over the 2020-21 school year.

### **Major initiatives**

On June 30, 2015, voters of the District approved the continuation of the property, plant and equipment property tax levy (PPEL) for another ten years through fiscal year 2027. The levy passed with 81% approval.

For the 2015-2016 school year, Waterloo West and East High Schools were initially approved and continue as International Baccalaureate (IB) Schools. IB Schools have access to high-quality programs of education, which support development of knowledgeable and inquiring students, professional development that supports effective educators and collaborative professional learning communities and a worldwide network of highly respected 18 Schools working together to share best practice.

It is the District's quest to provide the best education for their students and ensure each child has a promising and fulfilling future. The District is seeking an expanded opportunity for their high schools. The work done by the High School Reform Task Force and Reform Steering Committee members and District staff over the past 4 years has provided recommendations to greatly enhance offerings in the area of career and technical education in the District by reengaging students at higher levels while setting them on a course to be better prepared for life after high school. Staff and community came together to determine the best course for District students through the following committees and initiatives:

The District has implemented 18 career and technical education programs in phases over the past 3-4 years and have remodeled and expanded the Central Middle School facility to house these career and technical education programs.

### **Awards and acknowledgements**

Waterloo Community School District received the Certificate of Excellence in Financial Reporting from the Association of School Business Officials (ASBO) for the twenty-fifth consecutive year for the fiscal year ended June 30, 2021. Upon recommendation of the Association's Panel of Review, which has judged that the report substantially conforms to principles and standards of ASBO's Certificate of Excellence Program, we are submitting this report to ASBO to determine its eligibility for another certificate.

The Government Finance Officers Association of the United States and Canada (GFOA) presented the Award of Financial Reporting Achievement to Waterloo Community School District for its comprehensive annual financial report for the fiscal year ended June 30, 2021. This was the twenty-fifth consecutive year the District has achieved this prestigious award. In order to be awarded a certificate of achievement, a government must publish an easily readable and efficiently organized comprehensive annual financial report. This report must satisfy both generally accepted accounting principles and applicable legal requirements.

The certificate of achievement is valid for a period of one year only. We believe our current comprehensive annual financial report continues to meet the GFOA's Achievement Program requirements, and we are submitting it to the GFOA to determine its eligibility for another certificate.

The preparation of this report on a timely basis could not have been accomplished without the efficient and dedicated efforts of the Financial Services staff of Waterloo Community School District. We would like to express our appreciation to all who assisted and contributed to this report with a special thanks to Nancy Schulzetenberg, CPA of BerganKDV, Ltd and the audit team. Also, appreciation is expressed for the interest and support of the Board of Education in conducting the financial operations of the District in a most responsible and progressive manner.

Michael L. Coughlin  
Chief Financial Officer/Treasurer

**Waterloo Community School District  
Certificate of Achievement for Excellence in Financial Reporting**



Government Finance Officers Association

**Certificate of  
Achievement  
for Excellence  
in Financial  
Reporting**

Presented to

**Waterloo Community School District  
Iowa**

For its Annual Comprehensive  
Financial Report  
For the Fiscal Year Ended

June 30, 2021

*Christopher P. Morill*

Executive Director/CEO

**Waterloo Community School District  
Award of Financial Reporting Achievement**



**The Certificate of Excellence in Financial Reporting  
is presented to**

**Waterloo Community School District**

**for its Annual Comprehensive Financial Report  
for the Fiscal Year Ended June 30, 2021.**

The district report meets the criteria established for  
ASBO International's Certificate of Excellence in Financial Reporting.

A handwritten signature in black ink, appearing to read 'Will Sutter'.

**William A. Sutter  
President**

A handwritten signature in black ink, appearing to read 'David J. Lewis'.

**David J. Lewis  
Executive Director**

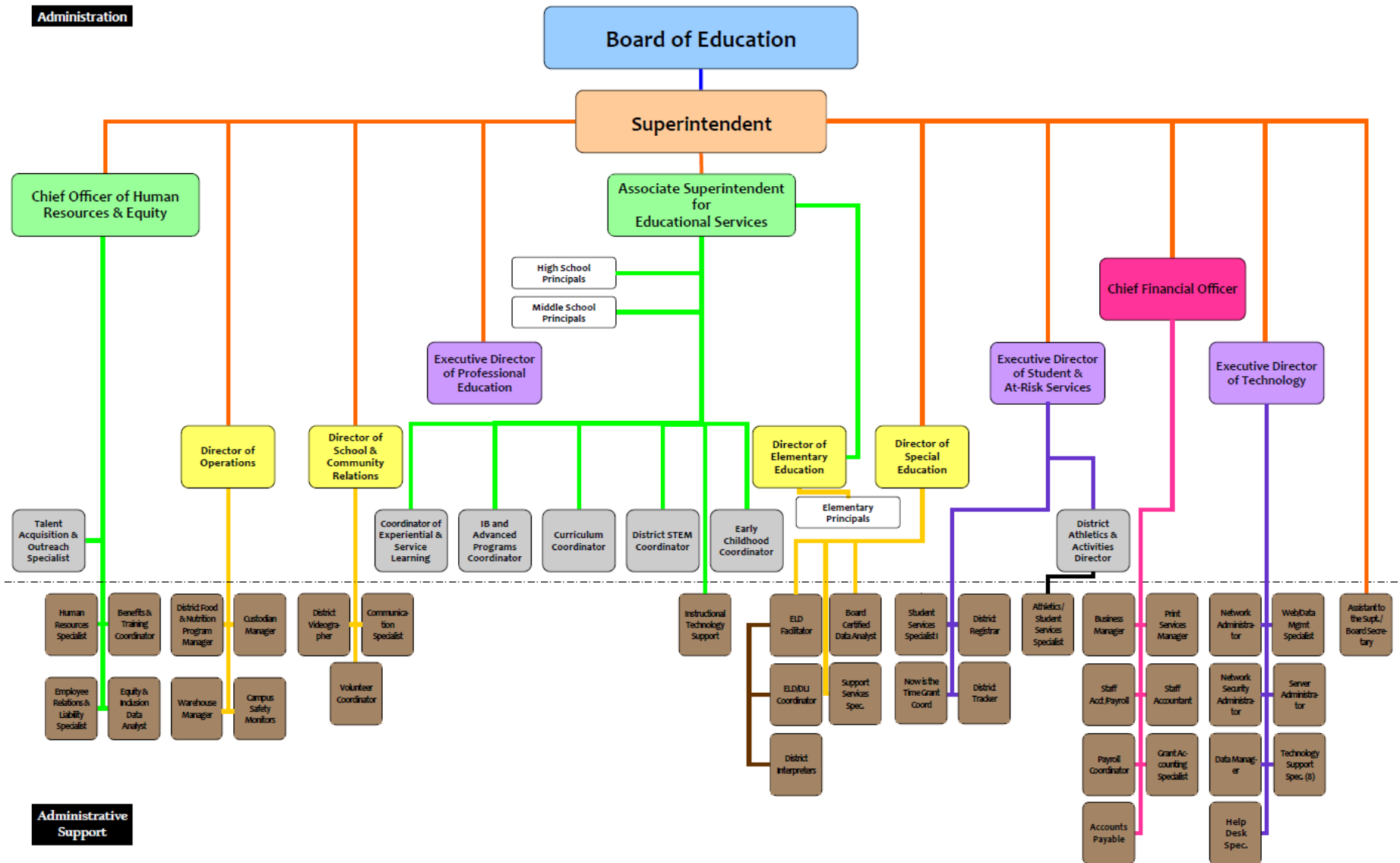
**Waterloo Community School District  
District Administration  
June 30, 2022**

|                       |                                                       |
|-----------------------|-------------------------------------------------------|
| Dr. Jane Lindaman     | Superintendent of Schools                             |
| Dr. Stephanie Mohorne | Associate Superintendent for Educational Services     |
| Kingsley Botchway II  | Chief Officer of Human Resources and Equity           |
| Michael Coughlin      | Chief Financial Officer/Treasurer                     |
| Marla Padget          | Executive Director of Student & At Risk Services      |
| Jeff Frost            | Executive Director of Professional Education          |
| Matt O'Brien          | Director of Technology                                |
| Dan Huff              | Director of Athletics & Activities                    |
| Jen Hartman           | Director of Elementary Education                      |
| Dr. Sandy Schmitz     | Director of Special Education                         |
| Marty Metcalf         | Director of Operations                                |
| Akwi Nji              | Director of School & Community Relations              |
| Joe Parker            | Principal, East High                                  |
| Andy Mieke            | Principal, West High                                  |
| Cary Wieland          | Principal, Expo Alternative Learning Center           |
| Larry Martin          | Principal, Bunger Middle School                       |
| Sheena Canady         | Principal, Carver Academy                             |
| Ross Bauer            | Principal, Central Middle School                      |
| Amy Schmidt           | Principal, Hoover Middle School                       |
| Alex Hansen           | Principal, Becker Elementary                          |
| Neldrekka Whitaker    | Principal, Cunningham School for Excellence           |
| Matt Willand          | Principal, Highland Elementary                        |
| Zach Zimmerman        | Principal, Irving Elementary                          |
| Jana Qualls           | Principal, Kingsley Elementary                        |
| Audrey Wallican-Green | Principal, Kittrell Elementary                        |
| Adam Ahrendsen        | Principal, Lincoln Elementary                         |
| Jake Young-Kent       | Principal, Lou Henry Elementary                       |
| Carrie Heinzerling    | Principal, Lowell Elementary                          |
| Sunni Hart            | Principal, Orange Elementary                          |
| Jennifer Willand      | Principal, Poyner Elementary                          |
| Dr. Charletta Sudduth | Early Childhood Coordinator                           |
| Tim Moses             | Assistant Principal/Athletic Director, East High      |
| Josh Payton           | Assistant Principal, East High                        |
| Sharrie Wright        | Assistant Principal, East High                        |
| Allie Hildman         | Assistant Principal, West High                        |
| Byron Phillips        | Assistant Principal, West High                        |
| Steve Winters         | Assistant Principal, West High                        |
| Zach O'Brien          | Assistant Principal, West High                        |
| Dr. Tony Pappas       | Athletic Director, West High                          |
| Henry Shepherd        | Assistant Principal, Expo Alternative Learning Center |
| Charlotte Coleman     | Assistant Principal, Carver Middle School             |
| Anthony Thomas        | Assistant Principal, Bunger Middle School             |
| Steve Thune           | Assistant Principal, Carver Academy                   |
| Mike Thomas           | Assistant Principal, Central Middle School            |
| Mike Landers          | Assistant Principal, Central Middle School            |
| Lori Netty            | Assistant Principal, Hoover Middle School             |
| Cassandra Hart        | Assistant Principal, Hoover Middle School             |
| Sam Kreassig          | Assistant Principal, Hoover Middle School             |
| Mikayla Montgomery    | Assistant Principal, Cunningham School for Excellence |
| Carrie Kammeyer       | Assistant Principal, Highland Elementary              |
| Melissa Stegall       | Assistant Principal, Elk Run Preschool                |

**Waterloo Community School District  
Board of Education and Administration  
June 30, 2022**

| <u>Board of Education</u>   | <u>Position</u>    | <u>Term Expires</u> |
|-----------------------------|--------------------|---------------------|
| Sue Flynn                   | President          | November 2023       |
| Endya Johnson               | Vice President     | November 2025       |
| Jesse Knight                | Board Member       | November 2023       |
| Astor Williams              | Board Member       | November 2025       |
| Lyle Schmitt                | Board Member       | November 2023       |
| Stacie Mills                | Board Member       | November 2023       |
| Janelle Ewing               | Board Member       | November 2025       |
| <br><u>School Officials</u> |                    |                     |
| Dr. Jane Lindaman           | Superintendent     | Indefinite          |
| Pam Arndorfer               | District Secretary | 2022                |
| Michael Coughlin            | District Treasurer | 2022                |
| Steve Weidner               | Attorney           | Indefinite          |
| Timothy Luce                | Attorney           | Indefinite          |

# Waterloo Community School District Organizational Chart June 30, 2022



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## **FINANCIAL SECTION**

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## **Independent Auditor's Report**

To the School Board  
Waterloo Community School District  
Waterloo, Iowa

### **Report on the Audit of the Financial Statements**

We have audited the basic financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of Waterloo Community School District, Waterloo, Iowa, as of and for the year ended June 30, 2022, and the related notes to basic financial statements, which collectively comprise the District's basic financial statements as listed in the Table of Contents.

In our opinion, the accompanying basic financial statements referred to in the first paragraph present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of Waterloo Community School District, Waterloo, Iowa, as of June 30, 2022, and the respective changes in financial position and, where applicable, cash flows thereof, for the year then ended in accordance with accounting principles generally accepted in the United States of America.

### **Basis for Opinions**

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS) and the standards applicable to financial audits contained in Government Auditing Standards, issued by the Comptroller General of the United States. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of Waterloo Community School District, Waterloo, Iowa and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

### **Management's Responsibility for the Basic Financial Statements**

The management of Waterloo Community School District is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, which raise substantial doubt about the District's ability to continue as a going concern for one year beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

## **Auditor's Responsibilities for the Audit of the Financial Statements**

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinions. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS and *Government Auditing Standards*, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, which raise substantial doubt about the District's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control–related matters that we identified during the audit.

## **Required Supplementary Information**

Accounting principles generally accepted in the United States of America require that the Management's Discussion and Analysis, which follows this report letter, and Required Supplementary information as listed in the Table of Contents be presented to supplement the basic financial statements. Such information is the responsibility of management and, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board (GASB), who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the Required Supplementary Information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

### **Supplementary Information**

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the District's basic financial statements. The accompanying supplementary information identified in the Table of Contents is presented for purposes of additional analysis and is not a required part of the basic financial statements.

Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. The information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the accompanying supplementary information is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

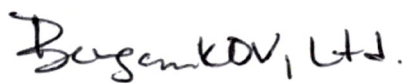
### **Other Information**

Management is responsible for the other information included in the Annual Comprehensive Financial Report. The other information comprises the introductory and statistical sections but does not include the basic financial statements and our auditor's report thereon. Our opinions on the basic financial statements do not cover the other information, and we do not express an opinion or any form of assurance thereon.

In connection with our audit of the basic financial statements, our responsibility is to read the other information and consider whether a material inconsistency exists between the other information and the basic financial statements, or the other information otherwise appears to be materially misstated. If, based on the work performed, we conclude that an uncorrected material misstatement of the other information exists, we are required to describe it in our report.

### **Other Reporting Required by *Government Auditing Standards***

In accordance with *Government Auditing Standards*, we have also issued our report dated November 7, 2022, on our consideration of the District's internal control over financial reporting and our tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements, and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control over financial reporting and compliance.



St. Cloud, Minnesota  
November 7, 2022

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## Waterloo Community School District Management's Discussion and Analysis

Waterloo Community School District provides this management's discussion and analysis of its financial statements. This narrative overview and analysis of the financial activities is for the fiscal year ended June 30, 2022. We encourage readers to consider this information in conjunction with the District's financial statements, which follow this narrative overview and analysis.

### Financial Highlights

- The assets and deferred outflows of resources of Waterloo Community School District exceeded its liabilities and deferred inflows of resources at the close of the most recent fiscal year by \$126,571,718.
- The General Fund cash, cash equivalents, receivables and investments increased 12.0% to \$54,632,496 and the General fund balance increased 20.9% to \$35,307,511.
- The State of Iowa granted a 2.40% state supplementary aid [SSA] previously known as allowable growth increase for fiscal year 2022 and previously 2.03% for 2021, 2.06% for 2020, 1.11% for 2019 and 2.25% for 2018. As a general rule, a SSA allowable growth rate of 4-6% is required to fully maintain the increases of the budget for all programs to remain constant. The past history of the allowable growth rate set between 0% and 4% has posed many challenges to the District's educational delivery system.
- In approved 2019 State Legislative action, the Secure an Advanced Vision for Education (SAVE) state one-cent sales tax which has been in effect through 2029 has been extended 20 years to 2050. The state extension guarantees longevity and ability to maintain a Facility Improvement Plan with the added ability for the District to bond against the proceeds without increasing property taxes.
- Since the original LOSST/SAVE funding began in fiscal year 1999-2000, the District has constructed ten new elementary schools, one new middle school, extensively remodeled two elementary schools, created the Waterloo Career Center and completed other significant projects.

|                                        |           |                     |
|----------------------------------------|-----------|---------------------|
| Walter Cunningham School of Excellence | 2001-2002 | New Building        |
| East High School                       | 2001-2002 | Commons Area        |
| West High School                       | 2001-2002 | Commons Area        |
| Irving Elementary                      | 2002-2003 | New Building        |
| Bunger Middle School                   | 2003-2004 | Classrooms Addition |
| Lincoln Elementary                     | 2003-2004 | New Building        |
| Lou Henry Elementary                   | 2004-2005 | New Building        |
| Hoover Middle School                   | 2004-2005 | Classrooms Addition |
| Kingsley Elementary                    | 2005-2006 | Remodel Building    |
| Lowell Elementary                      | 2004-2008 | Remodel Building    |
| Poyner Elementary                      | 2006-2007 | New Building        |
| East High School                       | 2006-2007 | Auditorium Project  |
| West High School                       | 2006-2007 | Locker Room Project |
| East High School                       | 2007-2008 | Locker Room Project |
| West High School                       | 2008-2009 | Auditorium Project  |
| George Washington Carver Academy       | 2008-2009 | New Building        |
| Kittrell Elementary School             | 2008-2009 | New Building        |
| Highland Elementary School             | 2008-2009 | New Building        |

## **Waterloo Community School District Management's Discussion and Analysis**

### **Financial Highlights (Continued)**

|                                   |           |                        |
|-----------------------------------|-----------|------------------------|
| Expo Alternative Education Center | 2010-2011 | Remodel Building       |
| Kittrell Early Childhood Center   | 2010-2011 | Remodel Building       |
| West High School                  | 2011-2012 | Remodel Classrooms     |
| Fred Becker Elementary            | 2011-2012 | New Building           |
| Orange Elementary                 | 2012-2013 | New Building           |
| Hoover Middle School              | 2012-2014 | Music and Commons Area |
| Bus Garage/Technology Offices     | 2014-2015 | Remodel Buildings      |
| Waterloo Career Center            | 2015-2020 | Remodel Building       |
| Lowell Elementary                 | 2020-2022 | New Building           |
| Waterloo Career Center            | 2021-2023 | Building Expansion     |
| Central Middle School             | 2022-2023 | Building Remodel       |

### **USING THIS ANNUAL REPORT**

The annual report consists of a series of financial statements and other information, as follows:

Management's discussion and analysis introduces the basic financial statements and provides an analytical overview of the District's financial activities.

The government-wide financial statements consist of a statement of net position and a statement of activities. These provide information about the activities of Waterloo Community School District as a whole and present an overall view of the District's finances.

The fund financial statements tell how governmental services were financed in the short term as well as what remains for future spending. Fund financial statements report Waterloo Community School District's operations in more detail than the government-wide statements by providing information about the most significant funds. The remaining financial statements provide information about activities for which Waterloo Community School District acts solely as a custodian for the benefit of those outside of the District.

Notes to the financial statements provide additional information essential to a full understanding of the data provided in the basic financial statements.

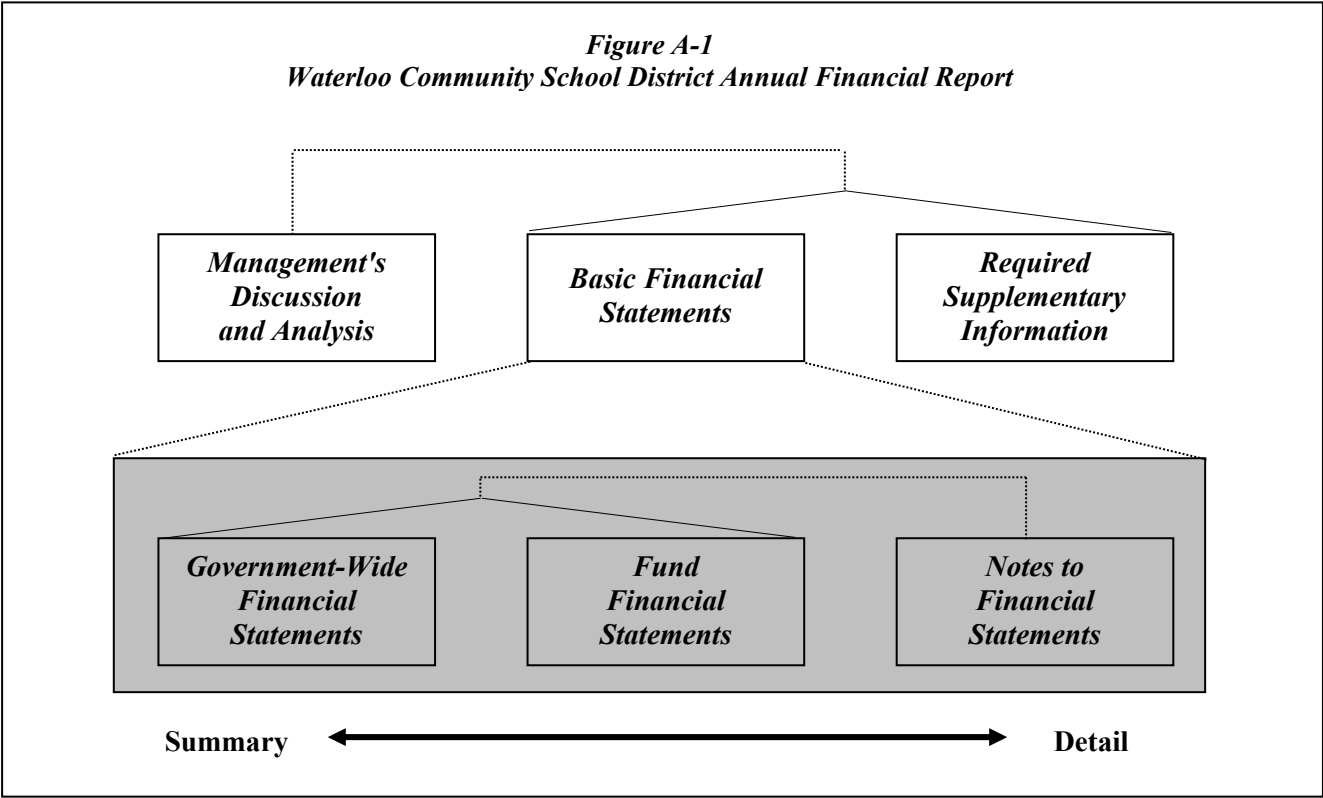
Required supplementary information further explains and supports the financial statements with a comparison of the District's budget for the year, the District's proportionate share of the net pension liability and related contributions, as well as presenting the schedule of changes in total OPEB liability for the retiree health plan.

Supplementary information provides detailed information about the nonmajor governmental funds.

**Waterloo Community School District  
Management's Discussion and Analysis**

**USING THIS ANNUAL REPORT (CONTINUED)**

Figure A-1 shows how the various parts of this annual report are arranged and relate to one another.



# Waterloo Community School District Management's Discussion and Analysis

## USING THIS ANNUAL REPORT (CONTINUED)

Figure A-2 summarizes the major features of the District's financial statements, including the portion of the District's activities they cover and the types of information they contain.

| <p style="text-align: center;"><b>Figure A-2</b><br/><b>Major Features of the Government-Wide and Fund Financial Statements</b></p> |                                                                                                                  |                                                                                                                                                                                                         |                                                                                                                                                                                             |                                                                                                                                                   |
|-------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------|
|                                                                                                                                     | Government-Wide Statements                                                                                       | Fund Statements                                                                                                                                                                                         |                                                                                                                                                                                             |                                                                                                                                                   |
|                                                                                                                                     |                                                                                                                  | Governmental Funds                                                                                                                                                                                      | Proprietary Funds                                                                                                                                                                           | Fiduciary Funds                                                                                                                                   |
| Scope                                                                                                                               | Entire District (except fiduciary funds)                                                                         | The activities of the District that are not proprietary or fiduciary, such as special education and building maintenance                                                                                | Activities the District operates similar to private businesses: food services and internal services                                                                                         | Instances in which the District administers resources on behalf of someone else, such as scholarship programs and agency monies                   |
| Required financial statements                                                                                                       | <ul style="list-style-type: none"> <li>• Statement of net position</li> <li>• Statement of activities</li> </ul> | <ul style="list-style-type: none"> <li>• Balance sheet</li> <li>• Statement of revenue, expenditures and changes in fund balances</li> </ul>                                                            | <ul style="list-style-type: none"> <li>• Statement of net position</li> <li>• Statement of revenue expenses, and changes in fund net position</li> <li>• Statement of cash flows</li> </ul> | <ul style="list-style-type: none"> <li>• Statement of fiduciary net position</li> <li>• Statement of changes in fiduciary net position</li> </ul> |
| Accounting basis and measurement focus                                                                                              | Accrual accounting and economic resources focus                                                                  | Modified accrual accounting and current financial resources focus                                                                                                                                       | Accrual accounting and economic resources focus                                                                                                                                             | Accrual accounting and economic resources focus                                                                                                   |
| Type of asset/liability information                                                                                                 | All assets and liabilities, both financial and capital, short-term and long-term                                 | Generally assets expected to be used up and liabilities that come due during the year or soon thereafter; no capital assets or long-term liabilities included                                           | All assets and liabilities, both financial and capital and short-term and long-term                                                                                                         | All assets and liabilities, both short-term and long-term; funds do not currently contain capital assets, although they can                       |
| Type of deferred outflow/inflow information                                                                                         | Consumption/acquisition of net assets that is applicable to a future reporting period                            | Consumption/acquisition of fund balance that is applicable to a future reporting period                                                                                                                 | Consumption/acquisition of net assets that is applicable to a future reporting period                                                                                                       | Consumption/acquisition of net assets that is applicable to a future reporting period                                                             |
| Type of inflow/outflow information                                                                                                  | All revenue and expenses during year, regardless of when cash is received or paid                                | Revenue for which cash is received during or soon after the end of the year; expenditures when goods or services have been received and the related liability is due during the year or soon thereafter | All revenue and expenses during the year, regardless of when cash is received or paid                                                                                                       | All additions and deductions during the year, regardless of when cash is received or paid                                                         |

## **Waterloo Community School District Management's Discussion and Analysis**

### **REPORTING THE DISTRICT'S FINANCIAL ACTIVITIES**

#### **Government-Wide Financial Statements**

The government-wide financial statements report information about the District as a whole using accounting methods similar to those used by private-sector companies. The statement of net position includes all of the District's assets, deferred outflows of resources, liabilities and deferred inflows of resources, with the difference reported as net position. All of the current year's revenue and expenses are accounted for in the statement of activities, regardless of when cash is received or paid.

The two government-wide financial statements report the District's net position and how it has changed. Net position is one way to measure the District's financial health or financial position. Over time, increases or decreases in the District's net position is an indicator of whether financial position is improving or deteriorating. To assess the District's overall health, additional nonfinancial factors, such as changes in the District's property tax base and the condition of school buildings and other facilities, need to be considered.

In the government-wide financial statements, the District's activities are divided into two categories:

- *Governmental activities:* Most of the District's basic services are included here, such as regular and special education, transportation and administration. Property tax and state aid finance most of these activities.
- *Business-type activities:* The District charges fees to help cover the costs of certain services it provides. The District's school nutrition program is included here.

#### **Fund Financial Statements**

The fund financial statements provide more detailed information about the District's funds, focusing on its most significant or "major" funds – not the District as a whole. Funds are accounting devices the District uses to keep track of specific sources of funding and spending on particular programs.

Some funds are required by state law and by bond covenants. The District establishes other funds to control and manage money for particular purposes, such as accounting for student activity funds or to show it is properly using certain revenue such as federal grants.

The District has three kinds of funds:

1. *Governmental Funds:* Most of the District's basic services are included in governmental funds, which generally focus on (a) how cash and other financial assets that can readily be converted to cash flow in and out and (b) the balances left at year end that are available for spending. Consequently, the governmental fund statements provide a detailed short-term view that helps determine whether there are more or fewer financial resources that can be spent in the near future to finance the District's programs.

## **Waterloo Community School District Management's Discussion and Analysis**

### **REPORTING THE DISTRICT'S FINANCIAL ACTIVITIES (CONTINUED)**

#### **Fund Financial Statements (Continued)**

1. *Governmental Funds (Continued)*: The District's governmental funds include the General Fund, the Special Revenue Funds, the Debt Service Fund and the Capital Projects Fund.

The required financial statements for governmental funds include a balance sheet and a statement of revenue, expenditures, and changes in fund balances.

2. *Proprietary Funds*: Services for which the District charges a fee are generally reported in proprietary funds. Proprietary funds are reported in the same way as the government-wide financial statements. The District's enterprise fund, one type of proprietary fund, is the same as its business-type activities, but provides more detail and additional information, such as cash flows. The District's enterprise fund is the School Nutrition Fund. Internal service funds, the other type of proprietary fund, are optional and available to report activities that provide supplies and services for other District programs and activities. The District's internal service fund is the Print Shop Fund.

The required financial statements for proprietary funds include a statement of net position, a statement of revenue, expenses and changes in fund net position and a statement of cash flows.

3. *Fiduciary Funds*: The District is the trustee, or fiduciary, for assets that belong to others. These funds include the Private-Purpose Trust and Custodial Funds.

The Private-Purpose Trust Fund is used to account for outside donations for scholarships for individual students.

The Custodial Fund is used to account for assets held by the District as a custodian for individuals and committees within the District for various designated purposes.

The District is responsible for ensuring that the assets reported in the fiduciary funds are used only for their intended purposes and by those to whom the assets belong. The District excludes these activities from the government-wide financial statements because it cannot use these assets to finance its operations.

The required financial statements for fiduciary funds include a statement of fiduciary net position and a statement of changes in fiduciary net position.

Reconciliations between the government-wide financial statements and the governmental fund financial statements follow the governmental fund financial statements.

# Waterloo Community School District Management's Discussion and Analysis

## GOVERNMENT-WIDE FINANCIAL ANALYSIS

Figure A-3 below provides a summary of the District's net position as of June 30, 2022, compared to June 30, 2021.

**Figure A-3  
Condensed Statement of Net Position**

|                                                                      | Governmental Activities |                | Business- Type Activities |              | Total District |                | Percent<br>Change |
|----------------------------------------------------------------------|-------------------------|----------------|---------------------------|--------------|----------------|----------------|-------------------|
|                                                                      | June 30,                |                | June 30,                  |              | June 30,       |                |                   |
|                                                                      | 2022                    | 2021           | 2022                      | 2021         | 2022           | 2021           |                   |
| Current and other assets                                             | \$ 138,431,776          | \$ 143,914,700 | \$ 2,303,482              | \$ 1,662,488 | \$ 140,735,258 | \$ 145,577,188 | -3.33%            |
| Capital assets                                                       | 190,811,946             | 177,750,303    | 418,770                   | 310,005      | 191,230,716    | 178,060,308    | 7.40%             |
| Total assets                                                         | 329,243,722             | 321,665,003    | 2,722,252                 | 1,972,493    | 331,965,974    | 323,637,496    | 2.57%             |
| Deferred outflows of resources                                       | 13,665,005              | 19,808,913     | 292,205                   | 446,743      | 13,957,210     | 20,255,656     | -31.09%           |
| Total assets and deferred outflows<br>of resources                   | \$ 342,908,727          | \$ 341,473,916 | \$ 3,014,457              | \$ 2,419,236 | \$ 345,923,184 | \$ 343,893,152 | 0.59%             |
| Current liabilities                                                  | \$ 31,091,005           | \$ 60,969,479  | \$ 244,221                | \$ 228,604   | \$ 31,335,226  | \$ 61,198,083  | -48.80%           |
| Long-term liabilities                                                | 92,621,612              | 138,071,357    | 325,697                   | 2,100,199    | 92,947,309     | 140,171,556    | -33.69%           |
| Total liabilities                                                    | 123,712,617             | 199,040,836    | 569,918                   | 2,328,803    | 124,282,535    | 201,369,639    | -38.28%           |
| Deferred inflows of resources                                        | 93,703,962              | 42,699,408     | 1,364,969                 | 83,175       | 95,068,931     | 42,782,583     | 122.21%           |
| Net position                                                         |                         |                |                           |              |                |                |                   |
| Net investment in capital<br>assets                                  | 109,621,979             | 98,605,122     | 418,770                   | 310,005      | 110,040,749    | 98,915,127     | 11.25%            |
| Restricted                                                           | 38,257,626              | 41,587,651     | -                         | -            | 38,257,626     | 41,587,651     | -8.01%            |
| Unrestricted                                                         | (22,387,457)            | (40,459,101)   | 660,800                   | (302,747)    | (21,726,657)   | (40,761,848)   | -46.70%           |
| Total net position                                                   | 125,492,148             | 99,733,672     | 1,079,570                 | 7,258        | 126,571,718    | 99,740,930     | 26.90%            |
| Total liabilities, deferred inflows of resources<br>and net position | \$ 342,908,727          | \$ 341,473,916 | \$ 3,014,457              | \$ 2,419,236 | \$ 345,923,184 | \$ 343,893,152 | 0.59%             |

The District's total net position increased 26.9%, or \$26,830,788, from the prior year. The primary reason for the increase was a decrease in the net pension liability due to changes in actuarial assumptions.

The largest portion of the District's net position is invested in capital assets (e.g., land, buildings and equipment), less the related debt. The debt related to the investment in capital assets is liquidated with resources other than capital assets. The primary reason for the increase in Capital Assets is the additions of Lowell Elementary School and Central Middle School offset by continued depreciation on existing assets.

Restricted net position represents resources subject to external restrictions, constitutional provisions or enabling legislation on how they can be used. The District's restricted net position decreased \$3,330,025, or 8.0%, over the prior year due to increased spending on capital projects.

Unrestricted net position - the part of net position that can be used to finance day-to-day operations without constraints established by debt covenants, enabling legislation or other legal requirements - increased \$19,035,191, or 46.7%. The increase in unrestricted net position was primarily a result of a decrease in the net pension liability due to changes in actuarial assumptions.

# Waterloo Community School District Management's Discussion and Analysis

## GOVERNMENT-WIDE FINANCIAL ANALYSIS (CONTINUED)

Figure A-4 shows changes in net position for the year ended June 30, 2022 compared to year ended June 30, 2021.

**Figure A-4  
Changes in Net Position**

|                                                            | Governmental Activities |                      | Business-Type Activities |                  | Total District        |                      | Percent       |
|------------------------------------------------------------|-------------------------|----------------------|--------------------------|------------------|-----------------------|----------------------|---------------|
|                                                            | 2022                    | 2021                 | 2022                     | 2021             | 2022                  | 2021                 | Change        |
| <b>Revenues</b>                                            |                         |                      |                          |                  |                       |                      |               |
| Program revenues                                           |                         |                      |                          |                  |                       |                      |               |
| Charges for services                                       | \$ 4,674,663            | \$ 1,973,011         | \$ 67,998                | \$ 58,038        | \$ 4,742,661          | \$ 2,031,049         | 133.51%       |
| Operating grants and contributions and restricted interest | 31,447,756              | 32,091,282           | 7,801,562                | 5,619,626        | 39,249,318            | 37,710,908           | 4.08%         |
| Capital grants and contributions and restricted interest   | 1,000,000               | 150                  | -                        | -                | 1,000,000             | 150                  | 666566.67%    |
| General revenues                                           |                         |                      |                          |                  |                       |                      |               |
| Property tax                                               | 39,540,401              | 40,752,377           | -                        | -                | 39,540,401            | 40,752,377           | -2.97%        |
| Statewide sales, services and use tax                      | 14,116,706              | 10,920,298           | -                        | -                | 14,116,706            | 10,920,298           | 29.27%        |
| Unrestricted state and federal grants                      | 90,313,243              | 84,754,808           | -                        | -                | 90,313,243            | 84,754,808           | 6.56%         |
| Unrestricted investment earnings                           | 650,372                 | 578,995              | 7,435                    | 2,498            | 657,807               | 581,493              | 13.12%        |
| Total revenues                                             | <u>181,743,141</u>      | <u>171,070,921</u>   | <u>7,876,995</u>         | <u>5,680,162</u> | <u>189,620,136</u>    | <u>176,751,083</u>   | <u>7.28%</u>  |
| <b>Program Expenses</b>                                    |                         |                      |                          |                  |                       |                      |               |
| Instruction                                                | 96,296,994              | 102,881,614          | -                        | -                | 96,296,994            | 102,881,614          | -6.40%        |
| Support services                                           | 50,218,079              | 51,678,700           | -                        | -                | 50,218,079            | 51,678,700           | -2.83%        |
| Noninstructional programs                                  | 819,613                 | 1,112,247            | 7,011,695                | 5,681,056        | 7,831,308             | 6,793,303            | 15.28%        |
| Other                                                      | 8,442,967               | 9,053,210            | -                        | -                | 8,442,967             | 9,053,210            | -6.74%        |
| Total expenses                                             | <u>155,777,653</u>      | <u>164,725,771</u>   | <u>7,011,695</u>         | <u>5,681,056</u> | <u>162,789,348</u>    | <u>170,406,827</u>   | <u>-4.47%</u> |
| Change in net position before transfers                    | 25,965,488              | 6,345,150            | 865,300                  | (894)            | 26,830,788            | 6,344,256            | -322.91%      |
| Transfers                                                  | (207,012)               | -                    | 207,012                  | -                | -                     | -                    | N/A           |
| Change in net position                                     | 25,758,476              | 6,345,150            | 1,072,312                | (894)            | 26,830,788            | 6,344,256            | -322.91%      |
| Beginning of year net position                             | <u>99,733,672</u>       | <u>93,388,522</u>    | <u>7,258</u>             | <u>8,152</u>     | <u>99,740,930</u>     | <u>93,396,674</u>    | <u>6.79%</u>  |
| End of year net position                                   | <u>\$ 125,492,148</u>   | <u>\$ 99,733,672</u> | <u>\$ 1,079,570</u>      | <u>\$ 7,258</u>  | <u>\$ 126,571,718</u> | <u>\$ 99,740,930</u> | <u>26.90%</u> |

In fiscal year 2022, property tax and unrestricted state and federal grants accounted for 71.4% of governmental activities revenue while charges for service and operating grants, contributions and unrestricted interest accounted for 100% of business-type activities revenue. The District's total revenue was approximately \$189.6 million, of which approximately \$181.7 million was for governmental activities and \$7.9 million was for business-type activities.

As shown in Figure A-4, the District as a whole experienced a 7.3% increase in revenue and a 4.5% decrease in expenses. The overall change in revenue was due to increases in unrestricted state and federal grants due to COVID-19 related grants and an increase in the amount of Statewide sales, services and use tax received due to increased payments received from the state. The decrease in expenses is primarily due to the decrease in the net pension liability due to changes in actuarial assumptions.

### Governmental Activities

Revenue for governmental activities was \$181,743,141 and expenses were \$155,777,653, which amounted to an increase in net position of \$25,758,476 for the year ended June 30, 2022.

# Waterloo Community School District Management's Discussion and Analysis

## GOVERNMENT-WIDE FINANCIAL ANALYSIS (CONTINUED)

### Governmental Activities (Continued)

The following table presents the total and net cost of the District's major governmental activities: instruction, support services, non-instructional programs and other expenses for the year ended June 30, 2022, compared to the year ended June 30, 2021.

**Figure A-5  
Total and Net Cost of Governmental Activities**

|                            | Total Cost of Service |                       |                   | Net Cost of Service   |                       |                   |
|----------------------------|-----------------------|-----------------------|-------------------|-----------------------|-----------------------|-------------------|
|                            | 2022                  | 2021                  | Percentage Change | 2022                  | 2021                  | Percentage Change |
|                            |                       |                       |                   |                       |                       |                   |
| Instruction                | \$ 96,296,994         | \$ 102,881,614        | -6.40%            | \$ 64,958,424         | \$ 74,848,747         | -13.21%           |
| Support Services           | 50,218,079            | 51,678,700            | -2.83%            | 45,268,309            | 46,481,203            | -2.61%            |
| Non-instructional programs | 819,613               | 1,112,247             | -26.31%           | 819,613               | 1,112,247             | -26.31%           |
| Other                      | 8,442,967             | 9,053,210             | -6.74%            | 7,608,888             | 8,219,131             | -7.42%            |
| Total                      | <u>\$ 155,777,653</u> | <u>\$ 164,725,771</u> | <u>-5.43%</u>     | <u>\$ 118,655,234</u> | <u>\$ 130,661,328</u> | <u>-9.19%</u>     |

For the year ended June 30, 2022:

- The cost financed by users of the District's programs was \$4,674,663.
- Federal and state governments and private entities subsidized certain programs with grants and contributions totaling \$32,447,756.
- The net cost of governmental activities was financed with \$53,657,107 in property and other taxes, \$90,313,243 in unrestricted state and federal grants and \$650,372 in unrestricted investment earnings.

### Business-Type Activities

Revenue for business-type activities during the year ended June 30, 2022, was \$7,876,995, representing a 38.7% increase over the prior year due to an increase in the number of meals served and increased reimbursement rate from the federal government, while expenses totaled \$1,330,639, a 23.4% increase over the prior year due to an increase in the number of meals served and increased food costs. The District's business-type activities include the School Nutrition Fund. Revenue of these activities was comprised of charges for service, federal and state reimbursements and grants and investment earnings.

- Charges for service represent 0.9% of total revenue for fiscal years 2022. This represents the amount paid by students/staff for daily food service.
- Federal and state operating grants, included reimbursement for meals, payments for free and reduced lunches, commodities provided to the District and other miscellaneous grants, totaled \$7,801,562, or 99.1%, of total revenue. This is reflective of the District's transition to the Community Eligibility Program that results in more students receiving meals at no cost.

## **Waterloo Community School District Management's Discussion and Analysis**

### **INDIVIDUAL FUND ANALYSIS**

As previously noted, Waterloo Community School District uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements.

The financial performance of the District as a whole is reflected in its governmental funds, as well. As the District completed the year, its governmental funds reported combined fund balances of \$74,115,724, a decrease of \$7,394,918 from last year's ending fund balances of \$81,510,642. The primary reason for the decrease in combined fund balances at the end of fiscal year 2022 was due to spending proceeds from bonds issued in prior years. Revenue increased from the prior year; \$9,680,701, or 5.7% due to increased state and federal grants received. Expenditures increased 9.2% due to more capital projects in 2022 and the increase in state and federal grants.

#### **Governmental Fund Highlights**

The General Fund is the chief operating fund of the District. At the end of fiscal year 2022, unassigned fund balance of the General Fund was \$31,809,926 while total fund balance increased from \$29,206,917 at the end of fiscal year 2021 to \$35,307,511 the end of fiscal year 2022.

The General Fund balance increased by \$6,100,594, or 20.9%, during the current fiscal year. The primary reasons for this increase was an increase in state and federal funding received in 2022.

The Debt Service Fund balance increased from \$22,594,426 at the end of fiscal year 2021 to \$22,713,606 at the end of fiscal year 2022. Current year expenditures included bond interest and fiscal charges and principal payments. The increase in fund balance is primarily related to the use of the sinking fund to hold QSCB Bond payments until full bond is mature.

The Capital Projects Fund balance decreased from \$26,957,075 as of June 30, 2021, to \$13,639,967 as of June 30, 2022. Revenues increased due to increased Statewide sales, service and use tax as well as a large state grant received. Expenditures increased in the current year primarily due to the construction of Lowell Elementary and Central Middle School that took place in the current year. Transfers to the Debt Service Fund decreased due to the decreased debt payment requirements.

#### **Proprietary Fund Highlights**

School Nutrition Fund net position was \$1,079,570 as of June 30, 2022. Revenue increased primarily due to more meals distributed due to COVID-19 in the prior year and higher reimbursement rates through the summer food service program. Expenses increased also due to more meals distributed due to COVID-19 as well as increased food costs.

### **BUDGETARY HIGHLIGHTS**

In accordance with state law, the school board annually adopts a budget following the public notice and hearing requirements. Although the budget document presents functional area expenditures or expenses by fund, the legal level of control is at the aggregated functional level, not at the fund or fund type level. The District adopts a budget in April for the following year and at the same time considers a budget amendment for expenditures for the current year. The District did not amend its original budget for fiscal year 2022.

# Waterloo Community School District Management's Discussion and Analysis

## BUDGETARY HIGHLIGHTS (CONTINUED)

A schedule showing the original and final budget amounts compared to the District's actual financial activity is provided in this report as required supplementary information.

The District's total revenue was \$7,089,122 more than total budgeted revenue, a variance of 3.9%, primarily due to receiving more federal aid than anticipated.

Total expenditures were \$20,980,472 less than total budgeted expenditures, a variance of 9.8%, primarily due to the staffing costs being lower than anticipated and the construction project not completed to anticipated levels.

The certified budget was not exceeded in any area during the year and the District's total spending authority was not exceeded.

## CAPITAL ASSETS AND DEBT ADMINISTRATION

### Capital Assets

As of June 30, 2022, the District had invested \$191,230,716, net of accumulated depreciation, in a broad range of capital assets, including land, buildings and improvements, land improvements, equipment, furniture and construction in progress. (See Figure A-6). This represents a net increase of 7.4% from last year. More detailed information about the District's capital assets is presented in Note 5 to the financial statements. Depreciation expense was \$6,031,277 for Governmental Activities and \$92,025 for Business-Type Activities.

The original cost of the District's capital assets was approximately \$290.0 million. Governmental funds account for approximately \$286.2 million with the remainder of approximately \$3.8 million accounted for in the Proprietary, School Nutrition Fund.

**Figure A-6  
Capital Assets, Net of Depreciation**

|                                   | Governmental Activities |                | Business-Type Activities |            | Total District |                | Percentage<br>Change |
|-----------------------------------|-------------------------|----------------|--------------------------|------------|----------------|----------------|----------------------|
|                                   | June 30,                |                | June 30,                 |            | June 30,       |                |                      |
|                                   | 2022                    | 2021           | 2022                     | 2021       | 2022           | 2021           |                      |
| Land                              | \$ 3,386,545            | \$ 3,441,332   | \$ -                     | \$ -       | \$ 3,386,545   | \$ 3,441,332   | -1.59%               |
| Construction in progress          | 13,827,215              | 18,004,955     | -                        | -          | 13,827,215     | 18,004,955     | -23.20%              |
| Buildings and Improvements        | 165,310,189             | 147,345,105    | -                        | -          | 165,310,189    | 147,345,105    | 12.19%               |
| Improvements other than building: | 5,212,968               | 5,685,639      | -                        | -          | 5,212,968      | 5,685,639      | -8.31%               |
| Furniture and equipment           | 3,075,029               | 3,273,272      | 418,770                  | 310,005    | 3,493,799      | 3,583,277      | -2.50%               |
| Total                             | \$ 190,811,946          | \$ 177,750,303 | \$ 418,770               | \$ 310,005 | \$ 191,230,716 | \$ 178,060,308 | 7.40%                |

# Waterloo Community School District Management's Discussion and Analysis

## CAPITAL ASSETS AND DEBT ADMINISTRATION (CONTINUED)

### Capital Assets (Continued)

The increase in capital assets was primarily related to current year additions exceeding current year depreciation.

Construction in progress as of June 30, 2021 included:

- Lowell Elementary
- Various other projects

Construction in progress as of June 30, 2022 included:

- Lowell Elementary
- Central Middle School
- Various other projects

### Long-Term Debt

As of June 30, 2021, the District had \$85,382,293 of total long-term debt outstanding. This represents a decrease of 6.9% from last year. (See Figure A-7) Additional information about the District's long-term debt is presented in Note 6 to the financial statements.

The Constitution of the State of Iowa limits the amount of debt districts can issue to 5% of the assessed value of all taxable property within the District. The District's outstanding debt is significantly below its constitutional debt limit of approximately \$238.4 million.

**Figure A-7  
Outstanding Long-Term Debt**

|                          | Total District<br>June 30, |                      | Percent<br>Change |
|--------------------------|----------------------------|----------------------|-------------------|
|                          | 2022                       | 2021                 |                   |
| Revenue Bonds            | \$ 82,412,539              | \$ 88,498,539        | -6.9%             |
| Unamortized bond premium | 2,969,754                  | 3,216,588            | -7.7%             |
| Total                    | <u>\$ 85,382,293</u>       | <u>\$ 91,715,127</u> | <u>-6.9%</u>      |

## **Waterloo Community School District Management's Discussion and Analysis**

### **ECONOMIC FACTORS BEARING ON THE DISTRICT'S FUTURE**

At the time these financial statements were prepared and audited, the District was aware of several existing circumstances that could significantly affect its financial health in the future:

- The economic factor facing every Iowa school district is the fallout from the COVID-19 pandemic. In March of 2020, the Iowa Governor closed all public-school buildings, and the 2019-20 instructional year was completed with virtual learning opportunities. To address this, the district invested heavily in internet connections, student computer technology, and professional development for staff. Within the buildings, deep cleaning protocols were developed and the state Department of Education "Return to Learn" plan was developed for the start of 2020-21 school year. A significant portion of the additional cost was covered by the CARES and ESSER funds received from the federal government. Future effects are yet to be determined by student enrollment changes, labor market availability and staff retention, competitive wages and benefits, facility needs, state and federal funding, the continuation of the effects of the pandemic, including the instability of national inflation, shortages of natural resources and supply chain management. However, in light of all these challenging conditions, the district remains confident that effective planning and timely implementations will ensure financial health and instructional effectiveness.
- The Iowa State Legislature enacted major changes to Iowa Code Chapter 20: Collective Bargaining, which stripped out most areas of mandatory subjects of bargaining. Arbitration awards were also limited by Consumer Price Index percentages. Many districts and association groups settled for low salary increases for fiscal year 2018 in order to maintain negotiated master contract language. Waterloo Community School District adopted the changes of Iowa Code Chapter 20 and moved the majority of contract language to an Employee Handbook with the commitment of future nonmandatory contract considerations being addressed by District leadership and volunteer staff committees. As to staff compensation, the district has continued with annual salary increases of 3.5% to 4.5% with an additional mid-year adjustment in 2021-22 necessitated by the staff retention needs.
- In the spring of 2022, the Iowa Legislature passed a significant change to student open enrollment laws. The change addressed the long-standing condition of the law that districts could manage the numbers of students leaving a home district to attend a neighboring district, which was accomplished through application timelines and home district approval conditions. The 2022 law adjustment eliminated application timelines and the need for rationale to qualify. As a result, there has been an immediate increase of open enrollment requests and the full impact of this change will take several years to fully realize.

## **Waterloo Community School District Management's Discussion and Analysis**

### **ECONOMIC FACTORS BEARING ON THE DISTRICT'S FUTURE (CONTINUED)**

- In 2013, the District started a major initiative to identify, design and construct a 21st century high school system with career technical education (CTE) as a major component to meet the needs of the students, businesses and industries in the Cedar Valley. The District proceeded with initiating CTE program offerings in 2017 including Nursing/Health Careers and Digital Graphics. Available District funds were used for remodeling a portion of Central Middle School to house the Waterloo Career Center (WCC) and to expand in future years. Today, the district has implemented a total of 18 programs and the enrollment has increased greatly from 50 students in 2016-17 to over 1000 students in 2021-22. The Waterloo Career Center is also open to students from other districts and there are multiple sharing agreements in place with additional interest expected in the next few years. In 2021-22, the district initiated an expansion of the WCC to offer additional programs as it continues to address the future needs of all students. Waterloo is rapidly establishing the reputation of a state leader in Career Technical Education.
- In summary, budget challenges usually mean staff reductions, but the District has made the decision to maintain instructional positions to invest in student achievement goals. When this commitment was made, it resulted in some initial reduction of the fund balance, but through budget planning, consistent enrollment and improved state and federal funding, the fund balance has increased. In fiscal year 2021 and 2022, the District received a state increase of 2.40% and federal American Recovery Plan revenues and again invested in additional hours for teachers, higher average teacher salaries and higher starting wage. The district took advantage of the flexibility of the federal funds to strengthen the district financial health and enable the district to utilize the benefits of the funding for several years in the future.

Regardless of the winds of change, the Waterloo Community School District is committed to their mission.

"The Waterloo Schools community commits to a comprehensive system of education and support to assure that each and every student will graduate prepared for college, career, and citizenship as evidenced by continuing education, pursuing a career path, and contributing to a community."

### **CONTACTING THE DISTRICT'S FINANCIAL MANAGEMENT**

This financial report is designed to provide the District's citizens, taxpayers, customers, investors and creditors with a general overview of the District's finances and to demonstrate the District's accountability for the money it receives. If you have questions or need additional financial information, contact Michael L. Coughlin, Chief Financial Officer, Waterloo Community School District, 1516 Washington Street, Waterloo, IA 50702.

## **BASIC FINANCIAL STATEMENTS**

**Waterloo Community School District**  
**Statement of Net Position**  
**June 30, 2022**

|                                                                        | Governmental<br>Activities | Business-Type<br>Activities | Total                 |
|------------------------------------------------------------------------|----------------------------|-----------------------------|-----------------------|
| <b>Assets</b>                                                          |                            |                             |                       |
| Cash and investments                                                   | \$ 84,743,303              | \$ 1,817,051                | \$ 86,560,354         |
| Cash with fiscal agent                                                 | 104,425                    | -                           | 104,425               |
| Receivables                                                            |                            |                             |                       |
| Property tax - delinquent                                              | 413,132                    | -                           | 413,132               |
| Property tax - succeeding year                                         | 38,928,299                 | -                           | 38,928,299            |
| Accounts receivable                                                    | 21,303                     | -                           | 21,303                |
| Internal balances                                                      | (198,548)                  | 198,548                     | -                     |
| Due from other governmental units                                      | 13,279,888                 | 246,640                     | 13,526,528            |
| Inventory                                                              | 282,298                    | 41,243                      | 323,541               |
| Prepaid items                                                          | 857,676                    | -                           | 857,676               |
| Capital assets, net of accumulated depreciation                        | 173,598,186                | 418,770                     | 174,016,956           |
| Capital assets not being depreciated                                   | 17,213,760                 | -                           | 17,213,760            |
| Total assets                                                           | <u>329,243,722</u>         | <u>2,722,252</u>            | <u>331,965,974</u>    |
| <b>Deferred Outflows of Resources</b>                                  |                            |                             |                       |
| Deferred amount on refunding                                           | 1,932,326                  | -                           | 1,932,326             |
| Deferred outflows related to OPEB                                      | 871,471                    | 21,375                      | 892,846               |
| Deferred outflows related to pensions                                  | 10,861,208                 | 270,830                     | 11,132,038            |
| Total deferred outflows of resources                                   | <u>13,665,005</u>          | <u>292,205</u>              | <u>13,957,210</u>     |
| <br>Total assets and deferred outflows of resources                    | <u>\$ 342,908,727</u>      | <u>\$ 3,014,457</u>         | <u>\$ 345,923,184</u> |
| <b>Liabilities</b>                                                     |                            |                             |                       |
| Accounts and contracts payable                                         | \$ 4,065,971               | \$ 20,631                   | \$ 4,086,602          |
| Salaries and benefits payable                                          | 18,273,533                 | 195,688                     | 18,469,221            |
| Interest payable                                                       | 1,236,026                  | -                           | 1,236,026             |
| Due to other governmental units                                        | 1,088,883                  | -                           | 1,088,883             |
| Unearned revenue                                                       | -                          | 27,902                      | 27,902                |
| Net bond principal payable                                             |                            |                             |                       |
| Due within one year                                                    | 6,016,000                  | -                           | 6,016,000             |
| Due in more than one year                                              | 79,366,293                 | -                           | 79,366,293            |
| Compensated absences payable                                           |                            |                             |                       |
| Due within one year                                                    | 410,592                    | -                           | 410,592               |
| Noncurrent liabilities due in more than one year                       |                            |                             |                       |
| Total OPEB liability                                                   | 11,851,309                 | 290,687                     | 12,141,996            |
| Net pension liability                                                  | 1,404,010                  | 35,010                      | 1,439,020             |
| Total liabilities                                                      | <u>123,712,617</u>         | <u>569,918</u>              | <u>124,282,535</u>    |
| <b>Deferred Inflows of Resources</b>                                   |                            |                             |                       |
| Property tax levied for succeeding year                                | 38,928,299                 | -                           | 38,928,299            |
| Deferred inflows related to OPEB                                       | 2,188,978                  | 53,691                      | 2,242,669             |
| Deferred inflows related to pensions                                   | 52,586,685                 | 1,311,278                   | 53,897,963            |
| Total deferred inflows of resources                                    | <u>93,703,962</u>          | <u>1,364,969</u>            | <u>95,068,931</u>     |
| <b>Net Position</b>                                                    |                            |                             |                       |
| Net investment in capital assets                                       | 109,621,979                | 418,770                     | 110,040,749           |
| Restricted for                                                         |                            |                             |                       |
| Categorical funding                                                    | 1,159,194                  | -                           | 1,159,194             |
| Debt service                                                           | 19,217,580                 | -                           | 19,217,580            |
| School infrastructure                                                  | 10,560,798                 | -                           | 10,560,798            |
| Physical plant and equipment                                           | 4,865,414                  | -                           | 4,865,414             |
| Student activities                                                     | 1,276,288                  | -                           | 1,276,288             |
| Management levy purposes                                               | 1,178,352                  | -                           | 1,178,352             |
| Unrestricted                                                           | (22,387,457)               | 660,800                     | (21,726,657)          |
| Total net position                                                     | <u>125,492,148</u>         | <u>1,079,570</u>            | <u>126,571,718</u>    |
| <br>Total liabilities, deferred inflows of resources, and net position | <u>\$ 342,908,727</u>      | <u>\$ 3,014,457</u>         | <u>\$ 345,923,184</u> |

See notes to basic financial statements.

**Waterloo Community School District**  
**Statement of Activities**  
**Year Ended June 30, 2022**

| Functions/Programs                                  | Expenses              | Program Revenues     |                                    |                                  | Net (Expenses), Revenue, and Changes in Net Position |                          |                       |
|-----------------------------------------------------|-----------------------|----------------------|------------------------------------|----------------------------------|------------------------------------------------------|--------------------------|-----------------------|
|                                                     |                       | Charges for Services | Operating Grants and Contributions | Capital Grants and Contributions | Governmental Activities                              | Business-Type Activities | Total                 |
| Governmental activities                             |                       |                      |                                    |                                  |                                                      |                          |                       |
| Instruction                                         |                       |                      |                                    |                                  |                                                      |                          |                       |
| Regular                                             | \$ 59,969,021         | \$ 2,511,133         | \$ 17,618,868                      | \$ -                             | \$ (39,839,020)                                      | \$ -                     | \$ (39,839,020)       |
| Special                                             | 29,551,990            | 775,353              | 7,409,165                          | -                                | (21,367,472)                                         | -                        | (21,367,472)          |
| Vocational                                          | 2,547,577             | -                    | 563,291                            | 1,000,000                        | (984,286)                                            | -                        | (984,286)             |
| Other                                               | 4,228,406             | 1,095,587            | 365,173                            | -                                | (2,767,646)                                          | -                        | (2,767,646)           |
| Support Services                                    |                       |                      |                                    |                                  |                                                      |                          |                       |
| Student                                             | 5,742,427             | 2,785                | -                                  | -                                | (5,739,642)                                          | -                        | (5,739,642)           |
| Instructional staff                                 | 6,307,843             | 720                  | 3,709,427                          | -                                | (2,597,696)                                          | -                        | (2,597,696)           |
| General administration                              | 3,044,721             | -                    | -                                  | -                                | (3,044,721)                                          | -                        | (3,044,721)           |
| School administration                               | 7,957,527             | -                    | -                                  | -                                | (7,957,527)                                          | -                        | (7,957,527)           |
| Business and central administration                 | 5,907,237             | 23,618               | 65,320                             | -                                | (5,818,299)                                          | -                        | (5,818,299)           |
| Operation and maintenance of plant                  | 12,863,085            | 265,467              | -                                  | -                                | (12,597,618)                                         | -                        | (12,597,618)          |
| Transportation                                      | 5,633,453             | -                    | 882,433                            | -                                | (4,751,020)                                          | -                        | (4,751,020)           |
| Facilities acquisition                              | 2,761,786             | -                    | -                                  | -                                | (2,761,786)                                          | -                        | (2,761,786)           |
| Noninstructional programs                           | 819,613               | -                    | -                                  | -                                | (819,613)                                            | -                        | (819,613)             |
| Interest and fiscal charges                         | 2,787,907             | -                    | 834,079                            | -                                | (1,953,828)                                          | -                        | (1,953,828)           |
| Unallocated depreciation                            | 5,655,060             | -                    | -                                  | -                                | (5,655,060)                                          | -                        | (5,655,060)           |
| Total governmental activities                       | 155,777,653           | 4,674,663            | 31,447,756                         | 1,000,000                        | (118,655,234)                                        | -                        | (118,655,234)         |
| Business-type activities                            |                       |                      |                                    |                                  |                                                      |                          |                       |
| Noninstructional programs                           |                       |                      |                                    |                                  |                                                      |                          |                       |
| Food service operations                             | 7,011,695             | 67,998               | 7,801,562                          | -                                | -                                                    | 857,865                  | 857,865               |
| Total                                               | <u>\$ 162,789,348</u> | <u>\$ 4,742,661</u>  | <u>\$ 39,249,318</u>               | <u>\$ 1,000,000</u>              | <u>(118,655,234)</u>                                 | <u>857,865</u>           | <u>(117,797,369)</u>  |
| General revenues                                    |                       |                      |                                    |                                  |                                                      |                          |                       |
| Taxes                                               |                       |                      |                                    |                                  |                                                      |                          |                       |
| Property taxes, levied for general purposes         |                       |                      |                                    |                                  | 34,608,000                                           | -                        | 34,608,000            |
| Property taxes, levied for management levy purposes |                       |                      |                                    |                                  | 1,803,070                                            | -                        | 1,803,070             |
| Property taxes, levied for capital outlay           |                       |                      |                                    |                                  | 3,129,331                                            | -                        | 3,129,331             |
| Unrestricted statewide sales, services, and use tax |                       |                      |                                    |                                  | 14,116,706                                           | -                        | 14,116,706            |
| Unrestricted state and federal grants               |                       |                      |                                    |                                  | 90,313,243                                           | -                        | 90,313,243            |
| Unrestricted investment earnings                    |                       |                      |                                    |                                  | 650,372                                              | 7,435                    | 657,807               |
| Transfers                                           |                       |                      |                                    |                                  | (207,012)                                            | 207,012                  | -                     |
| Total general revenues                              |                       |                      |                                    |                                  | <u>144,413,710</u>                                   | <u>214,447</u>           | <u>144,628,157</u>    |
| Change in net position                              |                       |                      |                                    |                                  | 25,758,476                                           | 1,072,312                | 26,830,788            |
| Net position - beginning                            |                       |                      |                                    |                                  | 99,733,672                                           | 7,258                    | 99,740,930            |
| Net position - ending                               |                       |                      |                                    |                                  | <u>\$ 125,492,148</u>                                | <u>\$ 1,079,570</u>      | <u>\$ 126,571,718</u> |

See notes to basic financial statements.

**Waterloo Community School District  
Balance Sheet - Governmental Funds  
June 30, 2022**

|                                                                           | General (10)         | Debt Service<br>(40) | Capital Projects     | Nonmajor<br>Funds   | Total<br>Governmental<br>Funds |
|---------------------------------------------------------------------------|----------------------|----------------------|----------------------|---------------------|--------------------------------|
| <b>Assets</b>                                                             |                      |                      |                      |                     |                                |
| Cash and investments                                                      | \$ 44,030,933        | \$ 22,713,606        | \$ 15,498,949        | \$ 2,494,244        | \$ 84,737,732                  |
| Cash with fiscal agent                                                    | 104,425              | -                    | -                    | -                   | 104,425                        |
| Receivables                                                               |                      |                      |                      |                     |                                |
| Property tax - delinquent                                                 | 361,374              | -                    | 32,905               | 18,853              | 413,132                        |
| Property tax - succeeding year                                            | 32,715,799           | -                    | 3,212,503            | 2,999,997           | 38,928,299                     |
| Accounts receivable                                                       | 2,457                | -                    | -                    | 17,000              | 19,457                         |
| Due from other governmental units                                         | 10,494,681           | -                    | 2,784,971            | 236                 | 13,279,888                     |
| Inventory                                                                 | 249,723              | -                    | -                    | -                   | 249,723                        |
| Prepaid items                                                             | 857,676              | -                    | -                    | -                   | 857,676                        |
|                                                                           |                      |                      |                      |                     |                                |
| Total assets                                                              | <u>\$ 88,817,068</u> | <u>\$ 22,713,606</u> | <u>\$ 21,529,328</u> | <u>\$ 5,530,330</u> | <u>\$ 138,590,332</u>          |
| <b>Liabilities</b>                                                        |                      |                      |                      |                     |                                |
| Accounts and contracts payable                                            | \$ 1,191,202         | \$ -                 | \$ 2,874,769         | \$ -                | \$ 4,065,971                   |
| Salaries and benefits payable                                             | 18,254,359           | -                    | -                    | 14,783              | 18,269,142                     |
| Due to other governmental units                                           | 1,072,070            | -                    | 15,314               | 1,499               | 1,088,883                      |
| Interfund payable                                                         | 138,607              | -                    | 530                  | 59,411              | 198,548                        |
| Total liabilities                                                         | <u>20,656,238</u>    | <u>-</u>             | <u>2,890,613</u>     | <u>75,693</u>       | <u>23,622,544</u>              |
| <b>Deferred inflows of resources</b>                                      |                      |                      |                      |                     |                                |
| Unavailable revenue -<br>succeeding year<br>property tax                  | 32,715,799           | -                    | 3,212,503            | 2,999,997           | 38,928,299                     |
| Unavailable revenue - other                                               | 137,520              | -                    | 1,786,245            | -                   | 1,923,765                      |
| Total deferred inflows<br>of resources                                    | <u>32,853,319</u>    | <u>-</u>             | <u>4,998,748</u>     | <u>2,999,997</u>    | <u>40,852,064</u>              |
| <b>Fund Balances</b>                                                      |                      |                      |                      |                     |                                |
| Nonspendable for                                                          |                      |                      |                      |                     |                                |
| Inventory                                                                 | 249,723              | -                    | -                    | -                   | 249,723                        |
| Prepaid items                                                             | 857,676              | -                    | -                    | -                   | 857,676                        |
| Restricted for                                                            |                      |                      |                      |                     |                                |
| Categorical funding                                                       | 1,159,194            | -                    | -                    | -                   | 1,159,194                      |
| Debt service                                                              | -                    | 22,713,606           | -                    | -                   | 22,713,606                     |
| School infrastructure                                                     | -                    | -                    | 8,774,553            | -                   | 8,774,553                      |
| Physical plant and equipment                                              | -                    | -                    | 4,865,414            | -                   | 4,865,414                      |
| Management levy purposes                                                  | -                    | -                    | -                    | 1,178,352           | 1,178,352                      |
| Student activities                                                        | -                    | -                    | -                    | 1,276,288           | 1,276,288                      |
| Assigned for                                                              |                      |                      |                      |                     |                                |
| Alternate health insurance plan                                           | 1,230,992            | -                    | -                    | -                   | 1,230,992                      |
| Unassigned                                                                | 31,809,926           | -                    | -                    | -                   | 31,809,926                     |
| Total fund balances                                                       | <u>35,307,511</u>    | <u>22,713,606</u>    | <u>13,639,967</u>    | <u>2,454,640</u>    | <u>74,115,724</u>              |
|                                                                           |                      |                      |                      |                     |                                |
| Total liabilities, deferred<br>inflows of resources, and<br>fund balances | <u>\$ 88,817,068</u> | <u>\$ 22,713,606</u> | <u>\$ 21,529,328</u> | <u>\$ 5,530,330</u> | <u>\$ 138,590,332</u>          |

See notes to basic financial statements.

**Waterloo Community School District  
Reconciliation of the Balance Sheet to  
the Statement of Net Position - Governmental Funds  
June 30, 2022**

|                                                                                                                                                                                                                                                                                                                    |                              |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------|
| Total fund balances - governmental funds                                                                                                                                                                                                                                                                           | \$ 74,115,724                |
| Amounts reported for governmental activities in the Statement of Net Position are different because:                                                                                                                                                                                                               |                              |
| Capital assets used in governmental activities are not current financial resources and, therefore, are not reported as assets in governmental funds.                                                                                                                                                               |                              |
| Cost of capital assets                                                                                                                                                                                                                                                                                             | 286,221,756                  |
| Less accumulated depreciation                                                                                                                                                                                                                                                                                      | (95,409,810)                 |
| Long-term liabilities, including bonds payable, are not due and payable in the current period and, therefore, are not reported as liabilities in the funds.                                                                                                                                                        |                              |
| Long-term liabilities at year-end consist of:                                                                                                                                                                                                                                                                      |                              |
| Bond principal payable                                                                                                                                                                                                                                                                                             | (82,412,539)                 |
| Bond premiums                                                                                                                                                                                                                                                                                                      | (2,969,754)                  |
| Compensated absences payable                                                                                                                                                                                                                                                                                       | (410,592)                    |
| Total OPEB liability                                                                                                                                                                                                                                                                                               | (11,851,309)                 |
| Net pension liability                                                                                                                                                                                                                                                                                              | (1,404,010)                  |
| Deferred outflows of resources and deferred inflows of resources are created as a result of various differences related to pensions, OPEB and long-term liabilities that are not recognized in the governmental funds.                                                                                             |                              |
| Deferred outflows related to pensions                                                                                                                                                                                                                                                                              | 10,861,208                   |
| Deferred inflows related to pensions                                                                                                                                                                                                                                                                               | (52,586,685)                 |
| Deferred inflows related to OPEB                                                                                                                                                                                                                                                                                   | (2,188,978)                  |
| Deferred outflows related to OPEB                                                                                                                                                                                                                                                                                  | 871,471                      |
| Deferred amount on refunding                                                                                                                                                                                                                                                                                       | 1,932,326                    |
| Other long-term assets will be collected in subsequent years, and do not meet the revenue recognition requirements in the governmental funds.                                                                                                                                                                      |                              |
|                                                                                                                                                                                                                                                                                                                    | 1,923,765                    |
| An internal service fund is used by management to charge the costs of the District's print shop services to various entities and individuals. The assets and liabilities of the internal service funds are included in governmental activities in the statement of net position and interfund activity is removed. |                              |
|                                                                                                                                                                                                                                                                                                                    | 35,601                       |
| Governmental funds do not report a liability for accrued interest on bonds until due and payable.                                                                                                                                                                                                                  | <u>(1,236,026)</u>           |
| Total net position - governmental activities                                                                                                                                                                                                                                                                       | <u><u>\$ 125,492,148</u></u> |

**Waterloo Community School District**  
**Statement of Revenues, Expenditures, and**  
**Changes in Fund Balances - Governmental Fund**  
**Year Ended June 30, 2022**

|                                                 | General (10)         | Debt Service<br>(40) | Capital Projects     | Nonmajor<br>Funds   | Total<br>Governmental<br>Funds |
|-------------------------------------------------|----------------------|----------------------|----------------------|---------------------|--------------------------------|
| <b>Revenues</b>                                 |                      |                      |                      |                     |                                |
| Revenue from local sources                      |                      |                      |                      |                     |                                |
| Local property taxes                            | \$ 34,608,000        | \$ -                 | \$ 3,129,331         | \$ 1,803,070        | \$ 39,540,401                  |
| Tuition                                         | 1,030,648            | -                    | -                    | -                   | 1,030,648                      |
| Other local and county revenues                 | 1,770,784            | 238,569              | 115,654              | 1,468,239           | 3,593,246                      |
| Revenue from state sources                      | 91,999,223           | -                    | 13,927,329           | 60,618              | 105,987,170                    |
| Revenue from federal sources                    | 29,310,113           | -                    | 834,079              | -                   | 30,144,192                     |
| Total revenues                                  | <u>158,718,768</u>   | <u>238,569</u>       | <u>18,006,393</u>    | <u>3,331,927</u>    | <u>180,295,657</u>             |
| <b>Expenditures</b>                             |                      |                      |                      |                     |                                |
| Current                                         |                      |                      |                      |                     |                                |
| Instruction                                     |                      |                      |                      |                     |                                |
| Regular                                         | 64,484,337           | -                    | -                    | 1,050,174           | 65,534,511                     |
| Special                                         | 26,222,718           | -                    | -                    | -                   | 26,222,718                     |
| Vocational                                      | 2,619,859            | -                    | -                    | -                   | 2,619,859                      |
| Other                                           | 2,832,599            | -                    | -                    | 1,501,969           | 4,334,568                      |
| Support services                                |                      |                      |                      |                     |                                |
| Student                                         | 6,141,180            | -                    | -                    | 10,076              | 6,151,256                      |
| Instructional staff                             | 6,969,955            | -                    | -                    | -                   | 6,969,955                      |
| General administration                          | 3,267,015            | -                    | 240                  | 82,794              | 3,350,049                      |
| School administration                           | 8,748,179            | -                    | -                    | 95,719              | 8,843,898                      |
| Business and central administration             | 4,411,651            | -                    | 23,168               | 43,770              | 4,478,589                      |
| Operation and maintenance of plant              | 12,434,091           | -                    | 215,403              | 800,270             | 13,449,764                     |
| Transportation                                  | 5,630,896            | -                    | -                    | -                   | 5,630,896                      |
| Noninstructional programs                       | 889,294              | -                    | -                    | 31,195              | 920,489                        |
| AEA flowthrough                                 | 5,654,682            | -                    | -                    | -                   | 5,654,682                      |
| Facilities acquisition                          | -                    | -                    | 1,136,610            | -                   | 1,136,610                      |
| Capital outlay                                  | 2,348,981            | -                    | 20,603,420           | -                   | 22,952,401                     |
| Debt service                                    |                      |                      |                      |                     |                                |
| Principal                                       | -                    | 6,349,000            | -                    | -                   | 6,349,000                      |
| Interest and fiscal charges                     | -                    | 3,149,300            | 21,737               | -                   | 3,171,037                      |
| Total expenditures                              | <u>152,655,437</u>   | <u>9,498,300</u>     | <u>22,000,578</u>    | <u>3,615,967</u>    | <u>187,770,282</u>             |
| Excess of revenues over<br>(under) expenditures | 6,063,331            | (9,259,731)          | (3,994,185)          | (284,040)           | (7,474,625)                    |
| <b>Other Financing Sources (Uses)</b>           |                      |                      |                      |                     |                                |
| Insurance recoveries                            | 23,719               | -                    | -                    | -                   | 23,719                         |
| Refunding revenue bonds issued                  | -                    | 30,281,000           | -                    | -                   | 30,281,000                     |
| Payment to refunding bonds escrow agent         | -                    | (30,018,000)         | -                    | -                   | (30,018,000)                   |
| Transfers in                                    | 13,544               | 9,115,911            | -                    | -                   | 9,129,455                      |
| Transfers out                                   | -                    | -                    | (9,322,923)          | (13,544)            | (9,336,467)                    |
| Total other financing<br>sources (uses)         | <u>37,263</u>        | <u>9,378,911</u>     | <u>(9,322,923)</u>   | <u>(13,544)</u>     | <u>79,707</u>                  |
| Net change in fund balances                     | 6,100,594            | 119,180              | (13,317,108)         | (297,584)           | (7,394,918)                    |
| <b>Fund Balances</b>                            |                      |                      |                      |                     |                                |
| Beginning of year                               | <u>29,206,917</u>    | <u>22,594,426</u>    | <u>26,957,075</u>    | <u>2,752,224</u>    | <u>81,510,642</u>              |
| End of year                                     | <u>\$ 35,307,511</u> | <u>\$ 22,713,606</u> | <u>\$ 13,639,967</u> | <u>\$ 2,454,640</u> | <u>\$ 74,115,724</u>           |

See notes to basic financial statements.

**Waterloo Community School District  
Reconciliation of the Statement of Revenues, Expenditures,  
and Changes in Fund Balances to the  
Statement of Activities - Governmental Funds  
Year Ended June 30, 2022**

Net change in fund balances - total governmental funds \$ (7,394,918)

Amounts reported for governmental activities in the Statement of Activities are different because:

Capital outlays are reported in governmental funds as expenditures. However, in the Statement of Activities, the cost of those assets is allocated over the useful lives as depreciation expense.

|                            |             |
|----------------------------|-------------|
| Capital outlays            | 19,213,903  |
| Depreciation expense       | (6,031,277) |
| Disposal of capital assets | (120,983)   |

|                                                                                                                                                               |        |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------|--------|
| Compensated absences and severance are recognized as paid in the governmental funds but recognized as the expense is incurred in the Statement of Activities. | 27,676 |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------|--------|

|                                                                                                                                 |             |
|---------------------------------------------------------------------------------------------------------------------------------|-------------|
| OPEB are recognized as paid in the governmental funds but recognized as the expense is incurred in the Statement of Activities. | (1,016,913) |
|---------------------------------------------------------------------------------------------------------------------------------|-------------|

|                                                                                                                                                                                          |            |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------|
| Principal payments on long-term debt are recognized as expenditures or other financing uses in the governmental funds but have no effect on net position in the Statement of Activities. | 36,367,000 |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------|

|                                                                                                                                                                                                               |           |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------|
| The current year District employer share of IPERS contributions is reported as an expenditure in the governmental funds, but is reported as a deferred outflow of resources in the statement of net position. | 7,864,495 |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------|

|                                                                                                                                                                                            |           |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------|
| Pension expenses reported in the statement of activities do not require the use of current financial resources and, therefore, are not reported as expenditures in the governmental funds. | 5,308,571 |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------|

|                                                                                                                                                                                                                                                                                                                                                                                        |         |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------|
| Interest on long-term debt in the Statement of Activities differs from the amount reported in the governmental funds because interest is recognized as an expenditure in the funds when it is due and thus requires use of current financial resources. In the Statement of Activities, however, interest expense is recognized as the interest accrues, regardless of when it is due. | 458,350 |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------|

|                                                                                                                                                                                            |          |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|
| Governmental funds report the effect of bond premiums and deferred amounts when the debt is first issued, whereas these amounts are deferred and amortized in the Statement of Activities. | (75,220) |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|

|                                                                                                                                                                                                                        |              |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------|
| Proceeds and premiums from long-term debt are recognized as an other financing source, increasing fund balance in the governmental fund statements, but have no effect on net position in the Statement of Activities. | (30,281,000) |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------|

|                                                                                                                                                                                                                                                         |        |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------|
| An internal service fund is used by management to charge the costs of the District's print shop services to various entities and individuals. The change in net position is reported within the governmental activities in the Statement of Activities. | 15,027 |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------|

|                                                                                                                                                                                                     |           |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------|
| Long-term assets will be collected in subsequent years, but are not available soon enough to pay for the current period's expenditures and, therefore, are not recognized as revenues in the funds. | 1,423,765 |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------|

|                                                  |               |
|--------------------------------------------------|---------------|
| Change in net position - governmental activities | \$ 25,758,476 |
|--------------------------------------------------|---------------|

**Waterloo Community School District**  
**Statement of Net Position - Proprietary Funds**  
**June 30, 2022**

|                                                                    | Business Type<br>Activities<br>Nonmajor<br>Enterprise | Governmental<br>Activities<br>Internal Service |
|--------------------------------------------------------------------|-------------------------------------------------------|------------------------------------------------|
|                                                                    | School<br>Nutrition (61)                              | Print Shop (73)                                |
| <b>Assets</b>                                                      |                                                       |                                                |
| Current                                                            |                                                       |                                                |
| Cash and cash equivalents                                          | \$ 1,817,051                                          | \$ 5,571                                       |
| Accounts receivable                                                | -                                                     | 1,846                                          |
| Due from other governments                                         | 246,640                                               | -                                              |
| Interfund receivable                                               | 198,548                                               | -                                              |
| Inventory                                                          | 41,243                                                | 32,575                                         |
| Total current assets                                               | <u>2,303,482</u>                                      | <u>39,992</u>                                  |
| Noncurrent                                                         |                                                       |                                                |
| Capital assets, net of accumulated depreciation                    | 418,770                                               | -                                              |
| Total assets                                                       | <u>2,722,252</u>                                      | <u>39,992</u>                                  |
| <b>Deferred Outflows of Resources</b>                              |                                                       |                                                |
| Deferred outflows related to OPEB                                  | 21,375                                                | -                                              |
| Deferred outflows related to pensions                              | 270,830                                               | -                                              |
| Total deferred outflows of resources                               | <u>292,205</u>                                        | <u>-</u>                                       |
| Total assets and deferred outflows of resources                    | <u>\$ 3,014,457</u>                                   | <u>\$ 39,992</u>                               |
| <b>Liabilities</b>                                                 |                                                       |                                                |
| Current                                                            |                                                       |                                                |
| Accounts payable                                                   | \$ 20,631                                             | \$ -                                           |
| Salaries and benefits payable                                      | 195,688                                               | 4,391                                          |
| Unearned revenue                                                   | 27,902                                                | -                                              |
| Total current liabilities                                          | <u>244,221</u>                                        | <u>4,391</u>                                   |
| Noncurrent                                                         |                                                       |                                                |
| Net pension liability                                              | 35,010                                                | -                                              |
| Total OPEB liability                                               | 290,687                                               | -                                              |
| Total noncurrent liabilities                                       | <u>325,697</u>                                        | <u>-</u>                                       |
| Total liabilities                                                  | <u>569,918</u>                                        | <u>4,391</u>                                   |
| <b>Deferred Inflows of Resources</b>                               |                                                       |                                                |
| Deferred inflows related to OPEB                                   | 53,691                                                | -                                              |
| Deferred inflows related to pensions                               | 1,311,278                                             | -                                              |
| Total deferred inflows of resources                                | <u>1,364,969</u>                                      | <u>-</u>                                       |
| <b>Net Position</b>                                                |                                                       |                                                |
| Investment in Capital Assets                                       | 418,770                                               | -                                              |
| Unrestricted                                                       | 660,800                                               | 35,601                                         |
| Total net position                                                 | <u>1,079,570</u>                                      | <u>35,601</u>                                  |
| Total liabilities, deferred inflows of resources, and net position | <u>\$ 3,014,457</u>                                   | <u>\$ 39,992</u>                               |

See notes to basic financial statements.

**Waterloo Community School District**  
**Statement of Revenues, Expenses, and Changes**  
**in Fund Net Position - Proprietary Funds**  
**Year Ended June 30, 2022**

|                                           | Business-Type<br>Activities<br><u>Nonmajor<br/>Enterprise<br/>School<br/>Nutrition (61)</u> | Governmental<br>Activities<br><u>Internal Service<br/>Print Shop (73)</u> |
|-------------------------------------------|---------------------------------------------------------------------------------------------|---------------------------------------------------------------------------|
| Operating revenues                        |                                                                                             |                                                                           |
| Local Sources                             |                                                                                             |                                                                           |
| Charges for services                      | \$ 48,457                                                                                   | \$ 337,427                                                                |
| Other receipts                            | 19,541                                                                                      | -                                                                         |
| Total revenue                             | <u>67,998</u>                                                                               | <u>337,427</u>                                                            |
| Operating expenses                        |                                                                                             |                                                                           |
| Noninstructional programs                 |                                                                                             |                                                                           |
| Food service and print shop operations    |                                                                                             |                                                                           |
| Salaries and benefits                     | 2,084,642                                                                                   | 117,116                                                                   |
| Employee benefits                         | 605,261                                                                                     | 49,228                                                                    |
| Purchased services                        | 2,432                                                                                       | 72,261                                                                    |
| Supplies                                  | 3,531,635                                                                                   | 83,795                                                                    |
| Other                                     | 689,477                                                                                     | -                                                                         |
| Depreciation                              | 92,025                                                                                      | -                                                                         |
| Total operating expenses                  | <u>7,005,472</u>                                                                            | <u>322,400</u>                                                            |
| Operating income loss                     | (6,937,474)                                                                                 | 15,027                                                                    |
| Nonoperating revenues (expenses)          |                                                                                             |                                                                           |
| Federal sources                           | 7,756,735                                                                                   | -                                                                         |
| Gain (loss) on disposal of capital assets | (6,223)                                                                                     | -                                                                         |
| State sources                             | 44,827                                                                                      | -                                                                         |
| Investment income                         | 7,435                                                                                       | -                                                                         |
| Total nonoperating revenues (expenses)    | <u>7,802,774</u>                                                                            | <u>-</u>                                                                  |
| Change before transfers                   | 865,300                                                                                     | 15,027                                                                    |
| Transfers in                              | <u>207,012</u>                                                                              | <u>-</u>                                                                  |
| Change in net position                    | 1,072,312                                                                                   | 15,027                                                                    |
| Net position                              |                                                                                             |                                                                           |
| Beginning of year                         | <u>7,258</u>                                                                                | <u>20,574</u>                                                             |
| End of year                               | <u><u>\$ 1,079,570</u></u>                                                                  | <u><u>\$ 35,601</u></u>                                                   |

**Waterloo Community School District**  
**Statement of Cash Flows -**  
**Proprietary Funds**  
**Year Ended June 30, 2022**

|                                                                                           | Business Type<br>Activities | Governmental<br>Activities |
|-------------------------------------------------------------------------------------------|-----------------------------|----------------------------|
|                                                                                           | Nonmajor<br>Enterprise      | Internal Service           |
|                                                                                           | School<br>Nutrition (61)    | Print Shop (73)            |
| <b>Cash Flows - Operating Activities</b>                                                  |                             |                            |
| Cash received from print shop services                                                    | \$ -                        | \$ 338,403                 |
| Cash received from sale of lunches and breakfast                                          | 42,981                      | -                          |
| Cash received from other                                                                  | 19,541                      | -                          |
| Payments to employees                                                                     | (3,019,298)                 | (166,311)                  |
| Payments to suppliers                                                                     | (3,767,268)                 | (176,571)                  |
| Net cash flows - operating activities                                                     | <u>(6,724,044)</u>          | <u>(4,479)</u>             |
| <b>Cash Flows - Noncapital Financing Activities</b>                                       |                             |                            |
| State grants received                                                                     | 44,827                      | -                          |
| Federal grants received                                                                   | 7,694,809                   | -                          |
| Transfers from other funds                                                                | 207,012                     | -                          |
| Repayment of interfund loans                                                              | (1,401,656)                 | -                          |
| Proceeds or repayment received from interfund loans                                       | 1,420,870                   | -                          |
| Net cash flows - noncapital financing activities                                          | <u>7,965,862</u>            | <u>-</u>                   |
| <b>Cash Flows - Capital and Related Financing Activities</b>                              |                             |                            |
| Acquisition of capital assets                                                             | (207,013)                   | -                          |
| Net cash flows - capital and related financing activities                                 | <u>(207,013)</u>            | <u>-</u>                   |
| <b>Cash Flows - Investment Activities</b>                                                 |                             |                            |
| Interest received                                                                         | 7,435                       | -                          |
| Net cash flows - investment activities                                                    | <u>7,435</u>                | <u>-</u>                   |
| Net change in cash and cash equivalents                                                   | 1,042,240                   | (4,479)                    |
| <b>Cash and Cash Equivalents</b>                                                          |                             |                            |
| Beginning of year                                                                         | 774,811                     | 10,050                     |
| End of year                                                                               | <u>\$ 1,817,051</u>         | <u>\$ 5,571</u>            |
| <b>Reconciliation of Operating Income (Loss) to Net Cash</b>                              |                             |                            |
| <b>Flows - Operating Activities</b>                                                       |                             |                            |
| Operating income (loss)                                                                   | \$ (6,937,474)              | \$ 15,027                  |
| Adjustments to reconcile operating income (loss) to net cash flows - operating activities |                             |                            |
| Commodities used                                                                          | 462,559                     | -                          |
| Depreciation                                                                              | 92,025                      | -                          |
| Accounts receivable                                                                       | -                           | 976                        |
| Inventory                                                                                 | (18,601)                    | (20,515)                   |
| Pension expense                                                                           | (359,315)                   | -                          |
| OPEB expense                                                                              | 21,145                      | -                          |
| Accounts payable                                                                          | 12,318                      | -                          |
| Salaries and benefits payable                                                             | 8,775                       | 33                         |
| Unearned revenue                                                                          | (5,476)                     | -                          |
| Net adjustments                                                                           | <u>213,430</u>              | <u>(19,506)</u>            |
| Net cash flows - operating activities                                                     | <u>\$ (6,724,044)</u>       | <u>\$ (4,479)</u>          |
| <b>Non-cash investing, capital and related financing activities</b>                       |                             |                            |
| During the year ended June 30, 2022 the District received federal commodities.            | \$ 462,559                  | \$ -                       |

See notes to basic financial statements.

**Waterloo Community School District  
Statement of Fiduciary Net Position  
June 30, 2022**

|                      | Private Purpose<br>Trust Fund | Custodial Fund |
|----------------------|-------------------------------|----------------|
| <b>Assets</b>        |                               |                |
| Current              |                               |                |
| Cash and investments | \$ 11,744                     | \$ 42,283      |
| <b>Net Position</b>  |                               |                |
| Held in trust        | \$ 11,744                     | \$ 42,283      |

**Statement of Changes in Fiduciary Net Position  
Year Ended June 30, 2022**

|                         | Private Purpose<br>Trust Fund | Custodial Fund |
|-------------------------|-------------------------------|----------------|
| <b>Additions</b>        |                               |                |
| Contributions           | \$ 13,999                     | \$ 49,039      |
| Interest revenue        | 46                            | -              |
| Total additions         | 14,045                        | 49,039         |
| <b>Deductions</b>       |                               |                |
| Staff social committees | -                             | 42,257         |
| Scholarships            | 11,750                        | -              |
| Total deductions        | 11,750                        | 42,257         |
| Change in net position  | 2,295                         | 6,782          |
| <b>Net Position</b>     |                               |                |
| Beginning of year       | 9,449                         | 35,501         |
| End of year             | \$ 11,744                     | \$ 42,283      |

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## **Waterloo Community School District Notes to Basic Financial Statements**

### **NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES**

Waterloo Community School District is a political subdivision of the State of Iowa and operates public schools for children in grades pre-kindergarten through twelve. Additionally, the District also either operates or sponsors various adult education programs. These courses include remedial education as well as vocational and recreational courses. The geographic area served includes the Cities of Waterloo, Evansdale, Elk Run Heights, Raymond, Gilbertville and a portion of Cedar Falls, Iowa, and the surrounding predominate agricultural territory in Black Hawk County. The District is governed by a Board of Education whose members are elected on a nonpartisan basis.

The District's basic financial statements are prepared in conformity with accounting principles generally accepted in the United States as prescribed by the Governmental Accounting Standards Board.

#### **A. Reporting Entity**

For financial reporting purposes, Waterloo Community School District has included all funds, organizations, agencies, boards, commissions, and authorities. The District has also considered all potential component units for which it is financially accountable, and other organizations for which the nature and significance of their relationship with the District are such that exclusion would cause the District's basic financial statements to be misleading or incomplete. The Governmental Accounting Standards Board has set forth criteria to be considered in determining financial accountability. These criteria include appointing a voting majority of an organization's governing body, and (1) the ability of the District to impose its will on that organization or (2) the potential for the organization to provide specific benefits to or impose specific financial burdens on the District. The District has no material component units which meet the Governmental Accounting Standards Board criteria.

#### **B. Jointly Governed Organizations**

The District participates in a jointly governed organization that provides services to the District but does not meet the criteria of a joint venture since there is no ongoing financial interest or responsibility by the participating governments. The District is a member of the Black Hawk County Assessor's Conference Board.

#### **C. Basic Financial Statement Information**

The Statement of Net Position and the Statement of Activities report information on all the nonfiduciary activities of the District. For the most part, the effect of interfund activity has been removed from these statements. There was no material interfund service provided and used not eliminated in the process of consolidation. Governmental activities, which normally are supported by tax and intergovernmental revenue, are reported separately from business-type activities, which rely to a significant extent on fees and charges for services.

The Statement of Net Position presents the District's nonfiduciary assets, deferred outflows of resources, liabilities and deferred inflows of resources, with the difference reported as net position. Net position is reported in the categories on following page.

Net investment in capital assets consists of capital assets, net of accumulated depreciation and reduced by outstanding balances for bonds, notes, and other debt attributable to the acquisition, construction or improvement of those assets. This balance also has an adjustment for \$2,260,000 for unspent bond proceeds required to be held in reserves.

**Waterloo Community School District  
Notes to Basic Financial Statements**

**NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)**

**C. Basic Financial Statement Information (Continued)**

Restricted net position results when constraints placed on net position use are either externally imposed or are imposed by law through constitutional provisions or enabling legislation.

Unrestricted net position consists of net position not meeting the definition of the preceding categories. Unrestricted net position is often subject to constraints imposed by management which can be removed or modified.

The statement of activities demonstrates the degree to which the direct expenses of a given function or segment are offset by program revenue. Direct expenses are those that are clearly identifiable with a specific function. Program revenue includes: (1) charges to customers or applicants who purchase, use or directly benefit from goods, services or privileges provided by a given function and (2) grants, contributions and interest restricted to meeting the operational or capital requirements of a particular function. Property tax and other items not properly included among program revenue are reported instead as general revenue.

Depreciation expense that can be specifically identified by function is included in the direct expenses of that function. Depreciation expense relative to assets that serve multiple functions is presented as unallocated depreciation in the Statement of Activities. This amount excludes the depreciation that is included in the direct expenses, as noted above. Interest on general long-term debt is considered an indirect expense and is reported separately in the Statement of Activities. The effect of interfund activity has been removed from these statements.

Separate fund financial statements are provided for governmental funds, proprietary funds, and fiduciary funds, even though fiduciary funds are excluded from the government-wide financial statements. Major individual governmental funds are reported as separate columns in the fund financial statements. All remaining governmental funds are aggregated and reported as nonmajor governmental funds. Combining schedules are also included for the Capital Projects Fund accounts.

The trust and custodial funds are presented in the fiduciary fund financial statements. Since by definition these assets are being held for the benefit of a third party (other local governments, private parties, etc.) and cannot be used to address activities or obligations of the District, these funds are not incorporated into the government-wide statements.

**D. Measurement Focus and Basis of Accounting**

The accounting and financial reporting treatment applied is determined by its measurement focus and basis of accounting. The government-wide and proprietary fund financial statements are reported using the economic resources measurement focus and the accrual basis of accounting. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property tax is recognized as revenue in the year for which it is levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been satisfied. The trust and custodial funds are custodial in nature and have no measurement focus; however, they use the accrual basis of accounting.

**Waterloo Community School District  
Notes to Basic Financial Statements**

**NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)**

**D. Measurement Focus and Basis of Accounting (Continued)**

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenue is recognized when it becomes measurable and available. Revenue is considered to be available when it is collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the government considers revenue to be available if it is collected within 60 days after year end.

Property tax, intergovernmental revenue (shared revenue, grants and reimbursements from other governments) and interest associated with the current fiscal period are all considered to be susceptible to accrual. All other revenue items are considered to be measurable and available only when cash is received by the District.

Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, principal and interest on long-term debt, claims and judgements, and compensated absences are recognized as expenditures only when payment is due. Capital asset acquisitions are reported as expenditures in governmental funds. Proceeds of general long-term debt and acquisitions under capital leases are reported as other financing sources.

Under the terms of grant agreements, the District funds certain programs by a combination of specific cost-reimbursement grants and general revenue. Thus, when program expenses are incurred, there are both restricted and unrestricted net position available to finance the program. It is the District's policy and procedure to first apply cost-reimbursement grant sources to such programs, and then general revenue.

When an expenditure is incurred in governmental funds which can be paid using either restricted or unrestricted resources, the District's policy and procedure is generally to first apply the expenditure toward restricted fund balance and then to less-restrictive classifications – committed, assigned, and then unassigned fund balances.

Proprietary funds distinguish operating revenue and expenses from nonoperating items. Operating revenue and expenses generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenue of the District's Enterprise Fund is charges to customers for sales and services. Operating expenses for the Enterprise Fund include the cost of sales and services, administrative expenses and depreciation on capital assets. All revenue and expenses not meeting this definition are reported as nonoperating revenue and expenses.

The District maintains its financial records on the cash basis. The basic financial statements of the District are prepared by making memorandum adjusting entries to the cash basis financial records.

**Waterloo Community School District  
Notes to Basic Financial Statements**

**NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)**

**D. Measurement Focus and Basis of Accounting (Continued)**

**Description of Funds:**

Major Governmental Funds:

General Fund – This fund is the general operating fund of the District. All general tax revenue and other revenue not allocated by law or contractual agreement to some other fund are accounted for in this fund. From the fund are paid the general operating expenditures, including instructional, support, and other costs.

Debt Service Fund – This fund is utilized to account for property tax and other revenue to be used for the payment of interest and principal on the District's general long-term debt.

Capital Projects Fund – This fund is used to account for all resources used in the acquisition and construction of capital facilities and other capital assets.

Nonmajor Proprietary Funds:

School Nutrition Enterprise Fund – This fund is used to account for the food service operations of the District.

Print Shop Internal Service Fund – This fund is utilized to account for printing services provided by the District.

The District also reports fiduciary funds which focus on net position and changes in net position.

Fiduciary Funds:

Private Purpose Trust Fund – This fund is used to account for assets held by the District under trust agreements which require income earned to be used to benefit individuals through scholarship awards.

Custodial Fund – This fund is used to account for assets held by the District as a custodian for individuals and committees for various designated purposes.

**E. Cash, Cash Equivalents, and Investments**

The cash balances of most District funds are pooled and invested. Investments are stated at fair value except for the investment in the Iowa Schools Joint Investment Trust, and the Goldman Sachs Financial Square Fund which are valued at amortized cost.

For purposes of the statement of cash flows, all short-term cash investments that are highly liquid are considered to be cash equivalents. Cash equivalents are readily convertible to known amounts of cash and, at the day of purchase, they have a maturity date no longer than three months.

**Waterloo Community School District  
Notes to Basic Financial Statements**

**NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)**

**F. Property Tax Receivable**

Property tax in the governmental funds is accounted for using the modified accrual basis of accounting.

Property tax receivable is recognized in these funds on the levy or lien date, which is the date the tax asking is certified by the Board of Education. Delinquent property tax receivable represents unpaid taxes for the current and prior years. The succeeding year property tax receivable represents taxes certified by the Board of Education to be collected in the next fiscal year for the purposes set out in the budget for the next fiscal year. By statute, the District is required to certify its budget in April of each year for the subsequent fiscal year. However, by statute, the tax asking and budget certification for the following fiscal year becomes effective on the first day of that year. Although the succeeding year property tax receivable has been recorded, the related revenue is deferred in both the government-wide and fund financial statements and will not be recognized as revenue until the year for which it is levied.

Property tax revenue recognized in these funds becomes due and collectible in September and March of the fiscal year with a 1-1/2% per month penalty for delinquent payments; is based on January 1, 2020, assessed property valuations; is for the tax accrual period July 1, 2021 through June 30, 2022; and reflects the tax asking contained in the budget certified to the County Board of Supervisors in April 2021.

**G. Due from Other Governments**

Due from other governments represents primarily amounts due from the State of Iowa, also included are amounts due for various shared revenue, grants, and reimbursements from other governments.

**H. Inventories**

Inventories are valued at cost using the first-in, first-out (FIFO) method for purchased items and contributed value for government commodities. Inventories are recorded as expenses when consumed rather than when purchased or received in the government-wide financial statements and proprietary fund financial statements. In the governmental fund financial statements, inventories are accounted for using the consumption method whereby inventory acquisitions are recorded in inventory accounts when purchased and are charged to operations when consumed or sold.

**I. Prepaid Items**

Certain payments to vendors reflect costs applicable to future accounting periods and are recorded as prepaid items in both the government-wide and fund financial statements using the consumption method.

**J. Capital Assets**

Capital assets, which include property, furniture and equipment are reported in the applicable governmental or business-type activities columns in the government-wide statement of net position. Capital assets are recorded at historical cost. Donated capital assets are recorded at acquisition value. Acquisition value is the price that would have been paid to acquire a capital asset with equivalent service potential. The cost of normal maintenance and repairs that do not add to the value of the asset or materially extend asset useful lives are not capitalized. Capital assets are defined by the District as assets with an initial, individual cost in excess of the following thresholds and estimated useful lives in excess of two years.

**Waterloo Community School District  
Notes to Basic Financial Statements**

**NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)**

**J. Capital Assets (Continued)**

|                                   |          |
|-----------------------------------|----------|
| Land                              | \$ 5,000 |
| Buildings and improvements        | 5,000    |
| Improvements other than buildings | 5,000    |
| Furniture and equipment           |          |
| School Nutrition Fund equipment   | 500      |
| Other furniture and equipment     | 5,000    |

Capital assets are depreciated using the straight-line method over the following estimated useful lives:

|                                   |             |
|-----------------------------------|-------------|
| Buildings and improvements        | 7-50 Years  |
| Improvements other than buildings | 20-30 Years |
| Furniture and equipment           | 5-25 Years  |

**K. Deferred Outflows of Resources**

Deferred outflows of resources represent a consumption of net assets that applies to a future period(s) and will not be recognized as an outflow of resources (expense/expenditure) until then. Deferred outflows of resources consist of unrecognized items not yet charged to pension expense, contributions from the District after the measurement date but before the end of the District's reporting period and the deferred amount on refunding bonds resulting from the difference in the carrying value of refunded debt and the reacquisition price. Deferred outflows of resources related to OPEB are recorded on the Statements of Net Position for various estimate differences that will be amortized and recognized over future years.

**L. Salaries and Benefits Payable**

Payroll and related expenditures for employees with annual contracts corresponding to a current school year, which are payable in July and August have been accrued as liabilities.

**M. Compensated Absences**

District employees accumulate a limited amount of earned but unused vacation for subsequent use or for payment upon termination, death or retirement. A liability is recorded when incurred in the government-wide financial statements. A liability for these amounts is reported in governmental fund financial statements only for employees that have resigned or retired. The compensated absences liability has been computed based on rates of pay in effect as of June 30, 2022. The compensated absences liability attributable to the governmental activities will be paid primarily by the General Fund. The District chooses to classify all vacation payable as due within one year since they believe all vacation carried over will be used in the subsequent year.

**Waterloo Community School District  
Notes to Basic Financial Statements**

**NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)**

**N. Long-Term Obligations**

In the government-wide financial statements, long-term debt, and other long-term obligations are reported as liabilities in the governmental activities column in the statement of net position. Bond premiums are amortized over the life of the bonds using the straight-line method. Refunding of debt may result in deferred gains or losses and are reported as deferred inflows and outflows of resources. The difference between the reacquisition price and the net carrying amount of the old debt is deferred and amortized as a component of long-term debt interest and fiscal charges using the straight-line method.

In the fund financial statements, governmental fund types recognize bond premiums, and bond issuance costs during the current period. The face amount of debt issued is reported as another financing source. Premiums received on debt issuances are reported as other financing sources. Issuance costs, whether or not withheld or not withheld from the actual debt proceeds received, are reported as debt service expenditures.

**O. Pensions**

For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the Iowa Public Employees' Retirement System (IPERS) and additions to/deductions from IPERS' fiduciary net position have been determined on the same basis as they are reported by IPERS. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value. The net pension liability attributable to the governmental activities will be paid primarily by the General Fund and the School Nutrition Enterprise Fund.

**P. Total OPEB Liability**

For purposes of measuring the total OPEB liability, deferred outflows and deferred inflows of resources related to OPEB and OPEB expense, information has been determined based on the District's actuary report. For this purpose, benefit payments are recognized when due and payable in accordance with the benefit terms. The total OPEB liability attributable to the governmental activities will be paid primarily by the General Fund and the School Nutrition Enterprise Fund.

**Q. Deferred Inflows of Resources**

Deferred inflows of resources represent an acquisition of net assets that applies to a future period(s) and so will not be recognized as an inflow of resources (revenue) until that time. Although certain revenue is measurable, it is not available. Available means collected within the current year or expected to be collected soon enough thereafter to be used to pay liabilities of the current year. Deferred inflows of resources in the governmental fund financial statements represent the amount of assets that have been recognized, but the related revenue has not been recognized since the assets are not collected within the current year or expected to be collected soon enough thereafter to be used to pay liabilities of the current year. Deferred inflows of resources in the governmental fund financial statements consist of property taxes receivable and other receivables not collected within 60 days after year end.

**Waterloo Community School District  
Notes to Basic Financial Statements**

**NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)**

**Q. Deferred Inflows of Resources (Continued)**

Deferred inflows of resources in the statement of net positions consist of succeeding year property tax receivable that will not be recognized as revenue until the year for which it is levied and unrecognized items not yet charged to pension expense and amounts related to OPEB for various estimate differences that will be amortized and recognized over future years.

**R. Fund Balances**

In the governmental fund financial statements, fund balances are classified as follows:

- Nonspendable – Amounts that cannot be spent because they are in nonspendable form or because they are legally or contractually required to be maintained intact.
- Restricted – Amounts restricted to specific purposes when constraints placed on the use of the resources are either externally imposed by creditors, granters, or state or federal laws or imposed by law through constitutional provisions or enabling legislation. Enabling legislation did not result in any restricted fund balance.
- Assigned – Amounts the Board of Education intends to use for specific purposes. It is the District's policy that the authority to assign fund balance has been delegated by the District's Board of Education to the Superintendent.
- Unassigned – All amounts not included in the preceding classifications. The General Fund is the only fund that would report a positive amount in unassigned fund balance. A negative unassigned fund balance may be reported in other governmental funds if expenditures incurred for specific purposes exceeded the amounts restricted, committed or assigned to those purposes.

**S. Budgets and Budgetary Accounting**

The budgetary comparison and related disclosures are reported as required supplementary information. During the year ended June 30, 2022, expenditures/expenses did not exceed the amounts budgeted and the District did not exceed its General Fund unspent authorized budget.

**T. Estimates and Assumptions**

The preparation of basic financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the reported amounts of assets, deferred outflows of resources, liabilities, deferred inflows of resources, and disclosure of contingent assets and liabilities at the date of the basic financial statements and the reported amounts of revenue and expenditures/expenses during the reporting period. Actual results could differ from those estimates.

**Waterloo Community School District  
Notes to Basic Financial Statements**

**NOTE 2 – CASH, CASH EQUIVALENTS, AND INVESTMENTS**

The District is authorized by statute to invest public funds in obligations of the United States Government, its agencies and instrumentalities; certificates of deposit or other evidences of deposit at federally insured depository institutions approved by the Board of Education; prime eligible bankers acceptances; certain high-rated commercial paper; perfected repurchase agreements; certain registered open-end management investment companies; certain joint investment trusts; and warrants or improvements certificates of a drainage district.

As of June 30, 2022, the District had the following nonpooled investments:

| <u>Investment</u>                   | <u>Fair Value</u>    | <u>Maturity</u> |
|-------------------------------------|----------------------|-----------------|
| U.S. Treasury Notes                 | \$ 11,765,775        | July, 1, 2025   |
| U.S. Treasury Bonds                 | 1,115,983            | May 15, 2025    |
| Goldman Sachs Financial Square Fund | <u>6,976,821</u>     |                 |
| Total                               | <u>\$ 19,858,579</u> |                 |

The District uses the fair value hierarchy established by generally accepted accounting principles based on the valuation inputs used to measure the fair value of the asset. Level 1 inputs are quoted prices in active markets for identical assets. Level 2 inputs are significant other observable inputs. Level 3 inputs are significant unobservable inputs.

The recurring fair value measurement for the U.S. Treasury Notes and Bonds of \$12,881,758 was determined using the last reported sales price at current exchange rates (Level 1 inputs).

As of June 30, 2022, the District had investments in the Iowa Schools Joint Investment Trust (ISJIT) Diversified Portfolio which are valued at an amortized cost of \$8,744,752. The Goldman Sachs Financial Square Fund is also measured at amortized cost. There were no limitations or restrictions on withdrawals of these investments.

**A. Interest Rate Risk**

The District's investment policy limits the investment of operating funds (funds expected to be expended in the current budget year or within 15 months of receipt) in instruments that mature within 397 days. Funds not identified as operating funds may be invested in investments with maturities longer than 397 days but the maturities shall be consistent with the needs and use of the District.

**B. Credit Risk**

The Board authorizes the District to invest funds in excess of current needs in interest-bearing savings, money market, and checking accounts in the District's authorized depositories; the Iowa Schools Joint Investment Trust; obligations of the United States governments, its agencies and instrumentalities; and certificates of deposit and other evidences of deposit at federally insured Iowa depository institutions. The Iowa Schools Joint Investment Trust and the Goldman Sachs Financial Square Fund were rated AAAM by Standard & Poor's Financial Services. The District's policy does not further limit the District's investments in relation to credit risk.

**Waterloo Community School District**  
**Notes to Basic Financial Statements**

**NOTE 2 – CASH, CASH EQUIVALENTS, AND INVESTMENTS (CONTINUED)**

**C. Concentration of Credit Risk**

The District's general investment policy is to apply the prudent-person rule: in making investments, the District shall exercise the care, skill, prudence, and diligence under the circumstances then prevailing that a prudent person acting in a like capacity and familiar with such matters would use to meet the goals of the investment program.

The investments in the Iowa Schools Joint Investment Trust, the Goldman Sachs Financial Square Fund and U.S. Treasury Notes and Bonds are not subject to concentration of credit risk.

**D. Custodial Credit Risk**

For deposits, custodial credit risk is the risk that in an event of a bank failure, the government's deposits may not be returned to it. For an investment, custodial credit risk is the risk that in the event of the failure of the counterparty, the District will not be able to recover the value of its investments or collateral securities that are in the possession of an outside party. The District does not have a formal policy for custodial credit risk.

The District's deposits in banks as of June 30, 2022, were entirely covered by federal depository insurance or by the State Sinking Fund in accordance with Chapter 12C of the Code of Iowa. This chapter provides for additional assessments against the depositories to insure there will be no loss of public funds.

**E. Deposits and Investments**

Summary of cash, deposits, and investments as of June 30, 2022:

District Governmental Funds

|                                |                             |
|--------------------------------|-----------------------------|
| Deposits - pooled              | \$ 50,177,793               |
| Deposits - non-pooled          | 7,824,807                   |
| Investments - pooled           | -                           |
| Investments - pooled           | 8,744,752                   |
| Investments - non-pooled       | 19,858,579                  |
| Cash with fiscal agent         | 104,425                     |
| Petty cash                     | <u>8,450</u>                |
| Total deposits and investments | <u><u>\$ 86,718,806</u></u> |

**Waterloo Community School District**  
**Notes to Basic Financial Statements**

**NOTE 2 – CASH, CASH EQUIVALENTS, AND INVESTMENTS (CONTINUED)**

**E. Deposits and Investments (Continued)**

Cash, deposits and investments are presented in the June 30, 2022, basic financial statements as follows:

|                                     |                             |
|-------------------------------------|-----------------------------|
| Statement of Net Position           |                             |
| Cash and investments                | \$ 86,560,354               |
| Cash with fiscal agent              | 104,425                     |
| Statement of Fiduciary Net Position |                             |
| Private Purpose Trust Fund          | 11,744                      |
| Custodial Fund                      | 42,283                      |
|                                     | <hr/>                       |
| Total                               | <u><u>\$ 86,718,806</u></u> |

**NOTE 3 – DUE TO AND DUE FROM OTHER FUNDS**

| Receivable Fund  | Payable Fund             | Amount                   |
|------------------|--------------------------|--------------------------|
| Enterprise       |                          |                          |
| School nutrition | General                  | \$ 138,607               |
|                  | Capital projects         | 530                      |
|                  | Nonmajor Special revenue |                          |
|                  | Student activity         | 59,411                   |
|                  |                          | <hr/>                    |
| Total            |                          | <u><u>\$ 198,548</u></u> |

The General, Capital Projects, and Student Activity Special Revenue Fund, are repaying the School Nutrition Enterprise Fund for various expenses not reimbursed before year end. The balances are to be repaid by June 30, 2022.

**NOTE 4 – INTERFUND TRANSFERS**

The detail of the interfund transfers for the year ended June 30, 2022, is as follows:

| Transfer to                   | Transfer From              | Amount                     |
|-------------------------------|----------------------------|----------------------------|
| Debt service                  | Capital projects           | \$ 9,115,911               |
| Enterprise - School nutrition | Capital projects           | 207,012                    |
| General                       | Nonmajor - special revenue |                            |
|                               | management levy            | 13,544                     |
|                               |                            | <hr/>                      |
| Total                         |                            | <u><u>\$ 9,336,467</u></u> |

Transfers are used to (1) move revenue from the fund that statute or budget requires to collect the resources to the fund that statute or budget requires to expend the resources or (2) use unrestricted revenue collected in a certain fund to finance various programs accounted for in other funds in accordance with budgetary authorization.

**Waterloo Community School District**  
**Notes to Basic Financial Statements**

**NOTE 5 – CAPITAL ASSETS**

Capital assets activity for the year ended June 30, 2022, was as follows:

|                                              | Balance –<br>Beginning of<br>Year | Increases            | Decreases            | Balance – End<br>of Year |
|----------------------------------------------|-----------------------------------|----------------------|----------------------|--------------------------|
| <b>Governmental Activities</b>               |                                   |                      |                      |                          |
| Capital assets not being depreciated         |                                   |                      |                      |                          |
| Land                                         | \$ 3,441,332                      | \$ 5,741             | \$ 60,528            | \$ 3,386,545             |
| Construction in progress                     | 18,004,955                        | 18,745,136           | 22,922,876           | 13,827,215               |
| Total capital assets not being depreciated   | <u>21,446,287</u>                 | <u>18,750,877</u>    | <u>22,983,404</u>    | <u>17,213,760</u>        |
| Capital assets being depreciated             |                                   |                      |                      |                          |
| Buildings and improvements                   | 222,293,633                       | 22,987,333           | 1,532,119            | 243,748,847              |
| Improvements other than buildings            | 11,620,342                        | 17,481               | 133,384              | 11,504,439               |
| Furniture and equipment                      | 14,521,212                        | 381,088              | 1,147,590            | 13,754,710               |
| Total capital assets being depreciated       | <u>248,435,187</u>                | <u>23,385,902</u>    | <u>2,813,093</u>     | <u>269,007,996</u>       |
| Less accumulated depreciation for            |                                   |                      |                      |                          |
| Buildings and improvements                   | 74,948,528                        | 5,015,312            | 1,525,182            | 78,438,658               |
| Improvements other than buildings            | 5,934,703                         | 484,252              | 127,484              | 6,291,471                |
| Furniture and equipment                      | 11,247,940                        | 531,713              | 1,099,972            | 10,679,681               |
| Total accumulated depreciation               | <u>92,131,171</u>                 | <u>6,031,277</u>     | <u>2,752,638</u>     | <u>95,409,810</u>        |
| Total capital assets being depreciated, net  | <u>156,304,016</u>                | <u>17,354,625</u>    | <u>60,455</u>        | <u>173,598,186</u>       |
| Governmental activities capital assets, net  | <u>\$ 177,750,303</u>             | <u>\$ 36,105,502</u> | <u>\$ 23,043,859</u> | <u>\$ 190,811,946</u>    |
| <b>Business-Type Activities</b>              |                                   |                      |                      |                          |
| Furniture and equipment                      | \$ 3,601,987                      | \$ 207,012           | \$ 69,174            | \$ 3,739,825             |
| Less accumulated depreciation                | <u>3,291,981</u>                  | <u>92,025</u>        | <u>62,951</u>        | <u>3,321,055</u>         |
| Business-type activities capital assets, net | <u>\$ 310,006</u>                 | <u>\$ 114,987</u>    | <u>\$ 6,223</u>      | <u>\$ 418,770</u>        |

**Waterloo Community School District**  
**Notes to Basic Financial Statements**

**NOTE 5 – CAPITAL ASSETS (CONTINUED)**

Depreciation expense was charged to the following functions:

**Governmental Activities**

Instruction

|            |           |
|------------|-----------|
| Regular    | \$ 31,140 |
| Vocational | 43,774    |
| Other      | 47,290    |

Support Services

|                                     |         |
|-------------------------------------|---------|
| General administration              | 2,004   |
| School administration               | 623     |
| Business and central administration | 53,727  |
| Operation and maintenance of plant  | 192,659 |
| Transportation                      | 5,000   |

|             |                  |
|-------------|------------------|
| Unallocated | <u>5,655,060</u> |
|-------------|------------------|

|                                                      |                            |
|------------------------------------------------------|----------------------------|
| Total depreciation expense - governmental activities | <u><u>\$ 6,031,277</u></u> |
|------------------------------------------------------|----------------------------|

**Business-Type Activities**

|                         |                         |
|-------------------------|-------------------------|
| Food service operations | <u><u>\$ 92,025</u></u> |
|-------------------------|-------------------------|

**NOTE 6 – LONG-TERM LIABILITIES**

Changes in long-term liabilities for the year ended June 30, 2022, are summarized as follows:

|                                         | Balance -<br>Beginning of<br>Year | Additions                   | Reductions                  | Balance - End<br>of Year    | Due Within<br>One Year     |
|-----------------------------------------|-----------------------------------|-----------------------------|-----------------------------|-----------------------------|----------------------------|
| <b>Governmental Activities</b>          |                                   |                             |                             |                             |                            |
| Revenue bonds                           | \$ 88,498,539                     | \$ 30,281,000               | \$ 36,367,000               | \$ 82,412,539               | \$ 6,016,000               |
| Unamortized premium<br>on bonds payable | 3,216,588                         | -                           | 246,834                     | 2,969,754                   | -                          |
| Compensated absences                    | <u>438,268</u>                    | <u>1,134,453</u>            | <u>1,162,129</u>            | <u>410,592</u>              | <u>410,592</u>             |
| Total                                   | <u><u>\$ 92,153,395</u></u>       | <u><u>\$ 31,415,453</u></u> | <u><u>\$ 37,775,963</u></u> | <u><u>\$ 85,792,885</u></u> | <u><u>\$ 6,426,592</u></u> |

**Waterloo Community School District**  
**Notes to Basic Financial Statements**

**NOTE 6 – LONG-TERM LIABILITIES (CONTINUED)**

**Revenue Bonds**

Details of the District's June 30, 2022, statewide sales, services and use tax revenue (and refunding) bonded indebtedness are as follows:

| Bonds Issued April 26, 2011 - Series B<br>Original Issue Amount - \$16,379,539 |               |                      |                     |                       |                           |
|--------------------------------------------------------------------------------|---------------|----------------------|---------------------|-----------------------|---------------------------|
| Year Ending<br>June 30,                                                        | Interest Rate | Principal            | Interest            | Credit                | Interest Net of<br>Credit |
| 2023                                                                           | 5.85%         | \$ -                 | \$ 958,203          | \$ (884,495)          | \$ 73,708                 |
| 2024                                                                           | 5.85%         | -                    | 958,203             | (884,495)             | 73,708                    |
| 2025                                                                           | 5.85%         | -                    | 958,203             | (884,495)             | 73,708                    |
| 2026                                                                           | 5.85%         | 16,379,539           | 479,102             | (442,248)             | 36,854                    |
| Total                                                                          |               | <u>\$ 16,379,539</u> | <u>\$ 3,353,711</u> | <u>\$ (3,095,733)</u> | <u>\$ 257,978</u>         |

| Bonds Issued March 1, 2018<br>Original Issue Amount - \$16,667,000 |               |                      |                     | Bonds Issued October 20, 2020<br>Original Issue Amount - \$22,600,000 |                      |                     |
|--------------------------------------------------------------------|---------------|----------------------|---------------------|-----------------------------------------------------------------------|----------------------|---------------------|
| Year Ending<br>June 30,                                            | Interest Rate | Principal            | Interest            | Interest Rate                                                         | Principal            | Interest            |
| 2023                                                               | 2.93%         | \$ 615,000           | \$ 399,784          | 4.00%                                                                 | \$ 900,000           | \$ 741,850          |
| 2024                                                               | 2.93%         | 520,000              | 383,156             | 4.00%                                                                 | 370,000              | 716,450             |
| 2025                                                               | 2.93%         | 1,720,000            | 350,340             | 4.00%                                                                 | 450,000              | 700,050             |
| 2026                                                               | 2.93%         | 2,290,000            | 291,594             | 4.00%                                                                 | 450,000              | 682,050             |
| 2027                                                               | 2.93%         | 2,430,000            | 222,445             | 4.00%                                                                 | 100,000              | 671,050             |
| 2028-2032                                                          | 2.93%         | 6,377,000            | 275,786             | 3.00%-4.00%                                                           | 17,530,000           | 2,328,625           |
| 2033-2036                                                          |               | -                    | -                   | 3.00%                                                                 | 2,000,000            | 120,000             |
| Total                                                              |               | <u>\$ 13,952,000</u> | <u>\$ 1,923,105</u> |                                                                       | <u>\$ 21,800,000</u> | <u>\$ 5,960,075</u> |

| Bonds Issued July 8, 2021<br>Original Issue Amount - \$30,281,000 |               |                      |                     | Total                |                           |                      |
|-------------------------------------------------------------------|---------------|----------------------|---------------------|----------------------|---------------------------|----------------------|
| Year Ending<br>June 30,                                           | Interest Rate | Principal            | Interest            | Principal            | Interest Net of<br>Credit | Total                |
| 2023                                                              | 1.14%         | \$ 4,501,000         | \$ 319,548          | \$ 6,016,000         | \$ 1,534,889              | \$ 7,550,889         |
| 2024                                                              | 1.14%         | 4,255,000            | 269,638             | 5,145,000            | 1,442,953                 | 6,587,953            |
| 2025                                                              | 1.14%         | 3,050,000            | 228,000             | 5,220,000            | 1,352,098                 | 6,572,098            |
| 2026                                                              | 1.14%         | 3,745,000            | 189,269             | 22,864,539           | 1,199,766                 | 24,064,305           |
| 2027                                                              | 1.14%         | 4,780,000            | 140,676             | 7,310,000            | 1,034,172                 | 8,344,172            |
| 2028-2032                                                         | 1.14%         | 9,950,000            | 113,487             | 33,857,000           | 2,717,898                 | 36,574,898           |
| 2033-2036                                                         | 1.14%         | -                    | -                   | 2,000,000            | 120,000                   | 2,120,000            |
| Total                                                             |               | <u>\$ 30,281,000</u> | <u>\$ 1,260,618</u> | <u>\$ 82,412,539</u> | <u>\$ 9,401,776</u>       | <u>\$ 91,814,315</u> |

**Waterloo Community School District  
Notes to Basic Financial Statements**

**NOTE 6 – LONG-TERM LIABILITIES (CONTINUED)**

**Revenue Bonds (Continued)**

The District has pledged future statewide sales, services and use tax revenue to repay the \$69,548,000 of bonds issued in March 2018, October 2020 and July 2021. The bonds were issued for the purpose of financing a portion of the costs associated with site acquisition, construction, reconstruction, remodeling, and refurbishing certain District facilities, refunding certain District outstanding statewide sales, services and use tax revenue bonds and paying the costs of issuing the bonds. The bonds are payable solely from proceeds of the statewide sales, services, and use tax revenue received by the District. The bonds are not a general obligation of the District. However, the debt is subject to the constitutional debt limitation of the District. The total principal and interest remaining to be paid on the bonds is \$75,176,798. For the current year, principal of \$36,367,000 and interest of \$1,999,273 was paid on the bonds.

The District has also pledged future statewide sales, services, and use tax revenue to repay the \$16,379,539 of qualified school construction bonds Series B (direct pay) issued in April 2011. The bonds were issued for the purpose of financing a portion of the costs associated with site acquisition and construction of a new elementary school. The bonds are payable solely from proceeds of the statewide sales, services and use tax revenue received by the District and mature July 1, 2025. The bonds have an interest rate of 5.85% but the District is entitled to a credit from the federal government at a rate of 5.4% (Build America Bonds). The District must remit interest net of any credits received to the bondholder semi-annually. The bonds are not a general obligation of the District. However, the debt is subject to the constitutional debt limitation of the District. The total principal and interest net of credits remaining to be paid on the bonds is \$16,637,517. For the current year, no principal and interest net of credit of \$73,708 was paid on the bonds.

Annual principal and interest payments on all outstanding bonds are expected to require nearly 44% of the statewide sales, services, and use tax revenue. For the current year, total statewide sales, services, and use tax revenue was \$11,932,100.

The resolutions providing for the issuance of the statewide, sales, services, and use tax revenue (and refunding) bonds include the following provisions:

- a. The proceeds from the issuance of the bonds be used to pay off any remaining principal and interest due on the 2011 Series A bonds (2021 Series only).
- b. All proceeds from the statewide sales, services and use tax shall be placed in a revenue account.
- c. Monies in the revenue account shall be disbursed to make deposits into a sinking account to pay the principal and interest requirements of the revenue bonds for the fiscal year.
- d. Any monies remaining in the revenue account after the required transfer to the sinking account may be transferred to the project account to be used for any lawful purpose.

In July 2021, the City issued \$30,281,000 of School Infrastructure Sales, Services and Use Tax Revenue Refunding Bonds, Series 2021 for the current refunding of the School Infrastructure Sales, Services and Use Tax Revenue Bonds, Series 2013, and the School Infrastructure Sales, Services, and Use Tax Revenue Refunding Bonds, Series 2017. The refunding was done to take advantage of lower interest rates. The refunding resulted in a decrease of future debt service payments of \$1,789,336. The net present value cash flow savings from this transaction was \$1,675,995.

**Waterloo Community School District  
Notes to Basic Financial Statements**

**NOTE 6 – LONG-TERM LIABILITIES (CONTINUED)**

**Revenue Bonds (Continued)**

The District complied with all of the revenue bond provisions during the year ended June 30, 2022.

The District did not exceed its legal debt margin as of June 30, 2022, as follows:

|                                                                       |                              |
|-----------------------------------------------------------------------|------------------------------|
| Total Assessed Valuation                                              | \$ 4,460,606,681             |
| Debt limit (5% of total assessed valuation)                           | \$ 223,030,334               |
| Amount of debt applicable to debt limit (total bonded debt)           | <u>(82,412,539)</u>          |
| Excess of debt limit over bonded debt outstanding (legal debt margin) | <u><u>\$ 140,617,795</u></u> |

**NOTE 7 – PENSION AND RETIREMENT BENEFITS**

**A. Plan Description**

IPERS membership is mandatory for employees of the District, except for those covered by another retirement system. Employees of the District are provided with pensions through a cost-sharing multiple-employer defined benefit pension plan administered by the Iowa Public Employees' Retirement System (IPERS). IPERS issues a stand-alone financial report which is available to the public by mail at PO Box 9117, Des Moines, Iowa 50306-9117 or at [www.ipers.org](http://www.ipers.org).

IPERS benefits are established under Iowa Code Chapter 97B and the administrative rules thereunder. Chapter 97B and the administrative rules are the official plan documents. The following brief description is provided for general informational purposes only. Refer to the plan documents for more information.

**B. Pension Benefits**

A regular member may retire at normal retirement age and receive monthly benefits without an early-retirement reduction. Normal retirement age is age 65, any time after reaching age 62 with 20 or more years of covered employment, or when the member's years of service plus the member's age at the last birthday equals or exceeds 88, whichever comes first. These qualifications must be met on the member's first month of entitlement to benefits. Members cannot begin receiving retirement benefits before age 55. The formula used to calculate a regular member's monthly IPERS benefit includes:

- A multiplier based on years of service.
- The member's highest five-year average salary, except members with service before June 30, 2012, will use the highest three-year average salary as of that date if it is greater than the highest five- year average salary.

If a member retires before normal retirement age, the member's monthly retirement benefit will be permanently reduced by an early-retirement reduction. The early-retirement reduction is calculated differently for service earned before and after July 1, 2012. For service earned before July 1, 2012, the reduction is 0.25% for each month that the member receives benefits before the member's earliest normal retirement age. For service earned on or after July 1, 2012, the reduction is 0.50% for each month the member receives benefits before age 65.

**Waterloo Community School District  
Notes to Basic Financial Statements**

**NOTE 7 – PENSION AND RETIREMENT BENEFITS (CONTINUED)**

**B. Pension Benefits (Continued)**

Generally, once a member selects a benefit option, a monthly benefit is calculated and remains the same for the rest of the member's lifetime. However, to combat the effects of inflation, retirees who began receiving benefits prior to July 1990 receive a guaranteed dividend with their regular November benefit payments.

**C. Disability and Death Benefits**

A vested member who is awarded federal Social Security disability or Railroad Retirement disability benefits is eligible to claim IPERS benefits regardless of age. Disability benefits are not reduced for early retirement. If a member dies before retirement, the member's beneficiary will receive a lifetime annuity or a lump-sum payment equal to the present actuarial value of the member's accrued benefit or calculated with a set formula, whichever is greater. When a member dies after retirement, death benefits depend on the benefit option the member selected at retirement.

**D. Contributions**

Contribution rates are established by IPERS following the annual actuarial valuation, which applies IPERS' Contribution Rate Funding Policy and Actuarial Amortization Method. State statute limits the amount rates can increase or decrease each year to one percentage point. IPERS' Contribution Rate Funding Policy requires the actuarial contribution rate be determined using the "entry age normal" actuarial cost method and the actuarial assumptions and methods approved by the IPERS Investment Board. The actuarial contribution rate covers normal cost plus the unfunded actuarial liability payment based on a 30-year amortization period. The payment to amortize the unfunded actuarial liability is determined as a level percentage of payroll, based on the Actuarial Amortization Method adopted by the Investment Board.

In fiscal year 2022, pursuant to the required rate, regular members contributed 6.29% of covered payroll and the District contributed 9.44% of covered payroll, for a total rate of 15.73%.

The District's contributions to IPERS for the year ended June 30, 2022, were \$8,176,983.

**E. Net Pension Liabilities, Pension Expense, Deferred Outflows of Resources and  
Deferred Inflows of Resources Related to Pensions**

As of June 30, 2022, the District reported a liability of \$1,439,020 for its proportionate share of the net pension liability. The net pension liability was measured as of June 30, 2021, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date. The District's proportion of the net pension liability was based on the District's share of contributions to IPERS relative to the contributions of all IPERS participating employers. As of June 30, 2021, the District's proportion was 1.026% which was a decrease of 0.010% from its proportion measured as of June 30, 2020.

**Waterloo Community School District**  
**Notes to Basic Financial Statements**

**NOTE 7 – PENSION AND RETIREMENT BENEFITS (CONTINUED)**

**E. Net Pension Liabilities, Pension Expense, Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions (Continued)**

For the year ended June 30, 2022, the District recognized pension expense of (\$5,355,391). As of June 30, 2022, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

|                                                                                                                  | Deferred<br>Outflows of<br>Resources | Deferred<br>Inflow of<br>Resources |
|------------------------------------------------------------------------------------------------------------------|--------------------------------------|------------------------------------|
| Differences between expected and actual experience                                                               | \$ 1,094,457                         | \$ 1,098,454                       |
| Changes of assumptions                                                                                           | 918,578                              | -                                  |
| Net difference between projected and actual earnings on<br>IPERS investments                                     | -                                    | 52,064,030                         |
| Changes in proportion and differences between District<br>contributions and proportionate share of contributions | 942,020                              | 735,479                            |
| District contributions subsequent to the measurement date                                                        | 8,176,983                            | -                                  |
|                                                                                                                  | <u>\$ 11,132,038</u>                 | <u>\$ 53,897,963</u>               |
| Total                                                                                                            | <u>\$ 11,132,038</u>                 | <u>\$ 53,897,963</u>               |

\$8,176,983 reported as deferred outflows of resources related to pensions resulting from the District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ending June 30, 2023. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

| Year Ending<br>June 30, |                        |
|-------------------------|------------------------|
| 2023                    | \$ (12,544,042)        |
| 2024                    | (12,459,379)           |
| 2025                    | (11,689,538)           |
| 2026                    | (14,228,615)           |
| 2027                    | (21,334)               |
| Total                   | <u>\$ (50,942,908)</u> |

There were no nonemployer contributing entities to IPERS.

**Waterloo Community School District**  
**Notes to Basic Financial Statements**

**NOTE 7 – PENSION AND RETIREMENT BENEFITS (CONTINUED)**

**F. Actuarial Assumptions**

The total pension liability in the June 30, 2021, actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

|                                                               |                                                                                    |
|---------------------------------------------------------------|------------------------------------------------------------------------------------|
| Rate of inflation (effective June 30, 2017)                   | 2.6% per annum.                                                                    |
| Salary increases (effective June 30, 2017)                    | 3.25% to 16.25%, average, including inflation. Rates vary by membership group.     |
| Long-term Investment rate of return (effective June 30, 2017) | 7.0% compounded annually, net of investment expense, including inflation.          |
| Wage growth (effective June 30, 2017)                         | 3.25% per annum, based on 2.6% inflation assumption and 0.65% real wage inflation. |

The actuarial assumptions used in the June 30, 2021, valuation were based on the results of actuarial experience study dated March 24, 2017, and a demographic assumption study dated June 28, 2018.

Mortality rates used in the 2021 valuation were based on the RP-2014 Employee and Health Annuitant Tables with MP-2017 generational adjustments.

The long-term expected rate of return on IPERS' investments was determined using a building-block method in which best-estimate ranges of expected future real rates (expected returns, net of investment expense, and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The target allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

| Asset Class              | Asset<br>Allocation | Long-Term<br>Expected Real<br>Rate of Return |
|--------------------------|---------------------|----------------------------------------------|
| Domestic equity          | 22.0 %              | 4.43 %                                       |
| International equity     | 17.5                | 6.01                                         |
| Global smart beta equity | 6.0                 | 5.10                                         |
| Core plus fixed income   | 26.0                | 0.29                                         |
| Public credit            | 4.0                 | 2.08                                         |
| Cash                     | 1.0                 | -0.25                                        |
| Private equity           | 13.0                | 9.51                                         |
| Private real assets      | 7.5                 | 4.63                                         |
| Private credit           | 3.0                 | 2.87                                         |
| Total                    | 100.0 %             |                                              |

**Waterloo Community School District  
Notes to Basic Financial Statements**

**NOTE 7 – PENSION AND RETIREMENT BENEFITS (CONTINUED)**

**G. Discount Rate**

The discount rate used to measure the total pension liability was 7.00%. The projection of cash flows used to determine the discount rate assumed employee contributions will be made at the contractually required rate and contributions from the District will be made at contractually required rates, actuarially determined. Based on those assumptions, IPERS' fiduciary net position was projected to be available to make all projected future benefit payments to current active and inactive employees. Therefore, the long-term expected rate of return on IPERS' investments was applied to all periods of projected benefit payments to determine the total pension liability.

**H. Sensitivity of the District's Proportionate Share of the Net Pension Liability to Changes in the Discount Rate**

The following presents the District's proportionate share of the net pension liability calculated using the discount rate of 7.00%, as well as what the District's proportionate share of the net pension liability would be if it were calculated using a discount rate that is one percentage point lower (6.00%) or one percentage point higher (8.00%) than the current rate.

|                                                                | 1% Decrease in<br>Discount Rate<br>(6.00%) | Current<br>Discount Rate<br>(7.00%) | 1% Increase in<br>Discount Rate<br>(8.00%) |
|----------------------------------------------------------------|--------------------------------------------|-------------------------------------|--------------------------------------------|
| District's proportionate share<br>of the net pension liability | \$ 50,931,631                              | \$ 1,439,020                        | \$ (40,038,932)                            |

**I. Pension Plan Fiduciary Net Position**

Detailed information about IPERS' fiduciary net position is available in the separately issued IPERS financial report which is available on IPERS' website at [www.ipers.org](http://www.ipers.org).

**J. Payables to the Pension Plan**

As of June 30, 2022, the District reported payables to the defined benefit pension plan of \$1,691,264 for legally required employer contributions and \$1,252,323 for legally required employee contributions withheld from employee wages but not yet remitted to IPERS.

**NOTE 8 – CONTINGENT LIABILITY FOR SICK LEAVE TIME**

District employees accumulate sick leave hours for subsequent use. These accumulations do not vest and therefore are not recognized as liabilities of the District until used by employees. The District's contingent liability for employee sick leave as of June 30, 2022, was approximately \$15,600,000.

**NOTE 9 – RISK MANAGEMENT**

The District is exposed to various risks of loss related to torts, theft, damage to and destruction of assets, errors and omissions, injuries to employees, and natural disasters. These risks are covered by the purchase of commercial insurance. The District assumes liability for any deductibles and claims in excess of coverage limitations. Settled claims from these risks have not exceeded commercial insurance coverage in any of the past three fiscal years. There were no significant reductions in insurance coverage from the prior year.

## **Waterloo Community School District Notes to Basic Financial Statements**

### **NOTE 10 – AREA EDUCATION AGENCY SUPPORT**

The District is required by the Code of Iowa to budget for its share of special education support, media, and educational services provided through the Area Education Agency. The District's actual amount for this purpose totaled \$5,654,682 for the year ended June 30, 2022, and is recorded in the General Fund by making a memorandum adjusting entry to the cash basis financial statements.

### **NOTE 11 – EARLY RETIREMENT PLAN**

The District offers a voluntary early retirement plan to its administrative support staff and administrators. The application for early retirement is subject to approval by the Board of Education.

The District provides a one-time supplemental benefit payment for administrative support staff and administrators. The District offers the plan on an annual basis. To be eligible for the benefit, the administrative support staff or administrator must have attained age 55 by September 1, have completed 13 years of service with the District and have submitted application for retirement by March 31. In addition, for administrators to qualify, at least ten of the years of service must have been as an administrator. Benefits for administrators are computed as 40% of salary based on age at retirement and benefits for administration support are computed as 30% of salary based on age at retirement. The administrative support staff and administrators are also eligible to continue participation in the District's group health insurance program to age 65, as described in Note 13.

As of June 30, 2022, four employees requested early retirement under the fiscal year 2022 incentive. The District had no remaining obligation for this incentive as the one-time payment was made during the year.

Early retirement expenditures for the year ended June 30, 2022, totaled \$143,552.

The early retirement plan liability is liquidated by the Management Fund, a nonmajor governmental fund.

### **NOTE 12 – OTHER POSTEMPLOYMENT BENEFITS (OPEB)**

#### **A. Plan Description**

The District provides a single-employer defined benefit health care plan to employee retirees and their spouses. The plan offers medical/prescription drug and dental coverage. Medical coverage is administered by Wellmark. The dental coverage is administered by Delta Dental. It is the District's policy to periodically review its coverage, and to obtain requests for proposals in order to provide the most favorable benefits and premiums for District employees and retirees. No assets are accumulated in a trust.

#### **B. Benefit Provided**

The District provides post employment retirement benefits to pay health, dental, and life insurance premiums for certain retired District personnel. Benefits are paid on behalf of retired administrative personnel to Medicare eligibility and other qualified staff to Medicare eligibility at which time benefits cease.

**Waterloo Community School District  
Notes to Basic Financial Statements**

**NOTE 12 – OTHER POSTEMPLOYMENT BENEFITS (OPEB) (CONTINUED)**

**C. Members**

As of June 30, 2022, the following were covered by the benefit terms:

|                                                                  |                     |
|------------------------------------------------------------------|---------------------|
| Inactive employees or beneficiaries currently receiving benefits | 36                  |
| Active employees                                                 | <u>1,603</u>        |
| Total                                                            | <u><u>1,639</u></u> |

**D. Contributions**

Retirees under age 65 contribute to the health care plan at the same rate as District employees. This results in the retirees receiving an implicit rate subsidy. Contribution requirements are established by the District, based on the contract terms with Wellmark. The required contributions are based on projected pay-as-you-go financing requirements. For the year 2022, the District contributed \$327,693 to the plan.

**E. Actuarial Assumptions**

The total OPEB liability was determined by an actuarial valuation as of June 30, 2022, using the following actuarial assumptions, applied to all periods included in the measurement, unless otherwise specified:

Key Methods and Assumptions Used in Valuation of Total OPEB Liability

|                                 |                                                                          |
|---------------------------------|--------------------------------------------------------------------------|
| Discount rate                   | 3.54%                                                                    |
| Salary increases                | 3.50%                                                                    |
| Inflation                       | 2.50%                                                                    |
| Healthcare cost trend increases | 7.0% in 2022 grading down by 0.25% each year to an ultimate rate of 4.0% |
| Mortality Assumption            | Pub-2010 mortality table with generational scale MP-2021                 |

The actuarial assumptions used in the June 30, 2022, valuation were based on the results of an actuarial experience study for the period July 1, 2021 – June 30, 2022.

The discount rate used to measure the total OPEB liability was 3.54% based on the 20-year municipal bond yield.

Changes in assumptions since the prior valuation are as follows.

- The discount rate was updated from 2.16% to 3.54%
- The trend rates were reset to an initial rate of 7.00%, grading down by 0.25% per year until reaching the ultimate rate of 4.00% based on current Healthcare Analytics (HCA) Consulting trend study; current economic environment suggests a longer period until reaching the ultimate rate.

**Waterloo Community School District**  
**Notes to Basic Financial Statements**

**NOTE 12 – OTHER POSTEMPLOYMENT BENEFITS (OPEB) (CONTINUED)**

**E. Actuarial Assumptions (Continued)**

- The mortality projection scale was updated from MP-2019 to MP-2021 to reflect the Society of Actuaries' recent mortality study.
- The married percent assumption was updated from 10% to 5% based on current retiree experience.

**F. Total OPEB Liability**

The District's total OPEB liability of \$12,141,996 was measured as of June 30, 2022, and was determined by an actuarial analysis as of that date.

|                                                   | Total<br>OPEB<br>Liability<br>(a) |
|---------------------------------------------------|-----------------------------------|
| Balances at July 1, 2021                          | <u>\$ 12,528,913</u>              |
| Changes for the year                              |                                   |
| Service cost                                      | 1,158,180                         |
| Interest                                          | 292,102                           |
| Assumption changes                                | (897,546)                         |
| Difference between expected and actual experience | (611,960)                         |
| Benefit payments                                  | <u>(327,693)</u>                  |
| Net changes                                       | <u>(386,917)</u>                  |
| Balances at June 30, 2022                         | <u><u>\$ 12,141,996</u></u>       |

**G. OPEB Liability Sensitivity**

The following presents the District's net OPEB liability calculated using the discount rate of 3.54% as well as the liability measured using 1% lower and 1% higher than the current discount rate.

|                    | 1% Decrease in<br>Discount Rate<br>(2.54%) | Current<br>Discount Rate<br>(3.54%) | 1% Increase in<br>Discount Rate<br>(4.54%) |
|--------------------|--------------------------------------------|-------------------------------------|--------------------------------------------|
| Net OPEB liability | \$ 13,260,000                              | \$ 12,141,996                       | \$ 11,121,000                              |

**Waterloo Community School District**  
**Notes to Basic Financial Statements**

**NOTE 12 – OTHER POSTEMPLOYMENT BENEFITS (OPEB) (CONTINUED)**

**G. OPEB Liability Sensitivity (Continued)**

The following presents the net OPEB liability of the District, as well as what the District's net OPEB liability would be if it were calculated using healthcare cost trend rates that are 1% lower and 1% higher than the current healthcare cost trend rates.

|                    | 1% decrease<br>(6.0% decreasing<br>to 3.0%) | Current<br>(7.0% decreasing<br>to 4.0%) | 1% increase<br>(8.0% decreasing<br>to 5.0%) |
|--------------------|---------------------------------------------|-----------------------------------------|---------------------------------------------|
|                    | <u>                    </u>                 | <u>                    </u>             | <u>                    </u>                 |
| Net OPEB liability | \$ 10,561,000                               | \$ 12,141,996                           | \$ 14,053,000                               |

**H. OPEB Expense and Deferred Outflows of Resources and Deferred Inflows of Resources Related to OPEB**

For the year ended June 30, 2022, the District recognized OPEB expense of \$1,365,751. At June 30, 2022, the District reported deferred outflows of resources and deferred inflows of resources related to OPEB from the following sources:

|                                                    | Deferred<br>Outflows of<br>Resources | Deferred<br>Inflows of<br>Resources |
|----------------------------------------------------|--------------------------------------|-------------------------------------|
|                                                    | <u>                    </u>          | <u>                    </u>         |
| Changes of assumptions                             | \$ 290,552                           | \$ 1,667,353                        |
| Differences between expected and actual experience | <u>602,294</u>                       | <u>575,316</u>                      |
| Total                                              | <u><u>\$ 892,846</u></u>             | <u><u>\$ 2,242,669</u></u>          |

Amounts reported as deferred outflows of resources and deferred inflows of resources will be recognized in OPEB expense as follows:

| Year Ending<br>June 30, | <u>                    </u> | Total                        |
|-------------------------|-----------------------------|------------------------------|
|                         |                             | <u>                    </u>  |
| 2023                    |                             | \$ (84,531)                  |
| 2024                    |                             | (84,531)                     |
| 2025                    |                             | (84,531)                     |
| 2026                    |                             | (84,531)                     |
| 2027                    |                             | (84,531)                     |
| Thereafter              |                             | <u>(927,168)</u>             |
| Total                   |                             | <u><u>\$ (1,349,823)</u></u> |

**Waterloo Community School District**  
**Notes to Basic Financial Statements**

**NOTE 13 – CATEGORICAL FUNDING**

In accordance with Iowa Administrative Code Section 98.1, categorical funding is financial support from the state and federal governments targeted for particular categories of students, special programs, or special purposes. This support is in addition to school district or area education agency general purpose revenue, for purposes beyond the basic educational program and most often has restrictions on its use. Any portion of categorical funding provided by the state that is not expended by the end of the fiscal year must be carried forward as a restricted fund balance.

The District's restricted fund balance for categorical funding as of June 30, 2022 is comprised of the following programs:

|                                            |                            |
|--------------------------------------------|----------------------------|
| Educator quality, professional development | \$ 760,312                 |
| Early literacy                             | 7,915                      |
| Limited english proficiency                | 116,625                    |
| Home school assistance                     | 63,436                     |
| Teacher leadership                         | 171,080                    |
| Textbook aid for nonpublic students        | <u>39,826</u>              |
| Total                                      | <u><u>\$ 1,159,194</u></u> |

**NOTE 14 – COMMITMENTS**

The District has entered into agreements with various companies for nursing and operation of the District's student transportation services. Terms of the agreements range from one to five years, and all agreements contain provisions for renewal.

The District has entered into various contracts for several projects which are primarily being funded by the statewide sales, services and use tax. The projects primarily include the construction of a new Waterloo Career Center and remodel of Central School. As of June 30, 2022, the remaining commitment on these contracts was \$17,921,945 and will be paid as work on the projects progress.

**NOTE 15 – TAX ABATEMENTS**

Governmental Accounting Standards Board Statement No. 77 defines tax abatements as a reduction in tax revenue that results from an agreement between one or more governments and an individual entity in which (a) one or more governments promise to forgo tax revenue to which they are otherwise entitled and (b) the individual or entity promises to take a specific action after the agreement has been entered into that contributes to economic development or otherwise benefits the governments or the citizens of those governments.

**Waterloo Community School District**  
**Notes to Basic Financial Statements**

**NOTE 15 – TAX ABATEMENTS (CONTINUED)**

**Tax Abatements of Other Entities**

Property tax revenue of the District were reduced by the following amounts for the year ended June 30, 2022, under agreements entered into by the following entities:

| Entity           | Tax Abatement Program                           | Amount of Tax<br>Abated |
|------------------|-------------------------------------------------|-------------------------|
| City of Waterloo | Urban Renewal and Economic Development Projects | \$ 1,170,986            |

The State of Iowa reimburses the District an amount equivalent to the increment of valuation on which property tax is divided times \$5.40 per \$1,000 of taxable valuation. For the year ended June 30, 2022, the District received \$559,850 in reimbursements.

**NOTE 16 – GASB STANDARDS ISSUED BUT NOT YET IMPLEMENTED**

GASB Statement No. 96, *Subscription-Based Information Technology Arrangements* establishes that a Subscription-Based Information Technology Arrangement (SBITA) results in a right-to-use subscription asset and a corresponding liability. Under this statement, a governmental entity generally should recognize a right-to-use subscription asset – an intangible asset – and a corresponding subscription liability. This statement will be effective for the year ending June 30, 2023.

## **REQUIRED SUPPLEMENTARY INFORMATION**

**Waterloo Community School District**  
**Schedule of Budgetary Comparison of Revenue,**  
**Expenditures/Expenses and Changes in Balances**  
**Budget to Actual - All Governmental Funds and Proprietary Fund**  
**Year Ended June 30, 2022**

|                                              | Budgeted<br>Amounts    | Actual                |                     | Variance with<br>Final Budget -<br>Over (Under) |
|----------------------------------------------|------------------------|-----------------------|---------------------|-------------------------------------------------|
|                                              | Original and<br>Final  | Governmental<br>Funds | Proprietary<br>Fund |                                                 |
| <b>Revenues</b>                              |                        |                       |                     |                                                 |
| Local sources                                | \$ 44,928,156          | \$ 44,164,295         | \$ 75,433           | \$ (688,428)                                    |
| State sources                                | 105,855,374            | 105,987,170           | 44,827              | 176,623                                         |
| Federal sources                              | 30,300,000             | 30,144,192            | 7,756,735           | 7,600,927                                       |
| Total revenues                               | <u>181,083,530</u>     | <u>180,295,657</u>    | <u>7,876,995</u>    | <u>7,089,122</u>                                |
| <b>Expenditures</b>                          |                        |                       |                     |                                                 |
| Instruction                                  | 101,700,000            | 98,711,656            | -                   | (2,988,344)                                     |
| Support services                             | 54,552,000             | 48,874,407            | -                   | (5,677,593)                                     |
| Noninstructional programs                    | 8,000,000              | 920,889               | 7,011,695           | (67,416)                                        |
| Other expenditures                           | 50,510,849             | 38,263,730            | -                   | (12,247,119)                                    |
| Total expenditures                           | <u>214,762,849</u>     | <u>186,770,682</u>    | <u>7,011,695</u>    | <u>(20,980,472)</u>                             |
| Excess of revenues over (under) expenditures | (33,679,319)           | (6,475,025)           | 865,300             | 28,069,594                                      |
| <b>Other Financing Sources (Uses) (Net)</b>  | <u>22,550,000</u>      | <u>(920,293)</u>      | <u>207,012</u>      | <u>(23,263,281)</u>                             |
| Net change in fund balance                   | <u>\$ (11,129,319)</u> | <u>\$ (7,395,318)</u> | <u>\$ 1,072,312</u> | <u>\$ 4,806,313</u>                             |
| <b>Fund Balance</b>                          |                        |                       |                     |                                                 |
| Beginning of year                            |                        | <u>81,510,642</u>     | <u>7,258</u>        |                                                 |
| End of year                                  |                        | <u>\$ 74,115,324</u>  | <u>\$ 1,079,570</u> |                                                 |

**Waterloo Community School District**  
**Notes to the Required Supplementary Information-**  
**Budgetary Reporting**

This budgetary comparison is presented as required supplementary information in accordance with Governmental Accounting Standards Board Statement No. 41 for governments with significant budgetary perspective differences resulting from not being able to present budgetary comparisons for the General Fund and each major special revenue fund.

In accordance with the Code of Iowa, the Board of Education annually adopts a budget following required public notice and hearing for all funds, except internal service, private-purpose trust and custodial funds. The budget may be amended during the year utilizing similar statutorily prescribed procedures. The District's budget is prepared on a GAAP basis.

Formal and legal budgetary control for the certified budget is based upon four major classes of expenditures known as functions, not by fund. These four functions are instruction, support services, noninstructional programs and other expenditures. Although the budget document presents function expenditures or expenses by fund, the legal level of control is at the aggregated function level, not by fund. The Code of Iowa also provides District expenditures in the General Fund may not exceed the amount authorized by the school finance formula. During the year, the District did not amend the budget.

During the year ended June 30, 2022, expenditures did not exceed the District's budget.

**Waterloo Community School District  
Schedule of District's Proportionate Share  
of the Net Pension Liability  
Iowa Public Employees' Retirement System  
Last Ten Years**

| Measurement<br>Date | District's<br>Proportion of<br>the Net Pension<br>Liability<br>(Asset) | District's<br>Proportionate<br>Share of the<br>Net Pension<br>Liability<br>(Asset) | District's<br>Covered<br>Employee<br>Payroll | District's<br>Proportionate<br>Share of the<br>Net Pension<br>Liability<br>(Asset) as a<br>Percentage of<br>its Covered<br>Payroll | Plan Fiduciary Net<br>Position as a<br>Percentage of the<br>Total Pension<br>Liability |
|---------------------|------------------------------------------------------------------------|------------------------------------------------------------------------------------|----------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------|
| 2014                | 1.0759%                                                                | \$ 43,542,944                                                                      | \$ 74,825,218                                | 58.19%                                                                                                                             | 87.6%                                                                                  |
| 2015                | 1.0904%                                                                | 53,871,608                                                                         | 74,212,184                                   | 72.59%                                                                                                                             | 85.2%                                                                                  |
| 2016                | 1.0419%                                                                | 65,571,852                                                                         | 74,119,194                                   | 88.47%                                                                                                                             | 81.8%                                                                                  |
| 2017                | 0.9930%                                                                | 66,143,267                                                                         | 71,144,460                                   | 92.97%                                                                                                                             | 82.2%                                                                                  |
| 2018                | 1.0010%                                                                | 63,323,073                                                                         | 79,327,638                                   | 79.82%                                                                                                                             | 83.6%                                                                                  |
| 2019                | 1.0354%                                                                | 60,359,576                                                                         | 81,674,799                                   | 73.90%                                                                                                                             | 85.5%                                                                                  |
| 2020                | 1.0364%                                                                | 72,294,516                                                                         | 83,310,328                                   | 86.78%                                                                                                                             | 82.9%                                                                                  |
| 2021                | 1.0265%                                                                | 1,439,020                                                                          | 86,620,583                                   | 1.66%                                                                                                                              | 99.6%                                                                                  |

Note: Schedule is intended to show ten year trend. Additional years will be reported as they become available.

**Waterloo Community School District  
Schedule of District Contributions  
Iowa Public Employees' Retirement System  
Last Ten Years**

| Fiscal Year<br>Ending<br>June 30, | Statutorily<br>Required<br>Contribution | Contributions<br>in Relation to<br>the Statutorily<br>Required<br>Contributions | Contribution<br>Deficiency<br>(Excess) | District's<br>Covered<br>Employee<br>Payroll | Contributions<br>as a Percentage<br>of Covered<br>Payroll |
|-----------------------------------|-----------------------------------------|---------------------------------------------------------------------------------|----------------------------------------|----------------------------------------------|-----------------------------------------------------------|
| 2013                              | \$ 6,410,808                            | \$ 6,410,808                                                                    | \$ -                                   | \$ 71,789,563                                | 8.93%                                                     |
| 2014                              | 6,747,022                               | 6,747,022                                                                       | -                                      | 75,554,558                                   | 8.93%                                                     |
| 2015                              | 6,681,892                               | 6,681,892                                                                       | -                                      | 74,825,218                                   | 8.93%                                                     |
| 2016                              | 6,627,148                               | 6,627,148                                                                       | -                                      | 74,212,184                                   | 8.93%                                                     |
| 2017                              | 6,618,844                               | 6,618,844                                                                       | -                                      | 74,119,194                                   | 8.93%                                                     |
| 2018                              | 6,716,037                               | 6,716,037                                                                       | -                                      | 71,144,460                                   | 9.44%                                                     |
| 2019                              | 7,488,529                               | 7,488,529                                                                       | -                                      | 79,327,638                                   | 9.44%                                                     |
| 2020                              | 7,710,101                               | 7,710,101                                                                       | -                                      | 81,674,799                                   | 9.44%                                                     |
| 2021                              | 7,864,495                               | 7,864,495                                                                       | -                                      | 83,310,328                                   | 9.44%                                                     |
| 2022                              | 8,176,983                               | 8,176,983                                                                       | -                                      | 86,620,583                                   | 9.44%                                                     |

Note: Schedule is intended to show ten year trend. Additional years will be reported as they become available.

**Waterloo Community School District  
Notes to the Required Supplementary Information-  
Pension Liability**

**Changes of Benefit Terms**

There are no significant changes in benefit terms.

**Changes of Assumptions**

The 2018 valuation implemented the following refinements as a result of a demographic assumption study dated June 28, 2018:

- Changed mortality assumptions to the RP-2014 mortality tables with mortality improvements modeled using Scale MP-2017.
- Adjusted retirement rates.
- Lowered disability rates.
- Adjusted the probability of a vested Regular member electing to receive a deferred benefit.
- Adjusted the merit component of the salary increase assumption.

The 2017 valuation implemented the following refinements as a result of an experience study dated March 24, 2017:

- Decreased the inflation assumption from 3.00% to 2.60%.
- Decreased the assumed rate of interest on member accounts from 3.75% to 3.50% per year.
- Decreased the discount rate from 7.50% to 7.0%.
- Decreased the wage growth assumption from 4.00% to 3.25%.
- Decreased the payroll growth assumption from 4.00% to 3.25%.

The 2014 valuation implemented the following refinements as a result of a quadrennial experience study:

- Decreased the inflation assumption from 3.25% to 3.00%.
- Decreased the assumed rate of interest on member accounts from 4.00% to 3.75% per year.
- Adjusted male mortality rates for retirees in the regular membership group.
- Moved from an open 30-year amortization period to a closed 30-year amortization period for the unfunded actuarial liability (UAL) beginning June 30, 2014. Each year thereafter, changes in the UAL from plan experience will be amortized on a separate closed 20-year period.

**Waterloo Community School District  
Schedule of Changes in Total OPEB Liability,  
Related Ratios and Notes**

|                                                                  | June 30, 2018       | June 30, 2019        | June 30, 2020        | June 30, 2021        | June 30, 2022        |
|------------------------------------------------------------------|---------------------|----------------------|----------------------|----------------------|----------------------|
| Total OPEB Liability                                             |                     |                      |                      |                      |                      |
| Service cost                                                     | \$ 854,462          | \$ 887,530           | \$ 975,041           | \$ 1,124,736         | \$ 1,158,180         |
| Interest                                                         | 367,941             | 390,720              | 398,838              | 274,855              | 292,102              |
| Differenced between expected and actual experience               | -                   | -                    | 725,076              | -                    | (611,960)            |
| Changes of assumptions                                           | (245,425)           | 344,486              | (805,296)            | 54,141               | (897,546)            |
| Benefit payments                                                 | (350,303)           | (492,265)            | (329,710)            | (473,960)            | (327,693)            |
| Net change in total OPEB liability                               | 626,675             | 1,130,471            | 963,949              | 979,772              | (386,917)            |
| Beginning of year                                                | 8,828,046           | 9,454,721            | 10,585,192           | 11,549,141           | 12,528,913           |
| End of year                                                      | <u>\$ 9,454,721</u> | <u>\$ 10,585,192</u> | <u>\$ 11,549,141</u> | <u>\$ 12,528,913</u> | <u>\$ 12,141,996</u> |
| Covered employee payroll                                         | \$ 73,393,083       | \$ 78,580,915        | \$ 75,646,535        | \$ 78,294,000        | \$ 78,162,556        |
| Total OPEB liability as a percentage of covered-employee payroll | 12.88%              | 13.47%               | 15.27%               | 16.00%               | 15.53%               |

**Notes to Schedule of Changes in the District's Total OPEB Liability and Related Ratios**

*Change in benefit terms:*

There were no significant changes in benefit terms.

*Changes in assumptions:*

Changes in assumptions and other inputs reflect the effects of changes in the discount rate each period. The following are the discount rates used in each period.

|                          |       |
|--------------------------|-------|
| Year ended June 30, 2022 | 3.54% |
| Year ended June 30, 2021 | 2.16% |
| Year ended June 30, 2020 | 2.21% |
| Year ended June 30, 2019 | 3.50% |
| Year ended June 30, 2018 | 3.87% |
| Year ended June 30, 2017 | 3.58% |

Additional changes in assumptions since the prior valuation are as follows:

- The trend rates were reset to an initial rate of 7.00%, grading down by 0.25% per year until reaching the ultimate rate of 4.00% based on current Healthcare Analytics (HCA) Consulting trend study; current economic environment suggests a longer period until reaching the ultimate rate.
- The mortality projection scale was updated from MP-2019 to MP-2021 to reflect the Society of Actuaries' recent mortality study.
- The married percent assumption was updated from 10% to 5% based on current retiree experience.

There are no assets accumulated in a trust.

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## **SUPPLEMENTARY INFORMATION**

**Waterloo Community School District  
Nonmajor Governmental Funds –  
Description of Funds**

**Special Revenue Funds**

Special revenue funds are used to account for specific revenue that is legally restricted to expenditures for particular purposes.

|                       |                                                                                                                                                                                                                               |
|-----------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Student Activity Fund | This fund accounts for the funds raised by student groups. Under state law, the Board retains responsibility for the Student Activity Fund's ultimate disposition.                                                            |
| Management Levy Fund  | This fund accounts for the resources accumulated and payments made for property insurance, fidelity bonds, worker compensation, liability insurance premiums, unemployment insurance claims, and early retirement incentives. |

**Waterloo Community School District**  
**Combining Balance Sheet -**  
**Nonmajor Governmental Funds**  
**June 30, 2022**

|                                                                     | Special Revenue Funds    |                         |                     |
|---------------------------------------------------------------------|--------------------------|-------------------------|---------------------|
|                                                                     | Student<br>Activity (21) | Management<br>Levy (22) | Total               |
| <b>Assets</b>                                                       |                          |                         |                     |
| Cash and investments                                                | \$ 1,320,705             | \$ 1,173,539            | \$ 2,494,244        |
| Receivables                                                         |                          |                         |                     |
| Property tax - delinquent                                           | -                        | 18,853                  | 18,853              |
| Property tax - succeeding year                                      | -                        | 2,999,997               | 2,999,997           |
| Accounts receivable                                                 | 17,000                   | -                       | 17,000              |
| Due from other governmental units                                   | -                        | 236                     | 236                 |
|                                                                     | <u>-</u>                 | <u>236</u>              | <u>236</u>          |
| Total assets                                                        | <u>\$ 1,337,705</u>      | <u>\$ 4,192,625</u>     | <u>\$ 5,530,330</u> |
| <b>Liabilities</b>                                                  |                          |                         |                     |
| Salaries and benefits payable                                       | \$ 2,006                 | \$ 12,777               | \$ 14,783           |
| Due to other governmental units                                     | -                        | 1,499                   | 1,499               |
| Interfund payable                                                   | 59,411                   | -                       | 59,411              |
| Total liabilities                                                   | <u>61,417</u>            | <u>14,276</u>           | <u>75,693</u>       |
| <b>Deferred Inflows of Resources</b>                                |                          |                         |                     |
| Unavailable revenue - succeeding year property tax                  | -                        | 2,999,997               | 2,999,997           |
|                                                                     | <u>-</u>                 | <u>2,999,997</u>        | <u>2,999,997</u>    |
| <b>Fund Balances</b>                                                |                          |                         |                     |
| Restricted                                                          |                          |                         |                     |
| Management levy purposes                                            | -                        | 1,178,352               | 1,178,352           |
| Student activities                                                  | 1,276,288                | -                       | 1,276,288           |
| Total fund balances                                                 | <u>1,276,288</u>         | <u>1,178,352</u>        | <u>2,454,640</u>    |
|                                                                     | <u>1,276,288</u>         | <u>1,178,352</u>        | <u>2,454,640</u>    |
| Total liabilities, deferred inflows of resources, and fund balances | <u>\$ 1,337,705</u>      | <u>\$ 4,192,625</u>     | <u>\$ 5,530,330</u> |

**Waterloo Community School District**  
**Combining Statement of Revenues, Expenditures,**  
**and Changes in Fund Balances - Nonmajor Governmental Funds**  
**June 30, 2022**

|                                       | Special Revenue Funds    |                         |                     |
|---------------------------------------|--------------------------|-------------------------|---------------------|
|                                       | Student<br>Activity (21) | Management<br>Levy (22) | Total               |
| <b>Revenues</b>                       |                          |                         |                     |
| Revenue from local sources            |                          |                         |                     |
| Local property taxes                  | \$ -                     | \$ 1,803,070            | \$ 1,803,070        |
| Other local and county revenues       | 1,466,272                | 1,967                   | 1,468,239           |
| Revenue from state sources            | -                        | 60,618                  | 60,618              |
| Total revenues                        | <u>1,466,272</u>         | <u>1,865,655</u>        | <u>3,331,927</u>    |
| <b>Expenditures</b>                   |                          |                         |                     |
| Current                               |                          |                         |                     |
| Instruction                           |                          |                         |                     |
| Regular                               | -                        | 1,050,174               | 1,050,174           |
| Other                                 | 1,501,969                | -                       | 1,501,969           |
| Support services                      |                          |                         |                     |
| Student                               | -                        | 10,076                  | 10,076              |
| General administration                | -                        | 82,794                  | 82,794              |
| School administration                 | -                        | 95,719                  | 95,719              |
| Business and central administration   | -                        | 43,770                  | 43,770              |
| Operation and maintenance of plant    | -                        | 800,270                 | 800,270             |
| Noninstructional programs             | -                        | 31,195                  | 31,195              |
| Total expenditures                    | <u>1,501,969</u>         | <u>2,113,998</u>        | <u>3,615,967</u>    |
| Excess of revenues under expenditures | (35,697)                 | (248,343)               | (284,040)           |
| <b>Other Financing Uses</b>           |                          |                         |                     |
| Transfers out                         | <u>-</u>                 | <u>(13,544)</u>         | <u>(13,544)</u>     |
| Net change in fund balances           | (35,697)                 | (261,887)               | (297,584)           |
| <b>Fund Balances</b>                  |                          |                         |                     |
| Beginning of year                     | <u>1,311,985</u>         | <u>1,440,239</u>        | <u>2,752,224</u>    |
| End of year                           | <u>\$ 1,276,288</u>      | <u>\$ 1,178,352</u>     | <u>\$ 2,454,640</u> |

**Waterloo Community School District**  
**Schedule of Changes in Student Activity**  
**Special Revenue Fund**  
**Year Ended June 30, 2022**

| <b>Account</b>         | <b>Balance -<br/>Beginning of<br/>Year</b> | <b>Revenue</b>      | <b>Expenditures</b> | <b>Balance - End<br/>of Year</b> |
|------------------------|--------------------------------------------|---------------------|---------------------|----------------------------------|
| High Schools           |                                            |                     |                     |                                  |
| East                   | \$ 239,587                                 | \$ 481,687          | \$ 483,919          | \$ 237,355                       |
| Expo                   | 64,009                                     | 58,639              | 59,441              | 63,207                           |
| West                   | 602,351                                    | 609,016             | 645,723             | 565,644                          |
| Middle Schools         |                                            |                     |                     |                                  |
| Bunger                 | 24,209                                     | 13,434              | 20,335              | 17,308                           |
| Carver                 | 23,026                                     | 15,168              | 23,832              | 14,362                           |
| Central                | 55,213                                     | 15,390              | 15,075              | 55,528                           |
| Hoover                 | 27,654                                     | 48,967              | 52,422              | 24,199                           |
| Elementary Schools     |                                            |                     |                     |                                  |
| Cunningham             | 14,258                                     | 7,010               | 5,366               | 15,902                           |
| Elk Run Pre-K          | 5,355                                      | 1,801               | 489                 | 6,667                            |
| Fred Becker            | 25,863                                     | 3,062               | 8,135               | 20,790                           |
| Highland               | 40,179                                     | 17,310              | 15,806              | 41,683                           |
| Irving                 | 10,456                                     | 2,066               | 7,741               | 4,781                            |
| Kingsley               | 21,596                                     | 39,242              | 23,142              | 37,696                           |
| Kittrell               | 35,850                                     | 18,489              | 16,360              | 37,979                           |
| Lincoln                | 16,232                                     | 6,736               | 10,737              | 12,231                           |
| Lou Henry              | 44,176                                     | 27,966              | 12,799              | 59,343                           |
| Lowell                 | 13,348                                     | 4,003               | 6,726               | 10,625                           |
| Orange                 | 23,968                                     | 5,743               | 10,763              | 18,948                           |
| Poyner                 | 17,879                                     | 9,695               | 14,491              | 13,083                           |
| Waterloo Career Center | 6,155                                      | 31,241              | 22,338              | 15,058                           |
| Other                  | 621                                        | 49,607              | 46,329              | 3,899                            |
|                        |                                            |                     |                     |                                  |
| Total                  | <u>\$ 1,311,985</u>                        | <u>\$ 1,466,272</u> | <u>\$ 1,501,969</u> | <u>\$ 1,276,288</u>              |

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**Waterloo Community School District  
Capital Projects Fund Accounts –  
Description of Accounts**

The Capital Projects Fund is used to account for specific resources that are restricted to expenditures for capital outlays. The fund has two sets of accounts, as follows:

|                                        |                                                                                                                                                                                                                                                                                  |
|----------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Statewide Sales, Services, and Use Tax | This set of accounts is used to account for all resources used in the acquisition and construction of capital facilities and the payment of fees related to the issuance of bonds.                                                                                               |
| Physical Plant and Equipment Levy      | This set of accounts is used to account for resources accumulated and payments made for the purchase and improvement of grounds, purchase of buildings, major repairs, remodeling, reconstructing, improving or expanding the schools or buildings, and for equipment purchases. |

**Waterloo Community School District**  
**Combining Balance Sheet -**  
**Capital Projects Fund Accounts**  
**June 30, 2022**

|                                                                     | Capital Projects                                    |                                              |                      |
|---------------------------------------------------------------------|-----------------------------------------------------|----------------------------------------------|----------------------|
|                                                                     | Statewide<br>Sales, Services<br>and Use Tax<br>(33) | Physical Plant<br>and Equipment<br>Levy (36) | Total                |
| <b>Assets</b>                                                       |                                                     |                                              |                      |
| Cash and investments                                                | \$ 10,569,588                                       | \$ 4,929,361                                 | \$ 15,498,949        |
| Receivables                                                         |                                                     |                                              |                      |
| Property tax - delinquent                                           | -                                                   | 32,905                                       | 32,905               |
| Property tax - succeeding year                                      | -                                                   | 3,212,503                                    | 3,212,503            |
| Due from other governmental units                                   | 2,784,606                                           | 365                                          | 2,784,971            |
|                                                                     | <u>2,784,606</u>                                    | <u>365</u>                                   | <u>2,784,971</u>     |
| Total assets                                                        | <u>\$ 13,354,194</u>                                | <u>\$ 8,175,134</u>                          | <u>\$ 21,529,328</u> |
| <b>Liabilities</b>                                                  |                                                     |                                              |                      |
| Accounts and contracts payable                                      | \$ 2,792,866                                        | \$ 81,903                                    | \$ 2,874,769         |
| Due to other governmental units                                     | -                                                   | 15,314                                       | 15,314               |
| Interfund payable                                                   | 530                                                 | -                                            | 530                  |
| Total liabilities                                                   | <u>2,793,396</u>                                    | <u>97,217</u>                                | <u>2,890,613</u>     |
| <b>Deferred Inflows of Resources</b>                                |                                                     |                                              |                      |
| Unavailable revenue - succeeding year property tax                  | -                                                   | 3,212,503                                    | 3,212,503            |
| Unavailable revenue - Other                                         | 1,786,245                                           | -                                            | 1,786,245            |
| Total deferred inflows of resources                                 | <u>1,786,245</u>                                    | <u>3,212,503</u>                             | <u>4,998,748</u>     |
| <b>Fund Balances</b>                                                |                                                     |                                              |                      |
| Restricted                                                          |                                                     |                                              |                      |
| School infrastructure                                               | 8,774,553                                           | -                                            | 8,774,553            |
| Physical plant and equipment                                        | -                                                   | 4,865,414                                    | 4,865,414            |
| Total fund balances                                                 | <u>8,774,553</u>                                    | <u>4,865,414</u>                             | <u>13,639,967</u>    |
|                                                                     | <u>\$ 13,354,194</u>                                | <u>\$ 8,175,134</u>                          | <u>\$ 21,529,328</u> |
| Total liabilities, deferred inflows of resources, and fund balances | <u>\$ 13,354,194</u>                                | <u>\$ 8,175,134</u>                          | <u>\$ 21,529,328</u> |

**Waterloo Community School District**  
**Combining Schedule of Revenues, Expenditures,**  
**and Changes in Fund Balances - Capital Projects Fund Accounts**  
**Year Ended June 30, 2022**

|                                              | Capital Projects                                    |                                              |                      |
|----------------------------------------------|-----------------------------------------------------|----------------------------------------------|----------------------|
|                                              | Statewide<br>Sales, Services<br>and Use Tax<br>(33) | Physical Plant<br>and Equipment<br>Levy (36) | Total                |
| <b>Revenues</b>                              |                                                     |                                              |                      |
| Revenue from local sources                   |                                                     |                                              |                      |
| Local property taxes                         | \$ -                                                | \$ 3,129,331                                 | \$ 3,129,331         |
| Other local and county revenues              | 115,654                                             | -                                            | 115,654              |
| Revenue from state sources                   | 13,830,461                                          | 96,868                                       | 13,927,329           |
| Revenue from federal sources                 | 834,079                                             | -                                            | 834,079              |
| Total revenues                               | <u>14,780,194</u>                                   | <u>3,226,199</u>                             | <u>18,006,393</u>    |
| <b>Expenditures</b>                          |                                                     |                                              |                      |
| Current                                      |                                                     |                                              |                      |
| General administration                       | -                                                   | 240                                          | 240                  |
| Business and central administration          | -                                                   | 23,168                                       | 23,168               |
| Operational and maintenance of plant         | -                                                   | 215,403                                      | 215,403              |
| Facilities acquisition and construction      | 164,598                                             | 972,012                                      | 1,136,610            |
| Capital Outlay                               | 19,775,442                                          | 827,978                                      | 20,603,420           |
| Debt service                                 |                                                     |                                              |                      |
| Interest and fiscal charges                  | 21,737                                              | -                                            | 21,737               |
| Total expenditures                           | <u>19,961,777</u>                                   | <u>2,038,801</u>                             | <u>22,000,578</u>    |
| Excess of revenues over (under) expenditures | (5,181,583)                                         | 1,187,398                                    | (3,994,185)          |
| <b>Other Financing Sources (Uses)</b>        |                                                     |                                              |                      |
| Transfers out                                | <u>(9,278,237)</u>                                  | <u>(44,686)</u>                              | <u>(9,322,923)</u>   |
| Net change in fund balances                  | (14,459,820)                                        | 1,142,712                                    | (13,317,108)         |
| <b>Fund Balances</b>                         |                                                     |                                              |                      |
| Beginning of year                            | <u>23,234,373</u>                                   | <u>3,722,702</u>                             | <u>26,957,075</u>    |
| End of year                                  | <u>\$ 8,774,553</u>                                 | <u>\$ 4,865,414</u>                          | <u>\$ 13,639,967</u> |

**Waterloo Community School District**  
**Schedule of Revenue by Source, Expenditures by Function and Other**  
**Financing Sources and Uses - All Governmental Fund Types**  
**(Modified Accrual Basis)**  
**Last Ten Years**

|                                             | Fiscal Year         |                    |                    |                    |
|---------------------------------------------|---------------------|--------------------|--------------------|--------------------|
|                                             | 2013                | 2014               | 2015               | 2016               |
| <b>Revenue</b>                              |                     |                    |                    |                    |
| Local Tax                                   | \$ 50,599,641       | \$ 42,476,135      | \$ 41,644,560      | \$ 40,879,253      |
| Other local sources                         | 6,293,548           | 5,376,943          | 4,829,364          | 3,922,981          |
| State sources                               | 67,889,502          | 82,483,942         | 90,713,945         | 92,921,474         |
| Federal sources                             | 11,417,237          | 10,172,641         | 9,901,237          | 9,836,256          |
| Total revenue                               | <u>136,199,928</u>  | <u>140,509,661</u> | <u>147,089,106</u> | <u>147,559,964</u> |
| <b>Expenditures</b>                         |                     |                    |                    |                    |
| Instruction                                 |                     |                    |                    |                    |
| Regular                                     | 58,001,828          | 57,440,376         | 60,697,165         | 58,993,633         |
| Special                                     | 26,853,906          | 23,823,892         | 23,416,889         | 22,732,230         |
| Vocational                                  | 201,367             | 184,768            | 169,788            | 202,779            |
| Other                                       | 2,610,714           | 2,550,136          | 2,626,179          | 2,687,454          |
| Support Services                            |                     |                    |                    |                    |
| Student                                     | 4,189,344           | 3,934,386          | 4,468,458          | 4,788,157          |
| Instructional staff                         | 4,641,961           | 4,105,158          | 3,415,021          | 2,817,283          |
| General administration                      | 1,313,279           | 2,053,676          | 2,474,156          | 2,718,769          |
| School administration                       | 6,661,022           | 7,270,700          | 7,706,815          | 7,890,728          |
| Business and central administration         | 4,028,887           | 4,208,250          | 4,017,360          | 4,534,563          |
| Operation and maintenance of plant          | 10,708,839          | 10,999,450         | 10,914,335         | 11,138,260         |
| Transporation                               | 5,353,119           | 5,092,951          | 4,966,293          | 4,732,761          |
| Noninstructional programs                   | 7,312               | 56,164             | 41,051             | 762,335            |
| AEA flowthrough                             | 4,648,080           | 4,896,694          | 5,160,012          | 5,236,777          |
| Facilities acquisition                      | 16,032,792          | 8,016,091          | 5,916,295          | 1,736,111          |
| Capital Outlay                              | -                   | -                  | -                  | -                  |
| Debt Service                                |                     |                    |                    |                    |
| Principal                                   | 1,350,000           | 1,700,000          | 2,655,000          | 2,760,000          |
| Interest and fiscal charges                 | 3,476,497           | 3,498,428          | 3,536,466          | 3,462,108          |
| Total expenditures                          | <u>150,078,947</u>  | <u>139,831,120</u> | <u>142,181,283</u> | <u>137,193,948</u> |
| <b>Revenue Over (Under) Expenditures</b>    | <u>(13,879,019)</u> | <u>678,541</u>     | <u>4,907,823</u>   | <u>10,366,016</u>  |
| <b>Other Financing Sources (Uses)</b>       |                     |                    |                    |                    |
| Revenue bonds issued                        | 10,000,000          | -                  | 5,060,000          | -                  |
| Premium (discount) on sale of revenue bonds | 246,146             | -                  | -                  | -                  |
| Proceeds from sale of capital assets        | 50,003              | -                  | -                  | 17,400             |
| Insurance recoveries                        | -                   | -                  | -                  | -                  |
| Refunding revenue bonds issued              | -                   | -                  | -                  | -                  |
| Payment to refunding bonds escrow agent     | -                   | -                  | -                  | -                  |
| Proceeds from long-term note receivable     |                     |                    |                    |                    |
| from sale of capital assets                 | 280,000             | -                  | -                  | -                  |
| Transfers in                                | 7,332,986           | 7,391,787          | 7,171,023          | 7,322,260          |
| Transfers out                               | <u>(7,332,986)</u>  | <u>(7,391,787)</u> | <u>(7,171,023)</u> | <u>(7,322,260)</u> |
| Total other financing sources (uses)        | <u>10,576,149</u>   | <u>-</u>           | <u>5,060,000</u>   | <u>17,400</u>      |

| Fiscal Year   |               |               |               |               |               |
|---------------|---------------|---------------|---------------|---------------|---------------|
| 2017          | 2018          | 2019          | 2020          | 2021          | 2022          |
| \$ 41,042,810 | \$ 41,145,038 | \$ 39,665,677 | \$ 39,611,680 | \$ 40,752,377 | \$ 39,540,401 |
| 4,060,967     | 3,576,353     | 5,135,083     | 3,903,834     | 2,779,254     | 4,623,894     |
| 93,075,350    | 93,493,669    | 96,986,270    | 98,766,524    | 102,673,826   | 105,987,170   |
| 9,418,824     | 10,249,534    | 10,678,737    | 12,511,951    | 24,409,499    | 30,144,192    |
| 147,597,951   | 148,464,594   | 152,465,767   | 154,793,989   | 170,614,956   | 180,295,657   |
| 55,353,953    | 55,540,116    | 57,603,548    | 59,311,253    | 62,473,850    | 65,534,511    |
| 21,756,209    | 22,813,950    | 25,807,093    | 25,566,615    | 25,921,809    | 26,222,718    |
| 400,383       | 500,388       | 1,585,697     | 2,206,150     | 2,300,975     | 2,619,859     |
| 2,792,554     | 3,881,778     | 3,096,335     | 2,423,586     | 2,140,325     | 4,334,568     |
| 4,415,783     | 5,115,590     | 4,971,109     | 5,634,378     | 5,623,145     | 6,151,256     |
| 5,646,305     | 6,447,463     | 6,291,097     | 6,835,486     | 6,069,673     | 6,969,955     |
| 2,602,137     | 2,616,598     | 2,871,929     | 3,023,669     | 3,012,434     | 3,327,070     |
| 7,743,139     | 8,125,929     | 7,821,148     | 7,818,359     | 8,020,026     | 8,777,553     |
| 3,827,775     | 4,106,600     | 3,917,276     | 4,110,481     | 4,611,522     | 4,478,589     |
| 11,167,991    | 11,189,322    | 11,920,069    | 11,576,681    | 11,974,792    | 13,539,088    |
| 4,750,742     | 5,079,463     | 5,201,248     | 4,783,552     | 4,347,382     | 5,630,896     |
| 810,060       | 984,215       | 1,020,730     | 1,131,872     | 1,101,958     | 920,489       |
| 5,152,367     | 5,286,315     | 5,363,880     | 5,471,894     | 5,648,589     | 5,654,682     |
| 3,284,407     | 8,643,022     | 661,859       | 1,400,394     | 2,298,396     | 1,136,610     |
| -             | -             | 12,522,581    | 6,328,372     | 17,695,863    | 22,952,401    |
| 4,930,000     | 6,367,495     | 3,861,495     | 4,944,495     | 5,145,000     | 5,349,000     |
| 3,769,285     | 2,256,376     | 2,530,699     | 2,502,220     | 2,608,597     | 3,171,037     |
| 138,403,090   | 148,954,620   | 157,047,793   | 155,069,457   | 170,994,336   | 186,770,282   |
| 9,194,861     | (490,026)     | (4,582,026)   | (275,468)     | (379,380)     | (6,474,625)   |
| -             | 16,667,000    | -             | -             | 22,600,000    | -             |
| -             | -             | -             | -             | 3,226,399     | -             |
| 43,045,000    | 40,850        | 249,568       | -             | -             | -             |
| -             | -             | 665,391       | 854,921       | 380,965       | 23,719        |
| -             | -             | -             | -             | -             | 30,281,000    |
| -             | -             | -             | -             | -             | (31,018,000)  |
| (48,033,623)  | -             | -             | -             | -             | -             |
| 9,610,102     | 10,272,656    | 8,806,952     | 8,461,974     | 11,654,521    | 9,129,455     |
| (9,610,102)   | (10,333,863)  | (8,806,952)   | (8,766,362)   | (11,654,521)  | (9,336,467)   |
| (4,988,623)   | 16,646,643    | 914,959       | 550,533       | 26,207,364    | (920,293)     |

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## **STATISTICAL SECTION**

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## Waterloo Community School District Statistical Section

This part of Waterloo Community School District's Annual Comprehensive Financial Report (ACFR) presents detailed information as a context for understanding what the information in the basic financial statements, note disclosures, and required supplementary information says about the District's overall financial health.

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### Financial Trends

|                                                                                                                                                        |    |
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| These schedules contain trend information to help the reader understand how the District's financial performance and well-being have changed over time | 92 |
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### Revenue Capacity

|                                                                                                                                                 |     |
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| These schedules contain information to help the reader assess the District's most significant local revenue sources, property tax and sales tax | 108 |
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### Debt Capacity

|                                                                                                                                                                                                        |     |
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| These schedules present information to help the reader assess the affordability of the District's current levels of outstanding debt and the District's ability to issue additional debt in the future | 114 |
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### Demographic and Economic Information

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| These schedules offer demographic and economic indicators to help the reader understand the environment within which the District's financial activities take place | 121 |
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### Operating Information

|                                                                                                                                                                                                                           |     |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----|
| These schedules contain service and infrastructure data to help the reader understand how the information in the District's financial report relates to the services the District provides and the activities it performs | 123 |
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**Sources:** Unless otherwise noted, the information in these schedules is derived from the ACFR for the relevant year

## Waterloo Community School District Statistical Section

### III. Statistical Section (Unaudited)

This part of the District's comprehensive annual financial report presents detailed information as a context for understanding what the information in the financial statements, note disclosures, and required supplementary information says about the District's overall financial health.

| <b><u>Contents</u></b>                                                                                                                                                                                                                                     | <b><u>Page</u></b> |
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| <b>Financial Trends</b><br>These schedules contain trend information to help the reader understand how the District's financial performance and well-being have changed over time.                                                                         | 91                 |
| <b>Revenue Capacity</b><br>These schedules contain information to help the reader assess the District's most significant local revenue source, the property tax.                                                                                           | 104                |
| <b>Debt Capacity</b><br>These schedules present information to help the reader assess the affordability of the District's current levels of outstanding debt and the District's ability to issue additional debt in the future.                            | 114                |
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**Sources:** Unless otherwise noted, the information in these schedules is derived from the comprehensive annual financial reports for the relevant year.

**Waterloo Community School District**  
**Net Position by Component**  
**Last Ten Fiscal Years**  
**(Accrual Basis of Accounting)**  
**(Unaudited)**

|                                             | Fiscal Year           |                       |                      |                      |                      |
|---------------------------------------------|-----------------------|-----------------------|----------------------|----------------------|----------------------|
|                                             | 2013                  | 2014                  | 2015*                | 2016                 | 2017                 |
| Governmental activities                     |                       |                       |                      |                      |                      |
| Net investment in capital assets            | \$ 106,089,868        | \$ 109,082,308        | \$ 105,208,898       | \$ 103,139,326       | \$ 99,742,300        |
| Restricted                                  | 7,080,103             | 9,032,725             | 14,000,419           | 20,345,571           | 26,714,296           |
| Unrestricted                                | (1,313,200)           | (2,366,988)           | (47,591,693)         | (41,694,422)         | (36,044,713)         |
| Total governmental activities net position  | <u>\$ 111,856,771</u> | <u>\$ 115,748,045</u> | <u>\$ 71,617,624</u> | <u>\$ 81,790,475</u> | <u>\$ 90,411,883</u> |
| Business-Type Activities                    |                       |                       |                      |                      |                      |
| Net investment in capital assets            | \$ 1,062,701          | \$ 1,078,456          | \$ 918,703           | \$ 824,219           | \$ 698,528           |
| Restricted                                  | -                     | 31                    | 152                  | -                    | -                    |
| Unrestricted                                | 14,460                | 105,695               | (1,214,262)          | (824,219)            | (698,528)            |
| Total business-type activities net position | <u>1,077,161</u>      | <u>1,184,182</u>      | <u>(295,407)</u>     | <u>-</u>             | <u>-</u>             |
| Government-Wide                             |                       |                       |                      |                      |                      |
| Net investment in capital assets            | \$ 107,152,569        | \$ 110,160,764        | \$ 106,127,601       | \$ 103,963,545       | \$ 100,440,828       |
| Restricted                                  | 7,080,103             | 9,032,756             | 14,000,571           | 20,345,571           | 26,714,296           |
| Unrestricted                                | (1,298,740)           | (2,261,293)           | (48,805,955)         | (42,518,641)         | (36,743,241)         |
| Total District net position                 | <u>\$ 112,933,932</u> | <u>\$ 116,932,227</u> | <u>\$ 71,322,217</u> | <u>\$ 81,790,475</u> | <u>\$ 90,411,883</u> |

\*The District recorded a prior period adjustment of (\$55,184,433) in fiscal year 2015 due to the implementation of GASB No. 68. The adjustment is not reflected in fiscal years 2008-2014 on pages 92-94 due to its complexity. The District also recorded a prior period adjustment of (\$1,163,241) for health insurance cost adjustments.

| Fiscal Year          |                      |                      |                      |                       |
|----------------------|----------------------|----------------------|----------------------|-----------------------|
| 2018                 | 2019                 | 2020                 | 2021                 | 2022                  |
| \$ 104,277,255       | \$ 103,694,880       | \$ 104,757,255       | \$ 91,549,556        | \$ 109,621,979        |
| 26,709,802           | 32,952,773           | 37,301,579           | 48,642,717           | 38,257,626            |
| (39,397,460)         | (41,886,242)         | (48,670,312)         | (40,459,101)         | (22,387,457)          |
| <u>\$ 91,589,597</u> | <u>\$ 94,761,411</u> | <u>\$ 93,388,522</u> | <u>\$ 99,733,172</u> | <u>\$ 125,492,148</u> |
| \$ 632,686           | \$ 507,425           | \$ 422,852           | \$ 310,005           | \$ 418,770            |
| -                    | -                    | -                    | -                    | -                     |
| (865,763)            | (499,079)            | (414,700)            | (302,747)            | 660,800               |
| <u>(233,077)</u>     | <u>8,346</u>         | <u>8,152</u>         | <u>7,258</u>         | <u>1,079,570</u>      |
| \$ 104,909,941       | \$ 104,202,305       | \$ 105,180,107       | \$ 91,859,561        | \$ 110,040,749        |
| 26,709,802           | 32,952,773           | 37,301,579           | 48,642,717           | 38,257,626            |
| (40,263,223)         | (42,385,321)         | (49,085,012)         | (40,761,848)         | (21,726,657)          |
| <u>\$ 91,356,520</u> | <u>\$ 94,769,757</u> | <u>\$ 93,396,674</u> | <u>\$ 99,740,430</u> | <u>\$ 126,571,718</u> |

**Waterloo Community School District**  
**Changes in Net Position**  
**Last Ten Fiscal Years**  
**(Accrual Basis of Accounting)**  
**(Unaudited)**

|                                                          | Fiscal Year          |                      |
|----------------------------------------------------------|----------------------|----------------------|
|                                                          | 2013                 | 2014                 |
| <b>Expenses</b>                                          |                      |                      |
| Governmental activities                                  |                      |                      |
| Instruction                                              |                      |                      |
| Regular                                                  | \$ 58,367,692        | \$ 57,354,110        |
| Special                                                  | 31,738,428           | 28,675,255           |
| Vocational                                               | 181,182              | 208,260              |
| Other                                                    | 2,652,560            | 2,615,186            |
| Support Services                                         |                      |                      |
| Student                                                  | 4,231,296            | 3,927,264            |
| Instructional Staff                                      | 4,692,572            | 4,097,320            |
| General administration                                   | 1,326,175            | 2,041,500            |
| School administration                                    | 6,747,138            | 7,253,891            |
| Business and central administration                      | 4,163,107            | 4,294,240            |
| Operations and maintenance of plant                      | 12,193,086           | 12,782,787           |
| Transportation                                           | 5,371,436            | 5,066,244            |
| Facilities acquisition                                   | -                    | -                    |
| Noninstructional programs                                | 7,312                | 56,164               |
| Debt service interest and fiscal changes                 | 3,467,624            | 3,490,542            |
| Depreciation (unallocated)                               | 4,293,227            | 4,537,859            |
| Total Governmental Activities Expenses                   | <u>139,432,835</u>   | <u>136,400,622</u>   |
| Business-Type Activities                                 |                      |                      |
| Nutrition services                                       | <u>5,827,994</u>     | <u>6,014,868</u>     |
| Total Expenses                                           | \$ 145,260,829       | \$ 142,415,490       |
| <b>Program Revenue</b>                                   |                      |                      |
| Governmental Activities                                  |                      |                      |
| Charges for Service                                      |                      |                      |
| Instruction                                              | \$ 5,548,844         | \$ 4,530,590         |
| Support Services                                         | 546,484              | 499,644              |
| Operating grants, contributions, and restricted interest | 23,905,197           | 26,420,632           |
| Capital grants, contributions, and restricted interest   | <u>264,917</u>       | <u>353,198</u>       |
| Total Governmental Activities Program Revenue            | <u>30,265,442</u>    | <u>31,804,064</u>    |
| Business-Type Activities                                 |                      |                      |
| Charges for Service                                      |                      |                      |
| Nutrition services                                       | \$ 1,356,317         | \$ 1,376,975         |
| Day care services                                        | -                    | -                    |
| Operating grants, contributions, and restricted interest | 4,203,271            | 4,508,190            |
| Capital grants, contributions, and restricted interest   | <u>94,772</u>        | <u>-</u>             |
| Total Business-Type Activities Program Revenue           | <u>5,654,360</u>     | <u>5,885,165</u>     |
| Total Program Revenue                                    | <u>\$ 35,919,802</u> | <u>\$ 37,689,229</u> |

\*The District recorded a prior period adjustment of (\$55,184,433) in fiscal year 2015 due to the implementation of GASB No. 68. The adjustment is not reflected in fiscal years 2008-2014 on pages 92-94 due to its complexity. The District also recorded a prior period adjustment of (\$1,163,241) for health insurance cost adjustments.

| Fiscal Year    |                |                |                |                |
|----------------|----------------|----------------|----------------|----------------|
| *2015          | 2016           | 2017           | 2018           | 2019           |
| \$ 58,118,773  | \$ 58,023,505  | \$ 56,162,424  | \$ 56,666,299  | \$ 59,612,267  |
| 27,665,186     | 27,631,219     | 27,193,436     | 28,527,564     | 31,376,216     |
| 174,717        | 221,589        | 421,261        | 489,433        | 1,573,936      |
| 2,645,925      | 2,729,963      | 2,864,641      | 3,944,883      | 3,149,518      |
| 4,279,947      | 4,724,404      | 4,465,354      | 5,198,703      | 5,008,484      |
| 3,295,677      | 2,770,753      | 5,733,804      | 6,591,096      | 6,354,431      |
| 2,380,531      | 2,673,726      | 2,642,738      | 2,668,037      | 2,894,456      |
| 7,387,505      | 7,748,294      | 7,863,958      | 8,299,220      | 7,894,732      |
| 3,995,183      | 4,442,125      | 3,922,815      | 4,197,584      | 3,869,671      |
| 12,712,732     | 12,167,758     | 13,627,848     | 12,777,962     | 12,941,774     |
| 4,987,904      | 4,755,349      | 4,756,049      | 5,084,870      | 5,206,719      |
| -              | -              | -              | -              | 1,145,942      |
| 31,399         | 749,198        | 820,652        | 995,563        | 1,032,969      |
| 3,453,182      | 3,440,024      | 3,116,157      | 2,676,973      | 2,862,886      |
| 5,118,467      | 5,323,306      | 5,312,206      | 5,332,834      | 5,384,911      |
| 136,247,128    | 137,401,213    | 138,903,343    | 143,451,021    | 150,308,912    |
| 6,123,005      | 5,771,697      | 6,097,675      | 6,397,986      | 6,154,195      |
| \$ 142,370,133 | \$ 143,172,910 | \$ 145,001,018 | \$ 149,849,007 | \$ 156,463,107 |
| \$ 4,152,099   | \$ 3,181,655   | \$ 2,893,381   | \$ 2,373,293   | \$ 2,551,779   |
| 240,312        | 261,520        | 297,151        | 287,085        | 908,200        |
| 28,261,920     | 28,527,370     | 28,218,619     | 29,499,730     | 31,307,678     |
| 329,038        | 136,397        | 452,249        | 104,422        | 89,319         |
| 32,983,369     | 32,106,942     | 31,861,400     | 32,264,530     | 34,856,976     |
| \$ 1,376,975   | \$ 1,361,144   | \$ 1,284,523   | \$ 1,294,810   | \$ 718,531     |
| -              | -              | -              | -              | -              |
| 4,508,190      | 4,656,571      | 4,782,171      | 4,800,811      | 5,666,206      |
| -              | -              | -              | -              | -              |
| 5,885,165      | 6,017,715      | 6,066,694      | 6,095,621      | 6,384,737      |
| \$ 38,868,534  | \$ 38,124,657  | \$ 37,928,094  | \$ 38,360,151  | \$ 41,241,713  |

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**Waterloo Community School District**  
**Changes in Net Position**  
**Last Ten Fiscal Years**  
**(Accrual Basis of Accounting)**  
**(Unaudited)**

|                                                          | Fiscal Year          |                      |                      |
|----------------------------------------------------------|----------------------|----------------------|----------------------|
|                                                          | 2020                 | 2021                 | 2022                 |
| <b>Expenses</b>                                          |                      |                      |                      |
| Governmental activities                                  |                      |                      |                      |
| Instruction                                              |                      |                      |                      |
| Regular                                                  | \$ 62,905,756        | \$ 65,936,444        | \$ 59,969,021        |
| Special                                                  | 31,845,373           | 32,290,424           | 29,551,990           |
| Vocational                                               | 2,410,587            | 2,412,620            | 2,547,577            |
| Other                                                    | 2,717,331            | 2,242,126            | 4,228,406            |
| Support Services                                         |                      |                      |                      |
| Student                                                  | 5,785,395            | 5,748,313            | 5,742,427            |
| Instructional Staff                                      | 7,100,530            | 6,267,665            | 6,307,843            |
| General administration                                   | 3,137,286            | 3,104,695            | 3,044,721            |
| School administration                                    | 8,119,212            | 8,271,876            | 7,957,527            |
| Business and central administration                      | 4,340,347            | 5,106,183            | 5,907,237            |
| Operations and maintenance of plant                      | 12,148,512           | 12,566,010           | 12,863,085           |
| Transportation                                           | 4,789,500            | 4,353,077            | 5,633,453            |
| Facilities acquisition                                   | 1,875,116            | 6,260,881            | 2,761,786            |
| Noninstructional programs                                | 1,172,254            | 1,112,247            | 819,613              |
| Debt service interest and fiscal changes                 | 2,737,335            | 3,348,297            | 2,787,907            |
| Depreciation (unallocated)                               | 5,529,090            | 5,704,913            | 5,655,060            |
| Total Governmental Activities Expenses                   | <u>156,613,624</u>   | <u>164,725,771</u>   | <u>155,777,653</u>   |
| Business-Type Activities                                 |                      |                      |                      |
| Nutrition services                                       | <u>6,027,419</u>     | <u>5,681,056</u>     | <u>7,011,695</u>     |
| Total Expenses                                           | \$ 162,641,043       | \$ 170,406,827       | \$ 162,789,348       |
| <b>Program Revenue</b>                                   |                      |                      |                      |
| Governmental Activities                                  |                      |                      |                      |
| Charges for Service                                      |                      |                      |                      |
| Instruction                                              | \$ 1,842,046         | \$ 1,445,476         | \$ 4,382,073         |
| Support Services                                         | 908,933              | 527,535              | 292,590              |
| Operating grants, contributions, and restricted interest | 33,521,342           | 32,091,282           | 31,447,756           |
| Capital grants, contributions, and restricted interest   | 7,207                | 150                  | 1,000,000            |
| Total Governmental Activities Program Revenue            | <u>36,279,528</u>    | <u>34,064,443</u>    | <u>37,122,419</u>    |
| Business-Type Activities                                 |                      |                      |                      |
| Charges for Service                                      |                      |                      |                      |
| Nutrition services                                       | \$ 147,905           | \$ 58,038            | \$ 67,998            |
| Day care services                                        | -                    | -                    | -                    |
| Operating grants, contributions, and restricted interest | 5,536,063            | 5,619,626            | 7,801,562            |
| Capital grants, contributions, and restricted interest   | -                    | -                    | -                    |
| Total Business-Type Activities Program Revenue           | <u>5,683,968</u>     | <u>5,677,664</u>     | <u>7,869,560</u>     |
| Total Program Revenue                                    | <u>\$ 41,963,496</u> | <u>\$ 39,742,107</u> | <u>\$ 44,991,979</u> |

**Waterloo Community School District**  
**Changes in Net Position**  
**Last Ten Fiscal Years**  
**(Accrual Basis of Accounting)**  
**(Unaudited)**

|                                                                        | Fiscal Year             |                         |
|------------------------------------------------------------------------|-------------------------|-------------------------|
|                                                                        | 2013                    | 2014                    |
| <b>Net (Expense) Revenue</b>                                           |                         |                         |
| Governmental Activities                                                | \$ (109,167,393)        | \$ (104,596,558)        |
| Business-Type Activities                                               | (173,634)               | (129,703)               |
| Total Government-Wide Net Expense                                      | <u>\$ (109,341,027)</u> | <u>\$ (104,726,261)</u> |
| <b>General Revenue (Expense) and Transfers</b>                         |                         |                         |
| Governmental Activities                                                |                         |                         |
| Property tax                                                           | \$ 41,296,023           | \$ 42,476,135           |
| Unrestricted statewide sales, services, and use tax                    | 9,320,460               | 9,414,543               |
| Unrestricted state and federal grants                                  | 55,215,455              | 56,672,275              |
| Unrestricted investment earnings                                       | 119,390                 | 161,244                 |
| Other                                                                  | -                       | -                       |
| Transfers                                                              | -                       | (236,365)               |
| Total Governmental Activities General Revenue (Expense) and Transfers  | <u>105,951,328</u>      | <u>108,487,832</u>      |
| Business-Type Activities                                               |                         |                         |
| Unrestricted investment earnings                                       | 347                     | 359                     |
| Other                                                                  | -                       | -                       |
| Transfers                                                              | -                       | 236,365                 |
| Total Business-Type Activities General Revenue (Expense) and Transfers | <u>347</u>              | <u>236,724</u>          |
| Total Government-Wide General Revenue                                  | <u>\$ 105,951,675</u>   | <u>\$ 108,724,556</u>   |
| <b>Change in Net Position</b>                                          |                         |                         |
| Governmental Activities                                                | \$ (3,216,065)          | \$ 3,891,274            |
| Business-Type Activities                                               | (173,287)               | 107,021                 |
| Total                                                                  | <u>\$ (3,389,352)</u>   | <u>\$ 3,998,295</u>     |

\*The District recorded a prior period adjustment of (\$55,184,433) in fiscal year 2015 due to the implementation of GASB No. 68. The adjustment is not reflected in fiscal years 2008-2014 on pages 92-94 due to its complexity. The District also recorded a prior period adjustment of (\$1,163,241) for health insurance cost adjustments.

| Fiscal Year                                                          |                                                                |                                                                |                                                                            |                                                                        |
|----------------------------------------------------------------------|----------------------------------------------------------------|----------------------------------------------------------------|----------------------------------------------------------------------------|------------------------------------------------------------------------|
| *2015                                                                | 2016                                                           | 2017                                                           | 2018                                                                       | 2019                                                                   |
| \$ (103,263,759)<br>(237,840)                                        | \$ (105,294,271)<br>246,018                                    | \$ (107,041,943)<br>(30,981)                                   | \$ (111,186,491)<br>(302,365)                                              | \$ (115,451,936)<br>230,542                                            |
| <u>\$ (103,501,599)</u>                                              | <u>\$ (105,048,253)</u>                                        | <u>\$ (107,072,924)</u>                                        | <u>\$ (111,488,856)</u>                                                    | <u>\$ (115,221,394)</u>                                                |
|                                                                      |                                                                |                                                                |                                                                            |                                                                        |
| \$ 41,644,560<br>10,423,134<br>61,830,614<br>207,929<br>-<br>(4,940) | \$ 40,879,253<br>10,636,953<br>63,579,962<br>370,954<br>-<br>- | \$ 41,042,810<br>10,404,246<br>63,834,387<br>381,908<br>-<br>- | \$ 41,145,038<br>10,067,844<br>64,174,857<br>787,325<br>40,850<br>(61,207) | \$ 39,665,677<br>11,253,675<br>66,090,945<br>1,363,885<br>249,568<br>- |
| <u>114,101,297</u>                                                   | <u>115,467,122</u>                                             | <u>115,663,351</u>                                             | <u>116,154,707</u>                                                         | <u>118,623,750</u>                                                     |
| 476<br>-<br>4,940                                                    | 410<br>-<br>-                                                  | 1,150<br>904<br>-                                              | 4,098<br>-<br>61,207                                                       | 10,881<br>-<br>-                                                       |
| <u>5,416</u>                                                         | <u>410</u>                                                     | <u>2,054</u>                                                   | <u>65,305</u>                                                              | <u>10,881</u>                                                          |
| <u>\$ 114,106,713</u>                                                | <u>\$ 115,467,532</u>                                          | <u>\$ 115,665,405</u>                                          | <u>\$ 116,220,012</u>                                                      | <u>\$ 118,634,631</u>                                                  |
|                                                                      |                                                                |                                                                |                                                                            |                                                                        |
| \$ 10,837,538<br>(232,424)                                           | \$ 10,172,851<br>246,428                                       | \$ 8,621,408<br>(28,927)                                       | \$ 4,968,216<br>(237,060)                                                  | \$ 3,171,814<br>241,423                                                |
| <u>\$ 10,605,114</u>                                                 | <u>\$ 10,419,279</u>                                           | <u>\$ 8,592,481</u>                                            | <u>\$ 4,731,156</u>                                                        | <u>\$ 3,413,237</u>                                                    |

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**Waterloo Community School District**  
**Changes in Net Position**  
**Last Ten Fiscal Years**  
**(Accrual Basis of Accounting)**  
**(Unaudited)**

|                                                                        | Fiscal Year             |                         |                         |
|------------------------------------------------------------------------|-------------------------|-------------------------|-------------------------|
|                                                                        | 2020                    | 2021                    | 2022                    |
| <b>Net (Expense) Revenue</b>                                           |                         |                         |                         |
| Governmental Activities                                                | \$ (120,334,096)        | \$ (130,661,328)        | \$ (118,655,234)        |
| Business-Type Activities                                               | (343,451)               | (3,392)                 | 857,865                 |
| Total Government-Wide Net Expense                                      | <u>\$ (120,677,547)</u> | <u>\$ (130,664,720)</u> | <u>\$ (117,797,369)</u> |
| <b>General Revenue (Expense) and Transfers</b>                         |                         |                         |                         |
| Governmental Activities                                                |                         |                         |                         |
| Property tax                                                           | \$ 39,611,680           | \$ 40,752,377           | \$ 39,540,401           |
| Unrestricted statewide sales, services, and use tax                    | 11,095,519              | 10,920,298              | 14,116,706              |
| Unrestricted state and federal grants                                  | 67,506,132              | 84,754,808              | 90,313,243              |
| Unrestricted investment earnings                                       | 1,081,051               | 578,995                 | 650,372                 |
| Other                                                                  | -                       | -                       | -                       |
| Transfers                                                              | (333,175)               | -                       | (207,012)               |
| Total Governmental Activities General Revenue (Expense) and Transfers  | <u>118,961,207</u>      | <u>137,006,478</u>      | <u>144,413,710</u>      |
| Business-Type Activities                                               |                         |                         |                         |
| Unrestricted investment earnings                                       | 10,082                  | 2,498                   | 7,435                   |
| Other                                                                  | -                       | -                       | -                       |
| Transfers                                                              | 333,175                 | -                       | 207,012                 |
| Total Business-Type Activities General Revenue (Expense) and Transfers | <u>343,257</u>          | <u>2,498</u>            | <u>214,447</u>          |
| Total Government-Wide General Revenue                                  | <u>\$ 119,304,464</u>   | <u>\$ 137,008,976</u>   | <u>\$ 144,628,157</u>   |
| <b>Change in Net Position</b>                                          |                         |                         |                         |
| Governmental Activities                                                | \$ (1,372,889)          | \$ 6,345,150            | \$ 25,758,476           |
| Business-Type Activities                                               | (194)                   | (894)                   | 1,072,312               |
| Total                                                                  | <u>\$ (1,373,083)</u>   | <u>\$ 6,344,256</u>     | <u>\$ 26,830,788</u>    |

**Waterloo Community School District**  
**Fund Balances of Governmental Funds**  
**Last Ten Fiscal Years**  
**(Modified Accrual Basis of Accounting)**  
**(Unaudited)**

|                                     | Fiscal Year          |                      |                      |                      |                      |
|-------------------------------------|----------------------|----------------------|----------------------|----------------------|----------------------|
|                                     | 2013                 | 2014                 | 2015                 | 2016                 | 2017                 |
| <b>General Fund</b>                 |                      |                      |                      |                      |                      |
| Nonspendable                        | \$ 244,425           | \$ 266,418           | \$ 314,835           | \$ 214,094           | \$ 203,354           |
| Restricted                          | 1,157,380            | 1,316,639            | 596,754              | 618,739              | 846,668              |
| Committed                           | 2,223,795            | -                    | -                    | -                    | -                    |
| Assigned                            | -                    | 3,363,588            | 2,854,732            | 1,230,992            | 1,230,992            |
| Unassigned                          | 334,586              | 140,498              | 4,774,487            | 9,406,541            | 16,613,297           |
| Total General Fund                  | <u>\$ 3,960,186</u>  | <u>\$ 5,087,143</u>  | <u>\$ 8,540,808</u>  | <u>\$ 11,470,366</u> | <u>\$ 18,894,311</u> |
| <b>All Other Governmental Funds</b> |                      |                      |                      |                      |                      |
| Debt Service Fund                   |                      |                      |                      |                      |                      |
| Restricted                          | \$ 11,871,946        | \$ 14,059,941        | \$ 15,164,372        | \$ 16,537,007        | \$ 12,636,227        |
| Capital Projects Fund               |                      |                      |                      |                      |                      |
| Nonspendable                        | 280,000              | 215,000              | -                    | -                    | -                    |
| Restricted                          | 419,321              | 266,201              | 3,408,325            | 7,699,813            | 8,414,802            |
| Assigned                            | -                    | -                    | -                    | -                    | -                    |
| Unassigned                          | (139,528)            | (2,901,370)          | -                    | -                    | -                    |
| Special Revenue Funds               |                      |                      |                      |                      |                      |
| Nonspendable                        | -                    | -                    | 13,682               | 13,205               | 21,922               |
| Restricted                          | 1,290,101            | 1,633,652            | 2,328,344            | 2,991,415            | 2,950,781            |
| Total All Other Governmental Funds  | <u>\$ 13,721,840</u> | <u>\$ 13,273,424</u> | <u>\$ 20,914,723</u> | <u>\$ 27,241,440</u> | <u>\$ 24,023,732</u> |
| Total All Governmental Funds        | <u>\$ 17,682,026</u> | <u>\$ 18,360,567</u> | <u>\$ 29,455,531</u> | <u>\$ 38,711,806</u> | <u>\$ 42,918,043</u> |

Note: GASB Statement No. 54, *Fund Balance Reporting and Governmental Fund Type Definitions*, was implemented in fiscal year 2011.

| Fiscal Year          |                      |                      |                      |                      |
|----------------------|----------------------|----------------------|----------------------|----------------------|
| 2018                 | 2019                 | 2020                 | 2021                 | 2022                 |
| \$ 209,587           | \$ 170,726           | \$ 180,078           | \$ 233,193           | \$ 1,107,399         |
| 896,351              | 912,809              | 1,931,290            | 793,868              | 1,159,194            |
| -                    | -                    | -                    | -                    | -                    |
| 1,230,992            | 1,230,992            | 1,230,992            | 1,230,992            | 1,230,992            |
| 19,273,937           | 17,848,501           | 15,181,795           | 26,948,864           | 31,809,926           |
| <u>\$ 21,610,867</u> | <u>\$ 20,163,028</u> | <u>\$ 18,524,155</u> | <u>\$ 29,206,917</u> | <u>\$ 35,307,511</u> |
|                      |                      |                      |                      |                      |
| \$ 14,412,575        | \$ 16,936,384        | \$ 18,272,341        | \$ 22,594,426        | \$ 22,713,606        |
| -                    | -                    | -                    | -                    | -                    |
| 19,959,174           | 15,335,500           | 16,292,484           | 26,957,075           | 13,639,967           |
| -                    | -                    | -                    | -                    | -                    |
| -                    | -                    | -                    | -                    | -                    |
| -                    | -                    | -                    | -                    | -                    |
| 3,092,044            | 2,972,681            | 2,593,678            | 2,752,224            | 2,454,640            |
| <u>\$ 37,463,793</u> | <u>\$ 35,244,565</u> | <u>\$ 37,158,503</u> | <u>\$ 52,303,725</u> | <u>\$ 38,808,213</u> |
|                      |                      |                      |                      |                      |
| <u>\$ 59,074,660</u> | <u>\$ 55,407,593</u> | <u>\$ 55,682,658</u> | <u>\$ 81,510,642</u> | <u>\$ 74,115,724</u> |

**Waterloo Community School District**  
**Changes in Fund Balances of Governmental Funds**  
**Last Ten Fiscal Years**  
**(Modified Accrual Basis of Accounting)**  
**(Unaudited)**

|                                                             | Fiscal Year           |                    |                      |                      |
|-------------------------------------------------------------|-----------------------|--------------------|----------------------|----------------------|
|                                                             | 2013                  | 2014               | 2015                 | 2016                 |
| <b>Revenue</b>                                              |                       |                    |                      |                      |
| Local Tax                                                   | \$ 50,599,641         | \$ 42,476,135      | \$ 41,644,560        | \$ 40,879,253        |
| Other local sources                                         | 6,293,548             | 5,376,943          | 4,829,364            | 3,922,981            |
| State sources                                               | 67,889,502            | 82,483,942         | 90,713,945           | 92,921,474           |
| Federal sources                                             | 11,417,237            | 10,172,641         | 9,901,237            | 9,836,256            |
| Total Revenue                                               | <u>136,199,928</u>    | <u>140,509,661</u> | <u>147,089,106</u>   | <u>147,559,964</u>   |
| <b>Expenditures</b>                                         |                       |                    |                      |                      |
| Instruction                                                 |                       |                    |                      |                      |
| Regular                                                     | 58,001,828            | 57,440,376         | 60,121,044           | 58,993,633           |
| Special                                                     | 26,853,906            | 23,823,892         | 23,156,424           | 22,732,230           |
| Vocational                                                  | 201,367               | 184,768            | 169,756              | 202,779              |
| Other                                                       | 2,610,714             | 2,550,136          | 2,621,515            | 2,687,454            |
| Support Services                                            |                       |                    |                      |                      |
| Student                                                     | 4,189,344             | 3,934,386          | 4,431,229            | 4,788,157            |
| Instructional staff                                         | 4,641,961             | 4,105,158          | 3,388,887            | 2,817,283            |
| General administration                                      | 1,313,279             | 2,053,676          | 2,451,090            | 2,718,769            |
| School administration                                       | 6,661,022             | 7,270,700          | 7,625,796            | 7,890,728            |
| Business and central administration                         | 4,028,887             | 4,208,250          | 3,985,863            | 4,534,563            |
| Operation and maintenance of plant                          | 10,708,839            | 10,999,450         | 10,837,204           | 11,138,260           |
| Transportation                                              | 5,353,119             | 5,092,951          | 4,966,162            | 4,732,761            |
| Noninstructional programs                                   | 7,312                 | 56,164             | 31,399               | 762,335              |
| AEA flowthrough                                             | 4,648,080             | 4,896,694          | 5,160,012            | 5,236,777            |
| Facilities acquisition                                      | 16,032,792            | 8,016,091          | 5,916,295            | 1,736,111            |
| Capital outlay                                              | -                     | -                  | -                    | -                    |
| Debt Service                                                |                       |                    |                      |                      |
| Principal                                                   | 1,350,000             | 1,700,000          | 2,655,000            | 2,760,000            |
| Interest and fiscal charges                                 | 3,476,497             | 3,498,428          | 3,536,466            | 3,462,108            |
| Total Expenditures                                          | <u>150,078,947</u>    | <u>139,831,120</u> | <u>141,054,142</u>   | <u>137,193,948</u>   |
| Revenue Over (Under) Expenditures                           | <u>(13,879,019)</u>   | <u>678,541</u>     | <u>6,034,964</u>     | <u>10,366,016</u>    |
| <b>Other Financing Sources (Uses)</b>                       |                       |                    |                      |                      |
| Revenue bonds issued                                        | 10,000,000            | -                  | 5,060,000            | -                    |
| Premium (discount) on sale of revenue bonds                 | 246,146               | -                  | -                    | -                    |
| Revenue bonds repaid                                        | -                     | -                  | -                    | -                    |
| Proceeds from sale of capital assets                        | 50,003                | -                  | -                    | 17,400               |
| Insurance recoveries                                        | -                     | -                  | -                    | -                    |
| Proceeds from long-term note receivable                     | 280,000               | -                  | -                    | -                    |
| Payment to refunding bonds escrow agent                     | -                     | -                  | -                    | -                    |
| Transfers in                                                | 7,332,986             | 7,391,787          | 7,171,023            | 7,322,260            |
| Transfers out                                               | (7,332,986)           | (7,391,787)        | (7,171,023)          | (7,322,260)          |
| Total Other Financing Sources (Uses)                        | <u>10,576,149</u>     | <u>-</u>           | <u>5,060,000</u>     | <u>17,400</u>        |
| Net change in fund balances                                 | <u>\$ (3,302,870)</u> | <u>\$ 678,541</u>  | <u>\$ 11,094,964</u> | <u>\$ 10,383,416</u> |
| Debt services as a percentage<br>of noncapital expenditures | <u>3.58%</u>          | <u>3.89%</u>       | <u>4.52%</u>         | <u>4.57%</u>         |

| Fiscal Year   |               |                |               |               |                |
|---------------|---------------|----------------|---------------|---------------|----------------|
| 2017          | 2018          | 2019           | 2020          | 2021          | 2022           |
| \$ 41,042,810 | \$ 41,145,038 | \$ 39,665,677  | \$ 39,611,680 | \$ 40,752,377 | \$ 39,540,401  |
| 4,060,967     | 3,576,353     | 5,135,083      | 3,903,834     | 2,779,254     | 4,623,894      |
| 93,075,350    | 93,493,669    | 96,986,270     | 98,766,524    | 102,673,826   | 105,987,170    |
| 9,418,824     | 10,249,534    | 10,678,737     | 12,511,951    | 24,409,499    | 30,144,192     |
| 147,597,951   | 148,464,594   | 152,465,767    | 154,793,989   | 170,614,956   | 180,295,657    |
| 55,353,953    | 55,540,116    | 57,603,548     | 59,311,253    | 62,473,850    | 65,534,511     |
| 21,756,209    | 22,813,950    | 25,807,093     | 25,566,615    | 25,921,809    | 26,222,718     |
| 400,383       | 500,388       | 1,585,697      | 2,206,150     | 2,300,975     | 2,619,859      |
| 2,792,554     | 3,881,778     | 3,096,335      | 2,423,586     | 2,140,325     | 4,334,568      |
| 4,415,783     | 5,115,590     | 4,971,109      | 5,634,378     | 5,623,145     | 6,151,256      |
| 5,646,305     | 6,447,463     | 6,291,097      | 6,835,486     | 6,069,673     | 6,969,955      |
| 2,602,137     | 2,616,598     | 2,871,929      | 3,023,669     | 3,012,434     | 3,350,049      |
| 7,743,139     | 8,125,929     | 7,821,148      | 7,818,359     | 8,020,026     | 8,843,898      |
| 3,827,775     | 4,106,600     | 3,917,276      | 4,110,481     | 4,611,522     | 4,478,589      |
| 11,167,991    | 11,189,322    | 11,920,069     | 11,576,681    | 11,974,792    | 13,449,764     |
| 4,750,742     | 5,079,463     | 5,201,248      | 4,783,552     | 4,347,382     | 5,630,896      |
| 810,060       | 984,215       | 1,020,730      | 1,131,872     | 1,101,958     | 920,489        |
| 5,152,367     | 5,286,315     | 5,363,880      | 5,471,894     | 5,648,589     | 5,654,682      |
| 3,284,407     | 8,643,022     | 1,145,942      | 1,400,394     | 2,298,396     | 1,136,610      |
| -             | -             | 12,038,498     | 6,328,372     | 17,695,863    | 22,952,401     |
| 4,930,000     | 6,367,495     | 3,861,495      | 4,944,495     | 5,145,000     | 6,349,000      |
| 3,769,285     | 2,256,376     | 2,530,699      | 2,502,220     | 2,608,597     | 3,171,037      |
| 138,403,090   | 148,954,620   | 157,047,793    | 155,069,457   | 170,994,336   | 187,770,282    |
| 9,194,861     | (490,026)     | (4,582,026)    | (275,468)     | (379,380)     | (7,474,625)    |
| 43,045,000    | 16,667,000    | -              | -             | 22,600,000    | 30,281,000     |
| -             | -             | -              | -             | 3,226,399     | -              |
| -             | -             | -              | -             | -             | -              |
| -             | 40,850        | 249,568        | -             | -             | -              |
| -             | -             | 665,391        | 854,921       | 380,965       | 23,719         |
| -             | -             | -              | -             | -             | -              |
| (48,033,623)  | -             | -              | -             | -             | (30,018,000)   |
| 9,610,102     | 10,272,656    | 8,806,952      | 8,461,974     | 11,654,521    | 9,129,455      |
| (9,610,102)   | (10,333,863)  | (8,806,952)    | (8,766,362)   | (11,654,521)  | (9,336,467)    |
| (4,988,623)   | 16,646,643    | 914,959        | 550,533       | 26,207,364    | 79,707         |
| \$ 4,206,238  | \$ 16,156,617 | \$ (3,667,067) | \$ 275,065    | \$ 25,827,984 | \$ (7,394,918) |
| 6.34%         | 6.10%         | 4.35%          | 4.93%         | 5.03%         | 5.65%          |

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**Waterloo Community School District**  
**General Fund - Other Local Revenue by Sources**  
**Last Ten Fiscal Years**  
**(Modified Accrual Basis of Accounting)**  
**(Unaudited)**

| Fiscal Year<br>Ended<br>June 30, | Rentals    | Contributions | Investment<br>Earnings | Other      | Total        |
|----------------------------------|------------|---------------|------------------------|------------|--------------|
| 2013                             | \$ 170,686 | \$ 1,880,256  | \$ 58,975              | \$ 504,977 | \$ 2,614,894 |
| 2014                             | 44,065     | 2,241,178     | 72,959                 | 587,411    | 2,945,613    |
| 2015                             | 118,672    | 1,918,344     | 97,640                 | 373,586    | 2,508,242    |
| 2016                             | 114,095    | 622,991       | 83,636                 | 224,583    | 1,045,305    |
| 2017                             | 96,094     | 598,548       | 162,521                | 293,200    | 1,150,363    |
| 2018                             | 74,926     | 371,131       | 433,257                | 202,592    | 1,081,906    |
| 2019                             | 77,826     | 1,207,716     | 721,011                | 129,411    | 2,135,964    |
| 2020                             | 52,490     | 964,166       | 538,135                | 77,637     | 1,632,428    |
| 2021                             | 25,855     | 440,080       | 219,925                | 198,360    | 884,220      |
| 2022                             | 48,424     | 1,196,424     | 291,333                | 234,603    | 1,770,784    |

Source: District financial records

**Waterloo Community School District**  
**Taxable Value and Assessed Value of Taxable Property**  
**Last Ten Fiscal Years**

Excluding Tax Increment Financing (TIF) Property

| Levy<br>Year | Real Property      |                  |                        | Utilities with Gas and Electric |                        |
|--------------|--------------------|------------------|------------------------|---------------------------------|------------------------|
|              | Collection<br>Year | Taxable<br>Value | 100% Assessed<br>Value | Taxable<br>Value                | 100% Assessed<br>Value |
| 2021         | 2022-23            | \$ 2,752,764,376 | \$ 4,497,585,942       | \$ 90,942,731                   | \$ 221,209,026         |
| 2020         | 2021-22            | 2,699,444,623    | 4,262,817,544          | 82,927,339                      | 197,789,137            |
| 2019         | 2020-21            | 2,980,745,977    | 4,577,698,946          | 86,082,965                      | 190,923,087            |
| 2018         | 2019-20            | 2,979,211,235    | 4,505,458,805          | 89,352,252                      | 181,312,936            |
| 2017         | 2018-19            | 2,578,452,678    | 4,579,032,151          | 91,523,089                      | 173,916,620            |
| 2016         | 2017-18            | 2,596,980,650    | 4,094,291,800          | 92,872,695                      | 172,719,002            |
| 2015         | 2016-17            | 2,485,821,894    | 3,980,722,291          | 132,928,647                     | 202,116,070            |
| 2014         | 2015-16            | 2,443,853,918    | 3,897,583,672          | 137,562,883                     | 192,279,984            |
| 2013         | 2014-15            | 2,466,387,287    | 3,896,489,703          | 140,057,849                     | 174,702,214            |
| 2012         | 2013-14            | 2,549,230,988    | 3,983,805,644          | 141,032,313                     | 199,354,174            |

\*Source: Black Hawk County Auditor's Office

| Total            |                        | Ratio of<br>Taxable Value<br>to 100%<br>Assessed Value | Total District<br>Levy Rate |
|------------------|------------------------|--------------------------------------------------------|-----------------------------|
| Taxable<br>Value | 100% Assessed<br>Value |                                                        |                             |
| \$ 2,843,707,107 | \$ 4,718,794,968       | 63.2%                                                  | 13.36209                    |
| 2,782,371,962    | 4,460,606,681          | 65.3%                                                  | 13.84769                    |
| 3,066,828,942    | 4,768,622,033          | 67.0%                                                  | 14.20694                    |
| 3,068,563,487    | 4,686,771,741          | 68.1%                                                  | 14.20694                    |
| 2,669,975,767    | 4,752,948,771          | 58.3%                                                  | 14.57188                    |
| 2,689,853,345    | 4,267,010,802          | 65.7%                                                  | 14.98155                    |
| 2,618,750,541    | 4,182,838,361          | 65.8%                                                  | 15.40000                    |
| 2,581,416,801    | 4,089,863,656          | 66.2%                                                  | 15.62432                    |
| 2,606,445,136    | 4,071,191,917          | 66.9%                                                  | 15.97526                    |
| 2,690,263,301    | 4,183,159,818          | 67.5%                                                  | 15.72818                    |

**Waterloo Community School District**  
**Direct and Overlapping Property Tax Rates Per \$1,000 Assessed Valuation**  
**Last Ten Fiscal Years**

| City            | Levy Year | Collection Year | Overlapping Rates |                            |              |          |                   | District Direct Rates |              |                      |           |                | Total    | Ratio of Waterloo Community School District to Total |
|-----------------|-----------|-----------------|-------------------|----------------------------|--------------|----------|-------------------|-----------------------|--------------|----------------------|-----------|----------------|----------|------------------------------------------------------|
|                 |           |                 | State             | Area VII Community College | Ag Extension | Assessor | Black Hawk County | City                  | General Fund | Management Levy Fund | PPEL Fund | Total District |          |                                                      |
| Waterloo        | 2021      | 2022-23         | 0.00240           | 1.18571                    | 0.11456      | 0.22911  | 5.63335           | 18.97159              | 11.30740     | 1.05496              | 1.00000   | 13.36236       | 39.49908 | 33.83%                                               |
|                 | 2020      | 2021-22         | 0.00260           | 1.17640                    | 0.09872      | 0.22103  | 6.17391           | 18.63188              | 12.20076     | 0.64693              | 1.00000   | 13.84769       | 40.15223 | 34.49%                                               |
|                 | 2019      | 2020-21         | 0.00290           | 1.01703                    | 0.09346      | 0.25005  | 6.69303           | 17.45595              | 12.55248     | 0.65446              | 1.00000   | 14.20694       | 39.71936 | 35.77%                                               |
|                 | 2018      | 2019-20         | 0.00280           | 1.11803                    | 0.09315      | 0.22093  | 6.30363           | 17.54799              | 12.77376     | 0.43318              | 1.00000   | 14.20694       | 39.49347 | 35.97%                                               |
|                 | 2017      | 2018-19         | 0.00290           | 1.01703                    | 0.09346      | 0.25005  | 6.69303           | 17.45595              | 13.01008     | 0.56180              | 1.00000   | 14.57188       | 40.08430 | 36.35%                                               |
|                 | 2016      | 2017-18         | 0.00310           | 0.97071                    | 0.09148      | 0.26966  | 6.41507           | 7.58574               | 13.42390     | 0.55765              | 1.00000   | 14.98155       | 30.31731 | 49.42%                                               |
|                 | 2015      | 2016-17         | 0.00330           | 0.95088                    | 0.09352      | 0.28545  | 6.44577           | 17.60522              | 13.82721     | 0.57279              | 1.00000   | 15.40000       | 40.78414 | 37.76%                                               |
|                 | 2014      | 2015-16         | 0.00330           | 0.95088                    | 0.09603      | 0.29967  | 6.74817           | 17.76370              | 13.77207     | 0.85225              | 1.00000   | 15.62432       | 41.48607 | 37.66%                                               |
|                 | 2013      | 2014-15         | 0.00330           | 0.95088                    | 0.09646      | 0.30787  | 6.11919           | 17.95159              | 13.82427     | 1.15099              | 1.00000   | 15.97526       | 41.40455 | 38.58%                                               |
|                 | 2012      | 2013-14         | 0.00330           | 0.95205                    | 0.08970      | 0.32445  | 6.02116           | 17.49319              | 13.53871     | 1.18947              | 1.00000   | 15.72818       | 40.61203 | 38.73%                                               |
| Cedar Falls     | 2021      | 2022-23         | 0.00240           | 1.18571                    | 0.11456      | 0.22911  | 5.63335           | 11.51171              | 11.3074      | 1.05496              | 1.00000   | 13.36236       | 32.03920 | 41.71%                                               |
|                 | 2020      | 2021-22         | 0.00260           | 1.17640                    | 0.09872      | 0.22103  | 6.17391           | 11.38273              | 12.20076     | 0.64693              | 1.00000   | 13.84769       | 32.90308 | 42.09%                                               |
|                 | 2019      | 2020-21         | 0.00290           | 1.01703                    | 0.09346      | 0.25005  | 6.69303           | 11.22169              | 12.55248     | 0.65446              | 1.00000   | 14.20694       | 33.48510 | 42.43%                                               |
|                 | 2018      | 2019-20         | 0.00280           | 1.11803                    | 0.09315      | 0.22093  | 6.30363           | 10.95250              | 12.77376     | 0.43318              | 1.00000   | 14.20694       | 32.89798 | 43.18%                                               |
|                 | 2017      | 2018-19         | 0.00290           | 1.01703                    | 0.09346      | 0.25005  | 6.69303           | 11.22169              | 13.01008     | 0.56180              | 1.00000   | 14.57188       | 33.85004 | 43.05%                                               |
|                 | 2016      | 2017-18         | 0.00310           | 0.97071                    | 0.09148      | 0.26966  | 6.41507           | 11.76884              | 13.42390     | 0.55765              | 1.00000   | 14.98155       | 34.50041 | 43.42%                                               |
|                 | 2015      | 2016-17         | 0.00330           | 0.95088                    | 0.09352      | 0.28545  | 6.44577           | 11.21967              | 13.82721     | 0.57279              | 1.00000   | 15.40000       | 34.39859 | 44.77%                                               |
|                 | 2014      | 2015-16         | 0.00330           | 0.95088                    | 0.09603      | 0.29967  | 6.74817           | 11.52796              | 13.77207     | 0.85225              | 1.00000   | 15.62432       | 35.25033 | 44.32%                                               |
|                 | 2013      | 2014-15         | 0.00330           | 0.95088                    | 0.09646      | 0.30787  | 6.11919           | 11.81029              | 13.82427     | 1.15099              | 1.00000   | 15.97526       | 35.26325 | 45.30%                                               |
|                 | 2012      | 2013-14         | 0.00330           | 0.95205                    | 0.08970      | 0.32445  | 6.02116           | 12.02123              | 13.53871     | 1.18947              | 1.00000   | 15.72818       | 35.14007 | 44.76%                                               |
| Elk Run Heights | 2021      | 2022-23         | 0.00240           | 1.18571                    | 0.11456      | 0.22911  | 5.63335           | 9.11311               | 11.3074      | 1.05496              | 1.00000   | 13.36236       | 29.64060 | 45.08%                                               |
|                 | 2020      | 2021-22         | 0.00260           | 1.17640                    | 0.09872      | 0.22103  | 6.17391           | 8.09999               | 12.20076     | 0.64693              | 1.00000   | 13.84769       | 29.62034 | 46.75%                                               |
|                 | 2019      | 2020-21         | 0.00290           | 1.01703                    | 0.09346      | 0.25005  | 6.69303           | 8.10000               | 12.55248     | 0.65446              | 1.00000   | 14.20694       | 30.36341 | 46.79%                                               |
|                 | 2018      | 2019-20         | 0.00280           | 1.11803                    | 0.09315      | 0.22093  | 6.30363           | 8.10000               | 12.77376     | 0.43318              | 1.00000   | 14.20694       | 30.04548 | 47.28%                                               |
|                 | 2017      | 2018-19         | 0.00290           | 1.01703                    | 0.09346      | 0.25005  | 6.69303           | 8.10000               | 13.01008     | 0.56180              | 1.00000   | 14.57188       | 30.72835 | 47.42%                                               |
|                 | 2016      | 2017-18         | 0.00310           | 0.97071                    | 0.09148      | 0.26966  | 6.41507           | 6.91757               | 13.42390     | 0.55765              | 1.00000   | 14.98155       | 29.64914 | 50.53%                                               |
|                 | 2015      | 2016-17         | 0.00330           | 0.95088                    | 0.09352      | 0.28545  | 6.44577           | 7.00001               | 13.82721     | 0.57279              | 1.00000   | 15.40000       | 30.17893 | 51.03%                                               |
|                 | 2014      | 2015-16         | 0.00330           | 0.95088                    | 0.09603      | 0.29967  | 6.74817           | 7.00000               | 13.77207     | 0.85225              | 1.00000   | 15.62432       | 30.72237 | 50.86%                                               |
|                 | 2013      | 2014-15         | 0.00330           | 0.95088                    | 0.09646      | 0.30787  | 6.11919           | 6.01470               | 13.82427     | 1.15099              | 1.00000   | 15.97526       | 29.46766 | 54.21%                                               |
|                 | 2012      | 2013-14         | 0.00330           | 0.95205                    | 0.08970      | 0.32445  | 6.02116           | 6.01402               | 13.53871     | 1.18947              | 1.00000   | 15.72818       | 29.13286 | 53.99%                                               |

**Waterloo Community School District**  
**Direct and Overlapping Property Tax Rates Per \$1,000 Assessed Valuation**  
**Last Ten Fiscal Years**

| City         | Levy Year | Collection Year | Overlapping Rates |                            |              |          |                   | District Direct Rates |              |                      |           |                | Total    | Ratio of Waterloo Community School District to Total |
|--------------|-----------|-----------------|-------------------|----------------------------|--------------|----------|-------------------|-----------------------|--------------|----------------------|-----------|----------------|----------|------------------------------------------------------|
|              |           |                 | State             | Area VII Community College | Ag Extension | Assessor | Black Hawk County | City                  | General Fund | Management Levy Fund | PPEL Fund | Total District |          |                                                      |
| Evansdale    | 2021      | 2022-23         | 0.00240           | 1.18571                    | 0.11456      | 0.22911  | 5.63335           | 7.97946               | 11.3074      | 1.05496              | 1.00000   | 13.36236       | 28.50695 | 46.87%                                               |
|              | 2020      | 2021-22         | 0.00260           | 1.17640                    | 0.09872      | 0.22103  | 6.17391           | 7.94876               | 12.20076     | 0.64693              | 1.00000   | 13.84769       | 29.46911 | 46.99%                                               |
|              | 2019      | 2020-21         | 0.00290           | 1.01703                    | 0.09346      | 0.25005  | 6.69303           | 8.10000               | 12.55248     | 0.65446              | 1.00000   | 14.20694       | 30.36341 | 46.79%                                               |
|              | 2018      | 2019-20         | 0.00280           | 1.11803                    | 0.09315      | 0.22093  | 6.30363           | 9.30626               | 12.77376     | 0.43318              | 1.00000   | 14.20694       | 31.25174 | 45.46%                                               |
|              | 2017      | 2018-19         | 0.00290           | 1.01703                    | 0.09346      | 0.25005  | 6.69303           | 8.10000               | 13.01008     | 0.56180              | 1.00000   | 14.57188       | 30.72835 | 47.42%                                               |
|              | 2016      | 2017-18         | 0.00310           | 0.97071                    | 0.09148      | 0.26966  | 6.41507           | 17.60000              | 13.42390     | 0.55765              | 1.00000   | 14.98155       | 40.33157 | 37.15%                                               |
|              | 2015      | 2016-17         | 0.00330           | 0.95088                    | 0.09352      | 0.28545  | 6.44577           | 7.41756               | 13.82721     | 0.57279              | 1.00000   | 15.40000       | 30.59648 | 50.33%                                               |
|              | 2014      | 2015-16         | 0.00330           | 0.95088                    | 0.09603      | 0.29967  | 6.74817           | 6.99152               | 13.77207     | 0.85225              | 1.00000   | 15.62432       | 30.71389 | 50.87%                                               |
|              | 2013      | 2014-15         | 0.00330           | 0.95088                    | 0.09646      | 0.30787  | 6.11919           | 6.99152               | 13.82427     | 1.15099              | 1.00000   | 15.97526       | 30.44448 | 52.47%                                               |
|              | 2012      | 2013-14         | 0.00330           | 0.95205                    | 0.08970      | 0.32445  | 6.02116           | 6.31301               | 13.53871     | 1.18947              | 1.00000   | 15.72818       | 29.43185 | 53.44%                                               |
| Gilbertville | 2021      | 2022-23         | 0.00240           | 1.18571                    | 0.11456      | 0.22911  | 5.63335           | 13.61202              | 11.3074      | 1.05496              | 1.00000   | 13.36236       | 34.13951 | 39.14%                                               |
|              | 2020      | 2021-22         | 0.00260           | 1.17640                    | 0.09872      | 0.22103  | 6.17391           | 12.89986              | 12.20076     | 0.64693              | 1.00000   | 13.84769       | 34.42021 | 40.23%                                               |
|              | 2019      | 2020-21         | 0.00290           | 1.01703                    | 0.09346      | 0.25005  | 6.69303           | 11.83251              | 12.55248     | 0.65446              | 1.00000   | 14.20694       | 34.09592 | 41.67%                                               |
|              | 2018      | 2019-20         | 0.00280           | 1.11803                    | 0.09315      | 0.22093  | 6.30363           | 12.21391              | 12.77376     | 0.43318              | 1.00000   | 14.20694       | 34.15939 | 41.59%                                               |
|              | 2017      | 2018-19         | 0.00290           | 1.01703                    | 0.09346      | 0.25005  | 6.69303           | 11.83251              | 13.01008     | 0.56180              | 1.00000   | 14.57188       | 34.46086 | 42.29%                                               |
|              | 2016      | 2017-18         | 0.00310           | 0.97071                    | 0.09148      | 0.26966  | 6.41507           | 11.13476              | 13.42390     | 0.55765              | 1.00000   | 14.98155       | 33.86633 | 44.24%                                               |
|              | 2015      | 2016-17         | 0.00330           | 0.95088                    | 0.09352      | 0.28545  | 6.44577           | 11.35181              | 13.82721     | 0.57279              | 1.00000   | 15.40000       | 34.53073 | 44.60%                                               |
|              | 2014      | 2015-16         | 0.00330           | 0.95088                    | 0.09603      | 0.29967  | 6.74817           | 10.97368              | 13.77207     | 0.85225              | 1.00000   | 15.62432       | 34.69605 | 45.03%                                               |
|              | 2013      | 2014-15         | 0.00330           | 0.95088                    | 0.09646      | 0.30787  | 6.11919           | 10.63264              | 13.82427     | 1.15099              | 1.00000   | 15.97526       | 34.08560 | 46.87%                                               |
|              | 2012      | 2013-14         | 0.00330           | 0.95205                    | 0.08970      | 0.32445  | 6.02116           | 10.57069              | 13.53871     | 1.18947              | 1.00000   | 15.72818       | 33.68953 | 46.69%                                               |
| Raymond      | 2021      | 2022-23         | 0.00240           | 1.18571                    | 0.11456      | 0.22911  | 5.63335           | 6.91757               | 11.3074      | 1.05496              | 1.00000   | 13.36236       | 27.44506 | 48.69%                                               |
|              | 2020      | 2021-22         | 0.00260           | 1.17640                    | 0.09872      | 0.22103  | 6.17391           | 6.91754               | 12.20076     | 0.64693              | 1.00000   | 13.84769       | 28.43789 | 48.69%                                               |
|              | 2019      | 2020-21         | 0.00290           | 1.01703                    | 0.09346      | 0.25005  | 6.69303           | 6.91757               | 12.55248     | 0.65446              | 1.00000   | 14.20694       | 29.18098 | 48.69%                                               |
|              | 2018      | 2019-20         | 0.00280           | 1.11803                    | 0.09315      | 0.22093  | 6.30363           | 6.97156               | 12.77376     | 0.43318              | 1.00000   | 14.20694       | 28.91704 | 49.13%                                               |
|              | 2017      | 2018-19         | 0.00290           | 1.01703                    | 0.09346      | 0.25005  | 6.69303           | 6.91757               | 13.01008     | 0.56180              | 1.00000   | 14.57188       | 29.54592 | 49.32%                                               |
|              | 2016      | 2017-18         | 0.00310           | 0.97071                    | 0.09148      | 0.26966  | 6.41507           | 8.10000               | 13.42390     | 0.55765              | 1.00000   | 14.98155       | 30.83157 | 48.59%                                               |
|              | 2015      | 2016-17         | 0.00330           | 0.95088                    | 0.09352      | 0.28545  | 6.44577           | 6.98609               | 13.82721     | 0.57279              | 1.00000   | 15.40000       | 30.16501 | 51.05%                                               |
|              | 2014      | 2015-16         | 0.00330           | 0.95088                    | 0.09603      | 0.29967  | 6.74817           | 6.96247               | 13.77207     | 0.85225              | 1.00000   | 15.62432       | 30.68484 | 50.92%                                               |
|              | 2013      | 2014-15         | 0.00330           | 0.95088                    | 0.09646      | 0.30787  | 6.11919           | 6.96247               | 13.82427     | 1.15099              | 1.00000   | 15.97526       | 30.41543 | 52.52%                                               |
|              | 2012      | 2013-14         | 0.00330           | 0.95205                    | 0.08970      | 0.32445  | 6.02116           | 6.91759               | 13.53871     | 1.18947              | 1.00000   | 15.72818       | 30.03643 | 52.36%                                               |

**Waterloo Community School District  
Top Ten Property Taxpayers  
Current Year and Nine Years Ago**

| Taxpayers                          | Type of Business | FY 2022<br>Taxable Value | Percentage of<br>2022 Total<br>Taxable<br>Valuation* | Percentage of<br>Total<br>Taxable<br>Value | FY 2013<br>Taxable Value | Percentage of<br>2013<br>Taxable<br>Valuation | Percentage of<br>Total<br>Taxable<br>Value |
|------------------------------------|------------------|--------------------------|------------------------------------------------------|--------------------------------------------|--------------------------|-----------------------------------------------|--------------------------------------------|
| Deere & Company                    | Manufacturing    | \$ 54,264,907            | 2.01%                                                | 20.17%                                     | \$ 51,122,785            | 1.28%                                         | 18.13%                                     |
| GLP Capital                        | Casino           | 48,954,195               | 1.81%                                                | 18.20%                                     | 64,833,320               | 1.61%                                         | 22.98%                                     |
| Con Agra                           | Food processing  | 31,500,000               | 1.17%                                                | 11.71%                                     | 20,468,860               | 0.51%                                         | 7.26%                                      |
| Menard, Inc.                       | Retail           | 21,242,484               | 0.79%                                                | 7.90%                                      | 15,454,327               | 0.39%                                         | 5.48%                                      |
| Northern Natural<br>Gas Co.        | Utilities        | 25,878,681               | 0.96%                                                | 9.62%                                      | 20,381,796               | 0.51%                                         | 7.23%                                      |
| Ferguson Enterprises, Inc.         | Manufacturing    | 18,636,903               | 0.69%                                                | 6.93%                                      | 20,707,670               | 0.52%                                         | 7.34%                                      |
| IBP, Inc.                          | Meat processing  | 22,324,493               | 0.83%                                                | 8.30%                                      | 16,622,000               | 0.42%                                         | 5.89%                                      |
| VGM Management                     | Health Care      | 16,595,353               | 0.61%                                                | 6.17%                                      | -                        | -                                             | -                                          |
| Waterloo Cabinet<br>Properties LLC | Manufacturing    | 14,318,676               | 0.53%                                                | 5.32%                                      | 17,557,550               | 0.44%                                         | 6.23%                                      |
| G G & A Crossroads<br>Center       | Retail           | -                        | -                                                    | -                                          | 37,125,830               | 0.93%                                         | 13.16%                                     |
| FDP WTC LLC                        | Developer        | 15,300,000               | 0.57%                                                | 5.69%                                      | -                        | -                                             | -                                          |
| Qwest Corporation                  | Communications   | -                        | -                                                    | -                                          | 17,765,525               | 0.44%                                         | 6.30%                                      |
| Totals                             |                  | <u>\$ 269,015,692</u>    | <u>9.97%</u>                                         | <u>100.00%</u>                             | <u>\$ 282,039,663</u>    | <u>7.05%</u>                                  | <u>100.00%</u>                             |

\*2022 total net taxable valuation of \$2,699,444,623 (without gas and electric utility value) and excluding tax increment financing (TIF) property

Source: Black Hawk County Auditor's Office

**Waterloo Community School District**  
**Property Tax Levies and Collections**  
**Last Ten Fiscal Years**

| Levy<br>Years | Fiscal<br>Year | Taxes Levied<br>for the<br>Fiscal Year | Collected within the<br>Fiscal Year of the Levy |                       | Collections in<br>Subsequent<br>Years | Total Collections to Date |                       |
|---------------|----------------|----------------------------------------|-------------------------------------------------|-----------------------|---------------------------------------|---------------------------|-----------------------|
|               |                |                                        | Amount                                          | Percentage<br>of Levy |                                       | Amount                    | Percentage<br>of Levy |
| 2020          | 2021-22        | \$ 39,413,649                          | \$ 39,413,649                                   | 100.00%               | \$ -                                  | \$ 39,413,649             | 100.00%               |
| 2019          | 2020-21        | 39,888,502                             | 39,888,502                                      | 100.00%               | -                                     | 39,496,191                | 99.02%                |
| 2018          | 2019-20        | 40,174,005                             | 39,496,191                                      | 98.31%                | -                                     | 39,496,191                | 98.31%                |
| 2017          | 2018-19        | 39,669,878                             | 39,665,677                                      | 99.99%                | -                                     | 39,665,677                | 99.99%                |
| 2016          | 2017-18        | 40,980,631                             | 40,980,631                                      | 100.00%               | -                                     | 40,980,631                | 100.00%               |
| 2015          | 2016-17        | 41,068,462                             | 41,042,810                                      | 99.94%                | -                                     | 41,042,810                | 99.94%                |
| 2014          | 2015-16        | 41,010,189                             | 40,879,253                                      | 99.68%                | -                                     | 40,879,253                | 99.68%                |
| 2013          | 2014-15        | 42,243,752                             | 41,644,560                                      | 98.58%                | -                                     | 41,644,560                | 98.58%                |
| 2012          | 2013-14        | 42,842,013                             | 42,502,915                                      | 99.21%                | -                                     | 42,502,915                | 99.21%                |
| 2011          | 2012-13        | 41,604,671                             | 41,321,355                                      | 99.32%                | -                                     | 41,321,355                | 99.32%                |

Source: Black Hawk County Auditor's Office

**Waterloo Community School District**  
**Ratios of Outstanding Debt by Type**  
**Last Ten Fiscal Years**  
**(Unaudited)**

| Year Ended<br>June 30, | Governmental<br>Activities                                  |            | Total Debt<br>Per Capita* | Personal<br>Income* | Ratio of<br>Outstanding<br>Debt to<br>Personal<br>Income |               |        |
|------------------------|-------------------------------------------------------------|------------|---------------------------|---------------------|----------------------------------------------------------|---------------|--------|
|                        | Revenue Bonds and<br>Unamortized Bond<br>Premiums/Discounts |            |                           |                     |                                                          |               |        |
|                        |                                                             |            |                           |                     |                                                          |               |        |
| 2013                   | \$                                                          | 78,264,196 | \$                        | 593                 | \$                                                       | 4,031,678,826 | 0.0194 |
| 2014                   |                                                             | 76,524,022 |                           | 580                 |                                                          | 4,189,729,509 | 0.0183 |
| 2015                   |                                                             | 78,889,288 |                           | 591                 |                                                          | 4,279,485,888 | 0.0184 |
| 2016                   |                                                             | 76,089,554 |                           | 569                 |                                                          | 4,550,102,593 | 0.0167 |
| 2017                   |                                                             | 69,673,800 |                           | 515                 |                                                          | 4,695,265,800 | 0.0148 |
| 2018                   |                                                             | 79,949,948 |                           | 588                 |                                                          | 4,804,787,520 | 0.0166 |
| 2019                   |                                                             | 76,065,096 |                           | 573                 |                                                          | 4,495,807,660 | 0.0169 |
| 2020                   |                                                             | 71,097,244 |                           | 538                 |                                                          | 4,422,451,530 | 0.0161 |
| 2021                   |                                                             | 91,715,127 |                           | 699                 |                                                          | 4,010,721,364 | 0.0229 |
| 2022                   |                                                             | 85,382,293 |                           | 651                 |                                                          | 4,086,645,696 | 0.0209 |

\* Personal income and population data can be found in the Schedule of Demographic and Economic Statistics.

Source: District financial records

**Waterloo Community School District  
Ratio of Net General Bonded  
Debt Outstanding  
Last Ten Fiscal Years  
(Unaudited)**

| <b>Years Ended<br/>June 30,</b> | <b>Governmental<br/>Activities<br/>Revenue Bonds</b> | <b>Percentage of Actual<br/>Assessed Value<br/>of Property</b> |
|---------------------------------|------------------------------------------------------|----------------------------------------------------------------|
| 2013                            | \$ 77,809,539                                        | 1.97%                                                          |
| 2014                            | 76,109,539                                           | 1.91%                                                          |
| 2015                            | 78,514,539                                           | 2.02%                                                          |
| 2016                            | 75,754,539                                           | 1.94%                                                          |
| 2017                            | 69,539,539                                           | 1.75%                                                          |
| 2018                            | 79,842,539                                           | 3.07%                                                          |
| 2019                            | 75,984,539                                           | 2.95%                                                          |
| 2020                            | 71,043,539                                           | 2.38%                                                          |
| 2021                            | 88,498,539                                           | 2.97%                                                          |
| 2022                            | 82,412,539                                           | 3.05%                                                          |

Source: District financial records

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**Waterloo Community School District**  
**Direct and Overlapping Governmental Activities Debt**  
**As of June 30, 2022**  
**(Unaudited)**

| <b>Name of<br/>Governmental Unit</b>  | <b>Total<br/>Gross Debt<br/>Outstanding<br/>(Including<br/>Known<br/>Unamortized<br/>Bond<br/>Premiums/<br/>Discounts)</b> | <b>Percentage<br/>Applicable<br/>to Waterloo<br/>Community<br/>School<br/>District</b> | <b>Overlapping<br/>Debt*</b> | <b>Direct Debt</b>   | <b>Total<br/>Direct and<br/>Overlapping<br/>Debt</b> |
|---------------------------------------|----------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------|------------------------------|----------------------|------------------------------------------------------|
| Black Hawk County                     | \$ 16,690,000                                                                                                              | 49.33%                                                                                 | \$ 8,233,177                 | \$ -                 | \$ 8,233,177                                         |
| City of Cedar Falls                   | 16,242,000                                                                                                                 | 2.54%                                                                                  | 412,547                      | -                    | 412,547                                              |
| City of Evansdale                     | 6,745,000                                                                                                                  | 100.00%                                                                                | 6,745,000                    | -                    | 6,745,000                                            |
| City of Waterloo                      | 118,193,495                                                                                                                | 97.25%                                                                                 | 114,943,174                  | -                    | 114,943,174                                          |
| City of Gilbertville                  | 1,822,000                                                                                                                  | 100.00%                                                                                | 1,822,000                    | -                    | 1,822,000                                            |
| City of Elk Run Heights               | 2,201,075                                                                                                                  | 100.00%                                                                                | 2,201,075                    | -                    | -                                                    |
| Hawkeye Community<br>College          | 6,780,000                                                                                                                  | 27.96%                                                                                 | 1,895,688                    | -                    | 1,895,688                                            |
| Subtotal                              | <u>168,673,570</u>                                                                                                         |                                                                                        | <u>136,252,661</u>           | <u>-</u>             | <u>136,252,661</u>                                   |
| Waterloo Community<br>School District | 85,382,293                                                                                                                 | 100.00%                                                                                | -                            | 82,412,539           | 82,412,539                                           |
| Total                                 |                                                                                                                            |                                                                                        | <u>\$ 136,252,661</u>        | <u>\$ 82,412,539</u> | <u>\$ 218,665,200</u>                                |

Note: Overlapping governments are those that coincide, at least in part, with the geographic boundaries of the District. This schedule estimates the portion of the outstanding debt of those overlapping governments that is borne by the residents and businesses of the District. This process recognizes that, when considering the government's ability to issue and repay long-term debt, the entire debt burden borne by the residents and businesses should be taken into account. However, this does not imply that every taxpayer is a resident and, therefore, responsible for repaying the debt, of each overlapping government.

\* The percentage of overlapping debt applicable is estimated using taxable property values. Applicable percentages were estimated by determining the portion of another governmental unit's taxable value that is within the District's boundaries and dividing it by each unit's total taxable value.

Source: Black Hawk County Auditor's Office and District financial records

**Waterloo Community School District  
Legal Debt Margin Information  
Last Ten Fiscal Years  
(Unaudited)**

|                                                                                      | Fiscal Year             |                         |                         |                         |
|--------------------------------------------------------------------------------------|-------------------------|-------------------------|-------------------------|-------------------------|
|                                                                                      | 2013                    | 2014                    | 2015                    | 2016                    |
| Total Assessed Valuation                                                             | <u>\$ 4,151,533,171</u> | <u>\$ 4,183,159,818</u> | <u>\$ 4,071,191,917</u> | <u>\$ 4,089,863,656</u> |
| Debt limit 5% of total assessed value                                                | \$ 207,576,659          | \$ 209,157,991          | \$ 203,559,596          | \$ 204,493,183          |
| Amount of debt application to debt<br>limit, total general obligation<br>bonded debt | <u>77,809,539</u>       | <u>76,109,539</u>       | <u>78,514,539</u>       | <u>75,754,539</u>       |
| Excess of Debt Limit Over<br>Bonded Debt Outstanding<br>Legal Debit Margin           | <u>\$ 129,767,120</u>   | <u>\$ 133,048,452</u>   | <u>\$ 125,045,057</u>   | <u>\$ 128,738,644</u>   |
| Amount of Debt Applicable<br>to Debt Limit as a Percentage<br>of Debt Limit          | <u>37.48%</u>           | <u>36.39%</u>           | <u>38.57%</u>           | <u>37.05%</u>           |

\* Excludes tax increment financing (TIF) property.

Source: Black Hawk County Auditor's Office and District financial records

| Fiscal Year             |                         |                         |                         |                         |                         |
|-------------------------|-------------------------|-------------------------|-------------------------|-------------------------|-------------------------|
| 2017                    | 2018                    | 2019                    | 2020                    | 2021                    | 2022                    |
| <u>\$ 4,182,838,361</u> | <u>\$ 4,268,208,420</u> | <u>\$ 4,752,948,771</u> | <u>\$ 4,762,395,088</u> | <u>\$ 4,807,929,611</u> | <u>\$ 4,768,622,033</u> |
| \$ 209,141,918          | \$ 213,410,421          | \$ 237,647,439          | \$ 238,119,754          | \$ 240,396,481          | \$ 238,431,102          |
| <u>69,539,539</u>       | <u>79,842,539</u>       | <u>75,984,539</u>       | <u>71,043,539</u>       | <u>88,498,539</u>       | <u>82,412,539</u>       |
| <u>\$ 139,602,379</u>   | <u>\$ 133,567,882</u>   | <u>\$ 161,662,900</u>   | <u>\$ 167,076,215</u>   | <u>\$ 151,897,942</u>   | <u>\$ 156,018,563</u>   |
| <u>33.25%</u>           | <u>37.41%</u>           | <u>31.97%</u>           | <u>29.84%</u>           | <u>36.81%</u>           | <u>34.56%</u>           |

**Waterloo Community School District**  
**Pledged Revenue Coverage**  
**Last Ten Fiscal Years**  
**(Unaudited)**

| Year Ended<br>June 30, | Revenue      | Local Options Sales Tax Revenue Bonds |                              |          |
|------------------------|--------------|---------------------------------------|------------------------------|----------|
|                        |              | Debt Service                          |                              | Coverage |
|                        |              | Principal                             | Interest<br>(Net of Credits) |          |
| 2013                   | \$ 9,303,618 | \$ 1,350,000                          | \$ 2,567,733                 | 2.37     |
| 2014                   | 9,395,943    | 1,700,000                             | 2,672,117                    | 2.15     |
| 2015                   | 10,422,634   | 2,655,000                             | 2,657,939                    | 1.96     |
| 2016                   | 10,622,853   | 2,760,000                             | 2,567,822                    | 1.99     |
| 2017                   | 10,477,446   | 4,930,000                             | 2,572,701                    | 1.40     |
| 2018                   | 10,092,844   | 6,364,000                             | 1,375,813                    | 1.30     |
| 2019                   | 11,153,675   | 3,858,000                             | 1,693,742                    | 2.01     |
| 2020                   | 11,170,519   | 4,941,000                             | 1,605,513                    | 1.71     |
| 2021                   | 10,845,298   | 5,145,000                             | 1,525,812                    | 1.63     |
| 2022                   | 12,830,461   | 7,459,000                             | 1,999,270                    | 1.36     |

Source: District financial records

**Waterloo Community School District  
Demographic and Economic Statistics  
Last Ten Fiscal Years  
(Unaudited)**

| Fiscal<br>Year | Population* | Personal<br>Income | Per Capita<br>Personal<br>Income | Unemployment<br>Rate |
|----------------|-------------|--------------------|----------------------------------|----------------------|
| 2013           | 132,039     | \$ 4,031,678,826   | \$ 30,534                        | 4.9%                 |
| 2014           | 132,039     | 4,189,729,509      | 31,731                           | 4.5%                 |
| 2015           | 133,467     | 4,279,485,888      | 32,064                           | 4.6%                 |
| 2016           | 133,799     | 4,550,102,593      | 34,007                           | 5.0%                 |
| 2017           | 135,400     | 4,695,265,800      | 34,677                           | 4.2%                 |
| 2018           | 135,882     | 4,804,787,520      | 35,360                           | 2.9%                 |
| 2019           | 132,745     | 4,495,807,660      | 33,868                           | 2.7%                 |
| 2020           | 132,195     | 4,422,451,530      | 33,454                           | 8.7%                 |
| 2021           | 131,228     | 4,010,721,364      | 30,563                           | 5.0%                 |
| 2022           | 130,368     | 4,086,645,696      | 31,347                           | 2.7%                 |

\* Population for Black Hawk County

Source: [Census.gov/quickfacts/blackhawkiowa](https://www.census.gov/quickfacts/blackhawkiowa)  
and U.S. Bureau of Labor Statistics ([bls.gov/eag/ia/waterloo\\_msa.htm#](https://www.bls.gov/eag/ia/waterloo_msa.htm#))

**Waterloo Community School District  
Principal Employers  
Current Year and Nine Years Ago  
(Unaudited)**

| Name                               | Product/Service         | 2022          |      |                                      | 2013          |      |                                      |
|------------------------------------|-------------------------|---------------|------|--------------------------------------|---------------|------|--------------------------------------|
|                                    |                         | Employees     | Rank | Percentage of<br>Total<br>Employment | Employees     | Rank | Percentage of<br>Total<br>Employment |
| Deere & Company                    | Manufacturing           | 5,000         | 1    | 22.07%                               | 6,000         | 1    | 28.70%                               |
| Tyson Fresh Meats                  | Food processing         | 3,000         | 3    | 13.24%                               | 2,000         | 3    | 9.57%                                |
| MercyOne fka Wheaton Franciscan    | Health care             | 2,597         | 4    | 11.46%                               | 3,000         | 2    | 14.35%                               |
| University of Northern Iowa        | Higher education        | 1,650         | 7    | 7.28%                                | 1,801         | 5    | 8.62%                                |
| Waterloo Community School District | Education               | 1,900         | 5    | 8.39%                                | 1,600         | 7    | 7.65%                                |
| UnityPoint Health                  | Health care             | 3,162         | 2    | 13.96%                               | -             | -    | -                                    |
| Hy-Vee Food Stores                 | Grocery                 | 1,256         | 9    | 5.54%                                | -             | -    | -                                    |
| Western Home Communities           | Health care/Housing     | 891           | 10   | 3.93%                                | -             | -    | -                                    |
| VGM Group                          | Business services       | 1,400         | 8    | 6.18%                                | -             | -    | -                                    |
| Target Distribution                | Distribution            | 1,800         | 6    | 5.41%                                | 1,700         | 6    | 8.13%                                |
| Allen Health Systems               | Health care             | -             | -    | 0.00%                                | 1,953         | 4    | 9.34%                                |
| Omega Cabinet Manufacturing        | Manufacturing           | -             | -    | 0.00%                                | 1,000         | 9    | 4.78%                                |
| CME Companies                      | Mortgage service center | -             | -    | 0.00%                                | 800           | 10   | 3.83%                                |
| Area Education Agency 267          | Education               | -             | -    | 0.00%                                | 1,050         | 8    | 5.02%                                |
| Total                              |                         | <u>22,656</u> |      |                                      | <u>20,904</u> |      |                                      |

Source: Cedar Valley Community Fact Sheet, 2022/2023 Edition; data collected October, 2022

**Waterloo Community School District**  
**Full-Time Equivalent District Employees**  
**Last Ten Fiscal Years**  
**(Unaudited)**

|                             | Fiscal Years |         |         |         |         |         |         |         |         |         |
|-----------------------------|--------------|---------|---------|---------|---------|---------|---------|---------|---------|---------|
|                             | 2013         | 2014    | 2015    | 2016    | 2017    | 2018    | 2019    | 2020    | 2021    | 2022    |
| <b>Administration</b>       |              |         |         |         |         |         |         |         |         |         |
| Superintendent              | 1.0          | 1.0     | 1.0     | 1.0     | 1.0     | 1.0     | 1.0     | 1.0     | 1.0     | 1.0     |
| Assistant superintendent    | 1.8          | 2.0     | 2.0     | 2.0     | 2.0     | 2.0     | 1.0     | 1.0     | 1.0     | 1.0     |
| Principals                  | 18.0         | 18.0    | 18.0    | 18.0    | 18.0    | 18.0    | 18.0    | 18.0    | 18.0    | 18.0    |
| Assistant principals        | 12.0         | 19.0    | 19.0    | 19.0    | 18.0    | 18.0    | 17.0    | 17.0    | 17.9    | 19.0    |
| Other administrators        | 18.9         | 14.0    | 12.0    | 13.9    | 13.9    | 13.2    | 13.5    | 12.0    | 16.0    | 13.0    |
| Total Administration        | 51.7         | 54.0    | 52.0    | 53.9    | 52.9    | 52.2    | 50.5    | 49.0    | 53.9    | 52.0    |
| <b>Instruction</b>          |              |         |         |         |         |         |         |         |         |         |
| Teachers                    | 867.7        | 850.9   | 867.6   | 833.0   | 837.0   | 830.0   | 840.1   | 836.0   | 840.0   | 819.4   |
| Counselors                  | 23.5         | 28.5    | 30.8    | 31.0    | 30.0    | 30.0    | 30.0    | 30.0    | 30.0    | 32.3    |
| Librarians                  | 6.0          | 11.0    | 9.0     | 10.0    | 12.0    | 12.0    | 13.0    | 13.0    | 14.0    | 15.0    |
| Teacher leaders             | -            | 10      | 12      | 25      | 20      | 20      | 20      | 20      | 25      | 43      |
| Total Instruction           | 897.2        | 900.4   | 919.4   | 899.0   | 899.0   | 892.0   | 903.1   | 899.0   | 909.0   | 910.0   |
| <b>Other</b>                |              |         |         |         |         |         |         |         |         |         |
| Clerical-Teacher Associates | 409.3        | 410.7   | 412.5   | 384.6   | 344.7   | 356.0   | 400.0   | 443.0   | 406.6   | 412.3   |
| Crafts/Trades               | 27.0         | 26.0    | 26.0    | 25.0    | 25.0    | 24.0    | 25.0    | 24.0    | 25.0    | 26.0    |
| Other support               | 221.2        | 233.3   | 248.5   | 267.8   | 272.5   | 287.0   | 281.8   | 291.8   | 327.9   | 287.4   |
| Total Support               | 657.5        | 670.0   | 687.0   | 677.4   | 642.2   | 667.0   | 706.8   | 758.8   | 759.5   | 725.7   |
| Total*                      | 1,606.4      | 1,624.4 | 1,658.4 | 1,630.3 | 1,594.1 | 1,611.2 | 1,660.4 | 1,706.8 | 1,722.4 | 1,687.7 |

\* FTE (full-time equivalent)

Note: District FTE by function/program not available.

Source: District records

**Waterloo Community School District**  
**Full-Time Equivalent and Salary Information for District Instructional Staff**  
**As of June 2022**  
**(Unaudited)**

| Degree                      | BA    |              | BA+15       |             | BA+30 |        |
|-----------------------------|-------|--------------|-------------|-------------|-------|--------|
|                             | FTE   | Salary       | FTE         | Salary      | FTE   | Salary |
| Step                        | 1     | - \$ 36,800  | - \$ 38,640 | - \$ 40,480 |       |        |
|                             | 2     | - 38,272     | - 40,112    | - 41,952    |       |        |
|                             | 3     | - 39,744     | - 41,584    | - 43,424    |       |        |
|                             | 4     | - 41,216     | - 43,056    | - 44,896    |       |        |
|                             | 5     | - 42,688     | - 44,528    | - 46,736    |       |        |
|                             | 6     | 57.0 44,160  | - 46,368    | 2.0 48,576  |       |        |
|                             | 7     | 106.0 46,000 | 13.0 48,208 | 6.0 50,416  |       |        |
|                             | 8     | 19.0 47,840  | 3.0 50,048  | 4.0 52,256  |       |        |
|                             | 9     | 12.0 49,680  | 4.0 51,888  | 2.0 54,096  |       |        |
|                             | 10    | 18.0 51,520  | 2.0 53,728  | 1.0 55,936  |       |        |
|                             | 11    | 23.0 53,360  | 4.0 55,568  | 2.0 57,776  |       |        |
|                             | 12    | 7.0 54,464   | 3.0 57,408  | 4.0 59,616  |       |        |
|                             | 13    | 8.0 55,568   | 7.0 58,880  | 1.0 61,456  |       |        |
|                             | 14    | 21.0 55,936  | 5.0 59,248  | 1.0 62,192  |       |        |
|                             | 15    | 7.0 56,672   | 3.0 59,984  | 3.0 62,928  |       |        |
|                             | 16    | 3.0 57,040   | 2.0 60,352  | 2.0 63,296  |       |        |
|                             | 17    | 5.0 57,408   | 1.0 60,720  | 2.0 64,032  |       |        |
|                             | 18    | 7.0 57,776   | 6.0 61,088  | 2.0 64,768  |       |        |
|                             | 19    | 7.0 58,144   | 2.0 61,456  | - 65,136    |       |        |
|                             | 20    | 4.0 58,512   | 4.0 61,824  | 2.0 65,872  |       |        |
|                             | 21    | 11.0 58,880  | 24.0 62,192 | 39.0 66,608 |       |        |
| Total                       | 315.0 | 83.0         | 73.0        |             |       |        |
| Total Full-Time Equivalents |       |              |             |             |       |        |

| Degree         |               | BA           | BA+15        | BA+30        |
|----------------|---------------|--------------|--------------|--------------|
|                |               | FTE x Salary | FTE x Salary | FTE x Salary |
| Step           | 1             | \$ -         | \$ -         | \$ -         |
|                | 2             | -            | -            | -            |
|                | 3             | -            | -            | -            |
|                | 4             | -            | -            | -            |
|                | 5             | -            | -            | -            |
|                | 6             | 2,517,120    | -            | 97,152       |
|                | 7             | 4,876,000    | 626,704      | 302,496      |
|                | 8             | 908,960      | 150,144      | 209,024      |
|                | 9             | 596,160      | 207,552      | 108,192      |
|                | 10            | 927,360      | 107,456      | 55,936       |
|                | 11            | 1,227,280    | 222,272      | 115,552      |
|                | 12            | 381,248      | 172,224      | 238,464      |
|                | 13            | 444,544      | 412,160      | 61,456       |
|                | 14            | 1,174,656    | 296,240      | 62,192       |
|                | 15            | 396,704      | 179,952      | 188,784      |
|                | 16            | 171,120      | 120,704      | 126,592      |
|                | 17            | 287,040      | 60,720       | 128,064      |
|                | 18            | 404,432      | 366,528      | 129,536      |
|                | 19            | 407,008      | 122,912      | -            |
|                | 20            | 234,048      | 247,296      | 131,744      |
|                | 21            | 647,680      | 1,492,608    | 2,597,712    |
| Total          | \$ 15,601,360 | \$ 4,785,472 | \$ 4,552,896 |              |
| Average Salary |               |              | \$ 60,586    |              |

Source: District records

| MA           |           | MA+15       |           | MA+30       |           | MA+45       |              |
|--------------|-----------|-------------|-----------|-------------|-----------|-------------|--------------|
| FTE          | Salary    | FTE         | Salary    | FTE         | Salary    | FTE         | Salary       |
| -            | \$ 42,320 | -           | \$ 44,160 | -           | \$ 46,000 | -           | \$ 47,840    |
| -            | 43,792    | -           | 45,632    | -           | 47,840    | -           | 49,680       |
| -            | 45,264    | -           | 47,472    | -           | 49,680    | -           | 51,520       |
| -            | 47,104    | -           | 49,312    | -           | 51,520    | -           | 53,360       |
| -            | 48,944    | -           | 51,152    | -           | 53,360    | -           | 55,200       |
| 2.0          | 50,784    | 1.0         | 52,992    | -           | 55,200    | 1.0         | 57,040       |
| 13.0         | 52,624    | 6.0         | 54,832    | -           | 57,040    | -           | 58,880       |
| 9.0          | 54,464    | 1.0         | 56,672    | -           | 58,880    | 2.0         | 60,720       |
| 13.0         | 56,304    | 5.0         | 58,512    | -           | 60,720    | -           | 62,560       |
| 10.0         | 58,144    | 2.0         | 60,352    | 1.0         | 62,560    | 3.0         | 64,400       |
| 10.0         | 59,984    | 2.0         | 62,192    | 2.0         | 64,400    | 2.0         | 66,240       |
| 22.0         | 61,824    | 5.0         | 64,032    | 2.0         | 66,240    | 2.0         | 68,080       |
| 17.0         | 63,664    | 3.0         | 65,872    | 1.0         | 68,080    | 4.0         | 69,920       |
| 19.0         | 64,768    | 1.0         | 66,976    | 5.0         | 69,184    | 5.0         | 71,760       |
| 9.0          | 65,504    | 2.0         | 68,080    | 1.0         | 70,656    | 5.0         | 73,600       |
| 8.0          | 66,240    | 3.0         | 69,184    | 3.0         | 71,760    | 2.0         | 74,704       |
| 10.0         | 66,976    | 5.0         | 70,288    | 3.0         | 73,232    | 4.0         | 75,808       |
| 10.0         | 67,712    | 1.0         | 71,392    | 4.0         | 74,336    | 3.0         | 77,280       |
| 5.0          | 68,448    | 2.0         | 72,128    | -           | 75,440    | 5.0         | 78,384       |
| 10.0         | 69,184    | 6.0         | 73,232    | 3.0         | 76,544    | 8.0         | 79,488       |
| 43.0         | 69,920    | 38.0        | 74,336    | 29.0        | 77,648    | 46.0        | 80,592       |
| <u>210.0</u> |           | <u>83.0</u> |           | <u>54.0</u> |           | <u>92.0</u> |              |
|              |           |             |           |             |           |             | <u>910.0</u> |

| MA                   |                  | MA+15               |                  | MA+30               |                  | MA+45                |                  |
|----------------------|------------------|---------------------|------------------|---------------------|------------------|----------------------|------------------|
| FTE x Salary         |                  | FTE x Salary        |                  | FTE x Salary        |                  | FTE x Salary         |                  |
| \$                   | -                | \$                  | -                | \$                  | -                | \$                   | -                |
|                      | -                |                     | -                |                     | -                |                      | -                |
|                      | -                |                     | -                |                     | -                |                      | -                |
|                      | -                |                     | -                |                     | -                |                      | -                |
|                      | -                |                     | -                |                     | -                |                      | -                |
|                      | -                |                     | -                |                     | -                |                      | -                |
|                      | 101,568          |                     | 52,992           |                     | -                |                      | 57,040           |
|                      | 684,112          |                     | 328,992          |                     | -                |                      | -                |
|                      | 490,176          |                     | 56,672           |                     | -                |                      | 121,440          |
|                      | 731,952          |                     | 292,560          |                     | -                |                      | -                |
|                      | 581,440          |                     | 120,704          |                     | 62,560           |                      | 193,200          |
|                      | 599,840          |                     | 124,384          |                     | 128,800          |                      | 132,480          |
|                      | 1,360,128        |                     | 320,160          |                     | 132,480          |                      | 136,160          |
|                      | 1,082,288        |                     | 197,616          |                     | 68,080           |                      | 279,680          |
|                      | 1,230,592        |                     | 66,976           |                     | 345,920          |                      | 358,800          |
|                      | 589,536          |                     | 136,160          |                     | 70,656           |                      | 368,000          |
|                      | 529,920          |                     | 207,552          |                     | 215,280          |                      | 149,408          |
|                      | 669,760          |                     | 351,440          |                     | 219,696          |                      | 303,232          |
|                      | 677,120          |                     | 71,392           |                     | 297,344          |                      | 231,840          |
|                      | 342,240          |                     | 144,256          |                     | -                |                      | 391,920          |
|                      | 691,840          |                     | 439,392          |                     | 229,632          |                      | 635,904          |
|                      | <u>3,006,560</u> |                     | <u>2,824,768</u> |                     | <u>2,251,792</u> |                      | <u>3,707,232</u> |
| <u>\$ 13,369,072</u> |                  | <u>\$ 5,736,016</u> |                  | <u>\$ 4,022,240</u> |                  | <u>\$ 7,066,336</u>  |                  |
|                      |                  | Total Salaries      |                  |                     |                  | <u>\$ 55,133,392</u> |                  |

**Waterloo Community School District  
Operating Statistics  
Last Ten Fiscal Years  
(Unaudited)**

| Year | Operating<br>Expenditures* | Daily<br>Average<br>Attendance | Resident<br>Students | Operating<br>Cost Per<br>Resident<br>Student | Pupil/Teacher Ratio |        |                |
|------|----------------------------|--------------------------------|----------------------|----------------------------------------------|---------------------|--------|----------------|
|      |                            |                                |                      |                                              | Elemen-<br>tary     | Middle | High<br>School |
| 2013 | \$ 123,352,577             | 10,019                         | 10,802               | \$ 11,419                                    | 11.30               | 10.40  | 11.70          |
| 2014 | 121,279,224                | 10,320                         | 10,991               | 11,034                                       | 11.80               | 10.70  | 11.60          |
| 2015 | 124,662,148                | 10,359                         | 11,134               | 11,197                                       | 12.20               | 10.50  | 11.90          |
| 2016 | 124,746,081                | 10,250                         | 10,936               | 11,407                                       | 11.80               | 10.80  | 12.00          |
| 2017 | 122,046,437                | 10,135                         | 10,835               | 11,264                                       | 12.10               | 11.20  | 12.10          |
| 2018 | 128,146,481                | 10,149                         | 10,879               | 11,779                                       | 12.10               | 11.80  | 12.40          |
| 2019 | 135,476,165                | 10,101                         | 10,777               | 12,571                                       | 12.90               | 12.60  | 13.90          |
| 2020 | 138,916,971                | ** -                           | 10,865               | 12,838                                       | 10.64               | 12.41  | 13.14          |
| 2021 | 142,306,249                | ** -                           | 10,633               | 13,383                                       | 11.34               | 12.58  | 15.08          |
| 2022 | 152,655,437                | ** -                           | 10,681               | 14,357                                       | 11.34               | 12.58  | 15.08          |

\* Includes only General Fund expenditures, including AEA flowthrough

\*\* Attendance - COVID Affected

Source: District records

Note: This is the most recent information available for table presentation.

**Waterloo Community School District**  
**School Building Information**  
**As of June 30, 2022**  
**(Unaudited)**

| Name of School                                    | Dates Constructed                                                            | Grades Served With Special Education | Building and Certified Enrollment Third Friday in September, 2021 | Number of Classrooms |
|---------------------------------------------------|------------------------------------------------------------------------------|--------------------------------------|-------------------------------------------------------------------|----------------------|
| <b>Preschool/Elementary Schools</b>               |                                                                              |                                      |                                                                   |                      |
| Elk Run/Freeburg                                  | 1952, 1954, 1956, 1962                                                       | Pre-K                                | 71                                                                | 4                    |
| Becker                                            | 2011, 2014                                                                   | K-5                                  | 439                                                               | 27                   |
| Cunningham                                        | 2002                                                                         | K-5                                  | 375                                                               | 29                   |
| Highland                                          | 2010                                                                         | K-5                                  | 472                                                               | 32                   |
| Irving                                            | 2003                                                                         | K-5                                  | 402                                                               | 30                   |
| Kingsley                                          | 1919, 1952, 1958, 2006                                                       | K-5                                  | 347                                                               | 24                   |
| Kittrell                                          | 1950, 1955, 1960, 1962, 2009                                                 | K-5                                  | 565                                                               | 33                   |
| Lincoln                                           | 2004                                                                         | K-5                                  | 430                                                               | 29                   |
| Lou Henry                                         | 2005                                                                         | K-5                                  | 438                                                               | 30                   |
| Lowell                                            | 1931, 2005, 2007, 2009, 2022                                                 | K-5                                  | 286                                                               | 32                   |
| Orange                                            | 1915, 1951, 1954, 2014, 2015                                                 | K-5                                  | 499                                                               | 31                   |
| Poyner                                            | 2007                                                                         | K-5                                  | 369                                                               | 49                   |
|                                                   |                                                                              |                                      | <u>4,693</u>                                                      | <u>350</u>           |
| <b>Middle Schools</b>                             |                                                                              |                                      |                                                                   |                      |
| Bunger                                            | 1964, 2004, 2014                                                             | 6-8                                  | 499                                                               | 45                   |
| Carver                                            | 2009                                                                         | 6-8                                  | 478                                                               | 36                   |
| Central                                           | 1972, 1980, 1991, 1994, 2006, 2008, 2017                                     | 6-8                                  | 511                                                               | 67                   |
| Hoover                                            | 1967, 2004, 2008, 2014, 2015                                                 | 6-8                                  | 894                                                               | 54                   |
|                                                   |                                                                              |                                      | <u>2,382</u>                                                      | <u>202</u>           |
| <b>High Schools</b>                               |                                                                              |                                      |                                                                   |                      |
| East                                              | 1916, 1939, 1954, 1955, 1956, 1962, 1975, 1986, 1988, 2002, 2004, 2009, 2013 | 9-12                                 | 1,052                                                             | 74                   |
| West                                              | 1955, 1962, 1980, 2002, 2009                                                 | 9-12                                 | 1,765                                                             | 82                   |
| <b>Alternative High School and Other Programs</b> |                                                                              |                                      |                                                                   |                      |
| Expo                                              | 1952, 1961, 2000                                                             | 6-12                                 | 366                                                               | 47                   |
|                                                   |                                                                              |                                      | <u>3,183</u>                                                      | <u>203</u>           |
| Subtotal                                          |                                                                              |                                      | 10,258                                                            | 755                  |
| Open enrollment/tuition in                        |                                                                              |                                      | (50)                                                              | -                    |
| Resident students attending outside the district  |                                                                              |                                      | <u>473</u>                                                        | <u>-</u>             |
| Totals                                            |                                                                              |                                      | <u>10,681</u>                                                     | <u>755</u>           |
| <b>Other Facilities - Nonstudent Occupancy</b>    |                                                                              |                                      |                                                                   |                      |
| Educational Service Center                        | 1964                                                                         |                                      |                                                                   |                      |
| Maintenance, Transportation                       | 1964, 1970, 1979                                                             |                                      |                                                                   |                      |
| Stadium                                           | 1994                                                                         |                                      |                                                                   |                      |
| Bus Garage                                        | 2015                                                                         |                                      |                                                                   |                      |
| Information Technology                            | 2016                                                                         |                                      |                                                                   |                      |
| <b>Leased or Nonoccupied Facilities</b>           |                                                                              |                                      |                                                                   |                      |
| Castle Hill                                       | 1955, 1957, 1958                                                             |                                      |                                                                   |                      |

Source: District records

**Waterloo Community School District**  
**Building and Certified Resident Student Enrollment by Grade**  
**Last Ten Fiscal Years**  
**(Unaudited)**

| Grade               | Fiscal Year |        |        |        |        |        |        |        |        |        |
|---------------------|-------------|--------|--------|--------|--------|--------|--------|--------|--------|--------|
|                     | 2022        | 2021   | 2020   | 2019   | 2018   | 2017   | 2016   | 2015   | 2014   | 2013   |
| Pre-K               | 72          | 71     | 105    | 115    | 113    | 136    | 140    | 145    | 89     | 120    |
| Kindergarten        | 832         | 747    | 846    | 799    | 854    | 844    | 872    | 925    | 962    | 949    |
| 1                   | 732         | 817    | 802    | 841    | 837    | 858    | 871    | 899    | 948    | 896    |
| 2                   | 772         | 793    | 821    | 818    | 847    | 869    | 871    | 930    | 858    | 837    |
| 3                   | 756         | 787    | 803    | 841    | 851    | 842    | 900    | 852    | 821    | 830    |
| 4                   | 760         | 789    | 809    | 821    | 837    | 875    | 825    | 807    | 805    | 770    |
| 5                   | 769         | 801    | 821    | 827    | 853    | 797    | 774    | 806    | 765    | 732    |
| 6                   | 778         | 785    | 821    | 802    | 799    | 752    | 773    | 773    | 718    | 715    |
| 7                   | 793         | 799    | 796    | 783    | 760    | 769    | 735    | 714    | 705    | 739    |
| 8                   | 811         | 796    | 786    | 777    | 769    | 726    | 717    | 713    | 751    | 712    |
| 9                   | 1,195       | 985    | 975    | 947    | 958    | 855    | 878    | 888    | 892    | 902    |
| 10                  | 781         | 853    | 799    | 828    | 781    | 765    | 810    | 804    | 816    | 852    |
| 11                  | 714         | 744    | 756    | 737    | 701    | 756    | 776    | 763    | 768    | 697    |
| 12                  | 493         | 570    | 608    | 543    | 606    | 649    | 643    | 736    | 674    | 607    |
| Special education   | *           | *      | *      | *      | *      | *      | *      | *      | *      | *      |
| Subtotal            | 10,258      | 10,337 | 10,548 | 10,479 | 10,566 | 10,493 | 10,585 | 10,755 | 10,572 | 10,358 |
| Open enrollment in  | (50)        | (40)   | (32)   | (41)   | (40)   | (42)   | (46)   | (49)   | (58)   | (52)   |
| Open enrollment out | 473         | 336    | 349    | 339    | 353    | 384    | 397    | 428    | 477    | 496    |
| Totals              | 10,681      | 10,633 | 10,865 | 10,777 | 10,879 | 10,835 | 10,936 | 11,134 | 10,991 | 10,802 |

\* The District has adopted an inclusionary philosophy regarding special education students so they are included in the appropriate grade.

Source: District records

Waterloo Community School District includes the cities of Waterloo, Evansdale, Elk Run Heights, Gilbertville and Raymond, part of the City of Cedar Falls and certain unincorporated area in Black Hawk, County, including Mt. Vernon, Bennington, East Waterloo, Poyner, Cedar and Orange Townships, encompassing a total of 150 square miles. Black Hawk County is located in northeast Iowa and was named for the famous Native American leader Black Hawk (1767-1838), the principal figure in the Black Hawk War of 1832. The first permanent residents of Black Hawk County were the Sturgis and Adams families who settled here in 1845. In 1850, the population of Black Hawk County was 135; Cedar Falls was the largest town. Population increased in Waterloo and in 1855, the county seat was moved from Cedar Falls to Waterloo. By 1868, 23,000 acres of land were under cultivation in Black Hawk County. In 1990, the county was the fourth largest in the state, with a population of 123,798.

The District operated 19 schools plus early childhood education buildings, an administration building, a maintenance building, warehouse and a bus garage. The following data provides the number of buildings per grade level:

|                     | <u>21-22</u> | <u>20-21</u> | <u>19-20</u> | <u>18-19</u> | <u>17-18</u> | <u>16-17</u> | <u>15-16</u> | <u>14-15</u> | <u>13-14</u> | <u>12-13</u> |
|---------------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|
| Elementary - K-5    | 11           | 11           | 11           | 11           | 11           | 11           | 11           | 11           | 11           | 11           |
| Middle School - 6-8 | 4            | 4            | 4            | 4            | 4            | 4            | 4            | 4            | 4            | 4            |
| High School - 9-12  | 3            | 3            | 3            | 3            | 3            | 3            | 3            | 3            | 3            | 3            |

The District contracts with Durham School Services to provide student transportation. Approximately 4,585 students are transported daily. On July 1, 2007, school meals were brought in-house serving approximately 1,510,000 meals for the year. Nursing services are provided by Unity Point Health. Driver education is contracted with Street Smarts and Hawkeye Community College.

The Board of Education meets on the second and fourth Mondays of each month during the school year and usually once a month in June and July.

The U.S. Census Bureau reports the population characteristics of Black Hawk County as follows:

**Waterloo Community School District  
Population Characteristics**

|                                                                                                                                                             | 2000               |         | 2010     |         | 2020     |         |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------|---------|----------|---------|----------|---------|
|                                                                                                                                                             | Number             | Percent | Number   | Percent | Number   | Percent |
| Total Population                                                                                                                                            | 128,012            | 100.00  | 131,090  | 100.00  | 130,368  | 100.00  |
| Persons by Gender                                                                                                                                           |                    |         |          |         |          |         |
| Male                                                                                                                                                        | 61,458             | 48.01   | 63,710   | 48.60   | 64,402   | 48.60   |
| Female                                                                                                                                                      | 66,554             | 51.99   | 67,380   | 51.40   | 65,966   | 51.40   |
| Persons by Race                                                                                                                                             |                    |         |          |         |          |         |
| White                                                                                                                                                       | 113,194            | 88.43   | 112,213  | 85.60   | 106,000  | 85.60   |
| Black                                                                                                                                                       | 10,179             | 7.95    | 11,667   | 8.90    | 12,500   | 8.90    |
| Other                                                                                                                                                       | 4,639              | 3.62    | 7,210    | 5.50    | 11,868   | 5.50    |
| Persons by Age                                                                                                                                              |                    |         |          |         |          |         |
| Under 10                                                                                                                                                    | 15,941             | 12.45   | 16,281   | 12.43   | 15,973   | 12.43   |
| 10-19                                                                                                                                                       | 19,401             | 15.16   | 17,689   | 13.49   | 17,795   | 13.49   |
| 20-29                                                                                                                                                       | 22,140             | 17.29   | 24,354   | 18.58   | 21,985   | 18.58   |
| 30-39                                                                                                                                                       | 15,527             | 12.13   | 14,919   | 11.38   | 16,622   | 11.38   |
| 40-49                                                                                                                                                       | 18,421             | 14.39   | 15,065   | 11.49   | 13,754   | 11.49   |
| 50-59                                                                                                                                                       | 13,730             | 10.73   | 17,579   | 13.41   | 13,496   | 13.41   |
| 60-69                                                                                                                                                       | 9,241              | 7.22    | 12,022   | 9.17    | 15,065   | 9.17    |
| 70-79                                                                                                                                                       | 8,242              | 6.44    | 7,264    | 5.54    | 10,610   | 5.54    |
| 80 and over                                                                                                                                                 | 5,369              | 4.19    | 5,917    | 4.51    | 5,068    | 4.51    |
| Median Age of Population                                                                                                                                    | 34.4               |         | 34.4     |         | 35.4     |         |
| Total Households                                                                                                                                            | 49,683             |         | 51,366   |         | 53,321   |         |
| Persons Per Household                                                                                                                                       | 2.45               |         | 2.36     |         | 2.38     |         |
| Median Household Effective<br>Buying Income                                                                                                                 | \$33,088           |         | \$42,753 |         | \$54,774 |         |
| Work Force                                                                                                                                                  |                    |         |          |         |          |         |
| Black Hawk County, labor force from Bureau of Labor Statistics, June, 2022; datausa.io/profile/geo/black-hawk-county-ia#economy;<br>and censusreporter.org. |                    |         |          |         |          |         |
|                                                                                                                                                             | Total Labor Force  |         | 68,554   |         |          |         |
|                                                                                                                                                             | Total Unemployment |         | 1,851    |         |          |         |
|                                                                                                                                                             | Unemployment Rate  |         | 2.7%     |         |          |         |

## Statistical Review

Location – accessible by U.S. Highways 20, 63 and 218, as well as State Highways 21, 57, 58 and 281. Interstate 380 links the area with Interstate 80, a major east-west corridor. The community is located on the “Avenue of the Saints,” an interstate that connects St. Paul, Minnesota, and St. Louis, Missouri.

Distance in highway miles from the Cedar Valley area:

|                       |       |                         |       |
|-----------------------|-------|-------------------------|-------|
| Atlanta, Georgia      | 960   | Denver, Colorado        | 790   |
| Boston, Massachusetts | 1,300 | Kansas City, Missouri   | 295   |
| Chicago, Illinois     | 265   | Los Angeles, California | 1,855 |
| Cleveland, Ohio       | 650   | Minneapolis, Minnesota  | 180   |
| Dallas, Texas         | 845   | St. Louis, Missouri     | 345   |

|                       | <u>Spring</u> | <u>Summer</u> | <u>Fall</u> | <u>Winter</u> |
|-----------------------|---------------|---------------|-------------|---------------|
| Average Temperature   | 48.4          | 71.6          | 49.9        | 21.4          |
| Average Rain (inches) | 13.1          | 11.7          | 5.7         | 3.9           |
| Average Snow (inches) | 1.5           | 0             | 9           | 18.3          |

### Transportation

|              |                                                                                          |
|--------------|------------------------------------------------------------------------------------------|
| Rail Service | Canadian National/Illinois Central and Pacific<br>Iowa Northern Railway<br>Union Pacific |
|--------------|------------------------------------------------------------------------------------------|

|         |                           |
|---------|---------------------------|
| Airport | Waterloo Regional Airport |
|---------|---------------------------|

|                     |                   |
|---------------------|-------------------|
| Commercial Carriers | American Airlines |
|---------------------|-------------------|

### Business Services

|                   |                          |       |
|-------------------|--------------------------|-------|
| Hotels and Motels | Rooms                    | 2,163 |
|                   | Largest Banquet Capacity | 2,000 |

|       |                              |                   |
|-------|------------------------------|-------------------|
| Media | Newspapers                   | 1 daily, 3 weekly |
|       | Radio Stations               | 13                |
|       | Television Channels Received | 7                 |
|       | Cable Television Providers   | 2                 |

|                    |                                  |                      |
|--------------------|----------------------------------|----------------------|
| Telecommunications | Local Operating Companies        | Mediacom/CenturyLink |
|                    | Points of Presence (local)       | MCI and AT&T         |
|                    | Local Internet Service Providers | 31                   |

## Statistical Review (Continued)

|                                    |                                                     |           |           |                     |                |                       |       |
|------------------------------------|-----------------------------------------------------|-----------|-----------|---------------------|----------------|-----------------------|-------|
| Recreation and Sporting Activities | Public Parks                                        | 40        |           |                     |                |                       |       |
|                                    | Dog Parks                                           | 3         |           |                     |                |                       |       |
|                                    | Municipal Golf Courses                              | 10        |           |                     |                |                       |       |
|                                    | Disc Golf Courses                                   | 5         |           |                     |                |                       |       |
|                                    | Public Swimming Pools/Aquatic Centers               | 7         |           |                     |                |                       |       |
|                                    | Public Tennis Courts                                | 30        |           |                     |                |                       |       |
|                                    | Softball/Baseball Diamonds                          | 23        |           |                     |                |                       |       |
|                                    | Ice Skating/Hockey Arenas                           | 1         |           |                     |                |                       |       |
|                                    | Campgrounds: Sites                                  | 12:560    |           |                     |                |                       |       |
|                                    | Public Boat Launches                                | 15        |           |                     |                |                       |       |
|                                    | Soccer Complex: Fields (Outdoor)                    | 5         |           |                     |                |                       |       |
|                                    | Soccer Fields (Indoor)                              | 1         |           |                     |                |                       |       |
|                                    | Inclusive Park                                      | 1         |           |                     |                |                       |       |
|                                    | Theme Park (Outdoor)                                | 1         |           |                     |                |                       |       |
|                                    | Water Parks (Outdoor)                               | 2         |           |                     |                |                       |       |
| Arts and Culture                   | Museums                                             | 15        |           |                     |                |                       |       |
|                                    | Public Libraries                                    | 7         |           |                     |                |                       |       |
|                                    | Visual Arts and Galleries                           | 2         |           |                     |                |                       |       |
|                                    | Performing Arts Venues                              | 8         |           |                     |                |                       |       |
|                                    | Youth Museums                                       | 2         |           |                     |                |                       |       |
|                                    | Symphony Orchestra                                  | 2         |           |                     |                |                       |       |
| Household Income                   | Real Median Household Income - Waterloo/Cedar Falls | \$ 54,774 |           |                     |                |                       |       |
| Cost of Living Comparisons         |                                                     |           |           |                     |                | Miscel-<br>laneous    |       |
|                                    | Grocery                                             | Housing   | Utilities | Trans-<br>portation | Health<br>Care | Goods and<br>Services |       |
|                                    | Chicago, IL                                         | 97.2      | 99.1      | 92.8                | 138.5          | 88                    | 107.3 |
|                                    | Madison, WI                                         | 97.9      | 111.1     | 107.5               | 85.8           | 92.9                  | 104.6 |
|                                    | Minneapolis, MN                                     | 101.2     | 117.1     | 99.7                | 108.5          | 75.8                  | 108.2 |
|                                    | Waterloo/Cedar Falls, IA                            | 92.9      | 40.7      | 90.6                | 64.3           | 104.8                 | 95.8  |
|                                    |                                                     |           |           |                     |                |                       |       |

Sources: worldpopulationreview.com

## Community and Economic Development

The Iowa Northland Regional Council of Governments was formed in 1973 and is organized pursuant to Chapter 28E, State Code of Iowa. Their service area is a six-county area, including Black Hawk County. Their major functions are:

- To increase the coordination of programs between the local governments.
- To promote regional and metropolitan long-range planning.
- To provide a forum for the discussion of common interest, problems and concerns of the local governments.
- To provide mechanism for legally reviewing federal and state grant and aid programs for the cities and counties in the region.

The Greater Cedar Valley Alliance provides leadership in Black Hawk County for creating jobs through expansion of existing businesses and industries, new business formation and relocation of companies. It is governed by a Board of Directors, representing a wide geographical representation.

### Special Attractions/Activities

The National Park Service has designated a large part of the northeast Iowa, including the Cedar Valley area, as a national heritage park area. This designation is for the express purpose of telling the story of America's agricultural and industrial revolution, resulting in significant tourism. Silos and Smokestacks is a private nonprofit organization, funded by city, state and federal funds and private contributions. Existing agricultural sites (National Cattle Congress, Rath facility, farms, etc.) are also being using as tourist attractions.

The county boasts of 8,600 park acres in 190 parks including Black Hawk Park, Hickory Hills Park, McFarlane Park, Paw Park, Hartman Reserve Nature Center, George Wyth State Park, Sturgis Park, Sullivan Park and Cedar Valley Nature Trail. The Cedar Valley Nature Trail winds along the Cedar River bottomlands between Waterloo and Cedar Rapids and has 106 miles of hard-surfaced trails, 10 miles of water trails and emerging network of soft trails. The Cedar Valley Lakes and Trails project is a cooperative venture which resulted in the creation of an 800-acre "Chain of Lakes" along a ten-mile Cedar River corridor in the Waterloo/Cedar Falls area.

The area also features a variety of performing arts centers including the Oster Regent Theatre, Waterloo Community Playhouse, Black Hawk Children's Theatre, Strayer-Wood Theatre at the University of Northern Iowa, Waterloo/Cedar Falls Symphony Orchestra, the UNI School of Music, Lampost Theatre and Coffee Co., the RiverLoop Ampitheatre and Hawse Auditorium at Hawkeye Community College. The University of Northern Iowa is home to 115,000 square foot Gallagher-Bluedorn Performing Arts Center. The main auditorium can accommodate 1,680 concert goers, with each seat less than 100 feet from the stage and no more than 30 degrees off center.

The Isle of Capri Casino and Hotel is a tropical paradise offering 950 slots, including more than 75 video poker machines, 27 table games, 3 restaurants, a feature bar, resort pool, spa and 600-seat entertainment venue. The hotel has 195 rooms and 27 suites.

## **Community and Economic Development (Continued)**

The Phelps Youth Pavilion is a 39,000 square foot children's museum filled with creative, hands-on experiences for children of all ages.

### **Other Attractions**

Antique Acres  
Behrens-Rapp Visitor Information Station  
Black Hawk Tennis Club  
Bluedorn Science Imaginarium  
Byrnes Park Tennis Center  
Cedar Valley Arboretum and Botanic Gardens  
Cedar Valley Soccer Complex  
Cedar Valley Sportsplex  
County Gentleman's Horse and Carriage Service, Inc.  
Farmers Markets  
Five Sullivan Brothers Convention Center  
Full Court Sports Academy  
George Wyth House  
Get Air Waterloo  
Grout Museum of History and Science  
Hansen's Farm Fresh Dairy  
Hawkeye Community College  
Hearst Center for the Arts and Sculpture Garden  
Ice House Museum  
John Deere Operations  
John Deere Tractor and Engine Museum  
John Livingston Display  
Little Red School House Museum  
Lost Island Adventure Park  
Mark's Park  
Marshall Center One-Room School

## Community and Economic Development (Continued)

### Other Attractions (Continued)

McLeod Center  
Metropolitan Chorale  
National Wrestling Hall of Fame/Dan Gable Museum  
Rensselaer Russell House Museum  
River Front Stadium  
RiverLoop Public Market Co-op  
RiverLoop, Arts Malls and Mark's Park  
Sullivan Brothers Iowa Veterans Museum  
Sunrise Exchange Club Children's Petting Zoo  
Tailgrass Prairie Center  
The Falls Aquatic Center  
UNI Botanical Center  
UNI-Dome  
UNI-Gallery of Art  
UNI Wellness/Recreation Center  
Victorian Home and Carriage House Museum  
Viking Pump Museum  
WaterHawks Ski Team  
Waterloo Black Hawks Hockey Team  
Waterloo Bucks Baseball Team  
Waterloo Center for the Arts  
Waterloo Municipal Band Concerts  
Young Arena

### Special Events

|      |                                            |
|------|--------------------------------------------|
| July | Accel Triathlon                            |
|      | Mayor's Downtown Fireworks Festival        |
|      | Iowa Shrine Bowl All-Star Football Classic |
|      | Iowa State Trap Shoot                      |

## **Community and Economic Development (Continued)**

### **Special Events (Continued)**

|           |                                         |
|-----------|-----------------------------------------|
| July      | Waterloo Open Golf Tournament           |
|           | Cedar Falls Bible Conference            |
| August    | Stem and Stein                          |
|           | Cedar Valley Pridefest                  |
|           | Iowa Irish Fest                         |
|           | Old Time Power Show                     |
| September | Artapalooza                             |
|           | Fall Harvest Festival                   |
|           | National Cattle Congress Fair           |
|           | Food Truck Festival                     |
|           | Iowa Oktoberfest                        |
| October   | Bands of America Iowa Regionals         |
| November  | Festival of Trees                       |
|           | Holiday Arts Festival                   |
|           | Holiday Hoopla                          |
|           | Iowa High School Football Playoffs      |
|           | Winter Wonder'loo                       |
|           | Waterloo Lights the Night               |
| December  | Battle of Waterloo Wrestling Tournament |
|           | Holiday Hoopla Continues                |
| January   | Iowa Boat, RV, and Vacation Show        |
|           | Cedar Valley Winterfest                 |

## **Community and Economic Development (Continued)**

### **Special Events (Continued)**

|          |                                                      |
|----------|------------------------------------------------------|
| February | Iowa Games Fat Bike Race                             |
|          | Eastern Iowa Home and Landscaping Show               |
| March    | Hawkeye Farm Show                                    |
|          | Eastern Iowa Sport Show                              |
|          | First Regional Robotics Competition                  |
|          | Funky Junk-A-Loo                                     |
|          | Maple Syrup Festival                                 |
|          | World's Greatest Spring Break for Kids               |
| April    | Taste of 'Loo                                        |
|          | USAW Folkstyle Nationals                             |
| May      | 4 <sup>th</sup> Street Cruise                        |
| June     | College Hill Arts Festival                           |
|          | My Waterloo Days Festival                            |
|          | Sturgis Falls Celebration/Cedar Basin Music Festival |

**Waterloo Community School District**  
**Insurance Schedule**  
**As of June 30, 2022**  
**(Unaudited)**

|                                                  | Coverage       | Deductible |
|--------------------------------------------------|----------------|------------|
| School Package Policy, EMC Insurance Companies   |                |            |
| Building and contents, all locations             | \$ 425,789,036 | \$ 50,000  |
| Errors and omissions liability                   | 2,000,000      | 10,000     |
| Workers' compensation                            | 500,000        | -          |
| General liability (per occurrence)               | 2,000,000      | -          |
| Personal injury liability                        | 2,000,000      | -          |
| Theft                                            | 20,000         | 1,000      |
| Computer fraud (crime)                           | 500,000        | 5,000      |
| Umbrella liability (stand alone)                 | 9,000,000      | 10,000     |
| Umbrella liability (group excess)                | 15,000,000     | -          |
| Employee dishonesty                              | 500,000        | 5,000      |
| Contract maintenance                             | 645,900        | -          |
| Cyber liability                                  | 3,000,000      | 25,000     |
| Owned Automobile Policy, EMC Insurance Companies |                |            |
| Liability (each accident)                        | 2,000,000      | -          |
| Automobile medical payments (each person)        | 2,000          | -          |
| Uninsured motorists bodily injury (each person)  | 1,000,000      | -          |
| Underinsured motorists (each person)             | 1,000,000      | -          |
| Comprehensive                                    | -              | 1,000      |
| Collision                                        | -              | 1,000      |
| Garage keepers                                   | 50,000         | 500        |

Source: District records

**Waterloo Community School District  
Waterloo, Iowa**

**Reports on Government Auditing  
Standards and the Uniform Guidance – Single Audit**

**June 30, 2022**

**Waterloo Community School District  
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**Waterloo Community School District**  
**Schedule of Expenditures of Federal Awards**  
**Year Ended June 30, 2022**

| Federal Agency/Pass Through Agency/Program Title                     | Federal<br>Assistance<br>Listing<br>Number | Expenditures         |
|----------------------------------------------------------------------|--------------------------------------------|----------------------|
| <b>U.S. Department of Agriculture</b>                                |                                            |                      |
| Through Iowa Department of Education                                 |                                            |                      |
| Child nutrition cluster                                              |                                            |                      |
| Commodities Programs (noncash assistance)                            | 10.555                                     | \$ 462,559           |
| School Breakfast                                                     | 10.553                                     | 1,456,604            |
| Summer Food Service                                                  | 10.559                                     | 239,505              |
| Type A Lunch                                                         | 10.555                                     | 5,412,521            |
| Fresh Fruit and Vegetable Program                                    | 10.582                                     | 179,732              |
| Total child nutrition cluster                                        |                                            | <u>7,750,921</u>     |
| COVID-19 Pandemic EBT Administrative Costs                           | 10.649                                     | 5,814                |
| Total U.S. Department of Agriculture                                 |                                            | <u>7,756,735</u>     |
| <b>Federal Communications Commission</b>                             |                                            |                      |
| Emergency Connectivity Fund                                          | 32.009                                     | 117,236              |
| <b>U.S. Department of Education</b>                                  |                                            |                      |
| Through Area Education Agency 267                                    |                                            |                      |
| Special education grants to states                                   | 84.027                                     | 600,458              |
| COVID-19 Special education grants to states                          | 84.027X                                    | 92,639               |
| Total special education cluster                                      |                                            | <u>693,097</u>       |
| Through Iowa Department of Education                                 |                                            |                      |
| Title I Grants to Local Educational Agencies                         | 84.010                                     | 4,383,140            |
| Title I - Migrant Education                                          | 84.011                                     | 95,673               |
| Career and Technical Education - Basic Grants to States              | 84.048                                     | 188,724              |
| Rehabilitation Services - Vocational Rehabilitation Grants to States | 84.126                                     | 167,024              |
| 21st Century Community Learning Centers                              | 84.287                                     | 155,325              |
| English Language Acquisition State Grants                            | 84.365                                     | 225,707              |
| Title IIA - Federal Teacher Quality Program                          | 84.367                                     | 501,645              |
| Grants for State Assessments and Related Activities                  | 84.369                                     | 51,188               |
| Student Support and Academic Enrichment Program (Title IV)           | 84.424                                     | 259,080              |
| Educaiton Stabilization Fund                                         |                                            |                      |
| COVID-19 Governors Emergency Education Relief                        | 84.425C                                    | 7,023                |
| COVID-19 Elementary and Secondary Schools Emergency Relief           | 84.425D                                    | 3,004,857            |
| COVID-19 American Rescue Plan                                        | 84.425U                                    | 16,493,486           |
| Total Educaiton Stabilization Fund                                   |                                            | <u>19,505,366</u>    |
| Total through Iowa Department of Education                           |                                            | <u>25,532,872</u>    |
| Total U.S. Department of Education                                   |                                            | <u>26,225,969</u>    |
| <b>U.S. Department of Health and Human Services</b>                  |                                            |                      |
| Through Iowa Department of Education                                 |                                            |                      |
| Foster Care Title IV-E                                               | 93.658                                     | 261                  |
| Through Tri-County Child and Family Development Council, Inc.        |                                            |                      |
| Headstart                                                            | 93.600                                     | 895,752              |
| Total U.S. Department of Health and Human Services                   |                                            | <u>896,013</u>       |
| Total federal expenditures                                           |                                            | <u>\$ 34,995,953</u> |

See notes to schedule of expenditures of federal awards.

**Waterloo Community School District**  
**Notes to the Schedule of Expenditures of Federal Awards**

**NOTE 1 – BASIS OF PRESENTATION**

The accompanying Schedule of Expenditures of Federal Awards includes the federal grant activity of the District and is presented on the modified accrual basis of accounting. The information in this Schedule is presented in accordance with the requirements of the Uniform Guidance. Therefore, some amounts presented in this Schedule may differ from amounts presented in, or used in the preparation of the basic financial statements.

**NOTE 2 – PASS-THROUGH GRANT NUMBERS**

All pass-through entities listed above use the same Assistance Listing numbers as the federal grantors to identify these grants and have not assigned any additional identifying numbers.

**NOTE 3 – INVENTORY**

Inventories of commodities donated by the U.S. Department of Agriculture are recorded at market value in the Food Service Fund as inventory. Revenue and expenditures are recorded when commodities are used.

**NOTE 4 – INDIRECT COST RATE**

The District did not elect to use the 10 percent de minimis indirect cost rate, as allowed under the Uniform Guidance.

**Report on Internal Control over Financial Reporting  
and on Compliance and Other Matters Based on an Audit  
of Basic Financial Statements Performed in Accordance  
with *Government Auditing Standards***

**Independent Auditor's Report**

To the School Board  
Waterloo Community School District  
Waterloo, Iowa

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States, the basic financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of Waterloo Community School District, Waterloo, Iowa, as of and for the year ending June 30, 2022, and the related notes to basic financial statements, which collectively comprise the District's basic financial statements and have issued our report thereon dated November 7, 2022.

**Report on Internal Control over Financial Reporting**

In planning and performing our audit of the basic financial statements, we considered the District's internal control over financial reporting (internal control) as a basis for designing the audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the basic financial statements, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, we do not express an opinion on the effectiveness of the District's internal control.

A deficiency in internal control exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A material weakness is a deficiency, or a combination of deficiencies, in internal control such that there is a reasonable possibility that a material misstatement of the District's basic financial statements will not be prevented, or detected and corrected, on a timely basis. A significant deficiency is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit, we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

## **Report on Compliance and Other Matters**

As part of obtaining reasonable assurance about whether the District's basic financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the basic financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit and, accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*. However, we noted certain immaterial instances of noncompliance or other matters that are described in part IV of the accompanying Schedule of Findings and Questioned Costs.

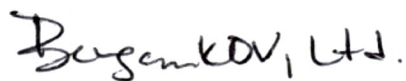
Comments involving statutory and other legal matters about the District's operations for the year ended June 30, 2022, are based exclusively on knowledge obtained from procedures performed during our audit of the basic financial statements of the District. Since our audit was based on tests and samples, not all transactions that might have had an impact on the comments were necessarily audited. The comments involving statutory and other legal matters are not intended to constitute legal interpretations of those statutes.

## **District's Responses to Findings**

Waterloo Community School District's responses to findings identified in our audit are described in the accompanying Schedule of Findings and Questioned Costs. Waterloo Community School District's responses were not subject to the auditing procedures applied in the audit of the basic financial statements and, accordingly, we express no opinion on them.

## **Purpose of this Report**

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the District's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.



St. Cloud, Minnesota  
November 7, 2022

**Report on Compliance for Each Major Federal Program  
and Report on Internal Control over Compliance Required by  
the Uniform Guidance**

**Independent Auditor's Report**

To the School Board  
Waterloo Community School District  
Waterloo, Iowa

**Report on Compliance for Each Major Federal Program**

**Opinion on Each Major Federal Program**

We have audited the compliance of Waterloo Community School District, Waterloo, Iowa with the types of compliance requirements identified as subject to audit *OMB Compliance Supplement* that could have a direct and material effect on the District's major federal program for the year ended June 30, 2022. The District's major federal program is identified in the summary of auditor's results section of the accompanying Schedule of Findings and Questioned Costs.

In our opinion, Waterloo Community School District complied, in all material respects, with the types of compliance requirements referred to above that could have a direct and material effect on its major federal program for the year ended June 30, 2022.

**Basis for Opinion on Each Major Federal Program**

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America (GAAS); the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States (*Government Auditing Standards*); and the audit requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Our responsibilities under those standards and the Uniform Guidance are further described in the Auditor's Responsibilities for the Audit of Compliance section of our report.

We are required to be independent of the District and to meet our other ethical responsibilities, in accordance with relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on compliance for each major federal program. Our audit does not provide a legal determination of the District's compliance with the compliance requirements referred to above.

**Responsibilities of Management for Compliance**

Management is responsible for compliance with the requirements referred to above and for the design, implementation, and maintenance of effective internal control over compliance with the requirements of laws, statutes, regulations, rules and provisions of contracts or grant agreements applicable to the District's federal programs.

## **Auditor's Responsibilities for the Audit of Compliance**

Our objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements referred to above occurred, whether due to fraud or error, and express an opinion on the District's compliance based on our audit. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS, *Government Auditing Standards*, and the Uniform Guidance will always detect material noncompliance when it exists. The risk of not detecting material noncompliance resulting from fraud is higher than for that resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material, if there is a substantial likelihood that, individually or in the aggregate, it would influence the judgment made by a reasonable user of the report on compliance about the District's compliance with the requirements of each major federal program as a whole.

In performing an audit in accordance with GAAS, *Government Auditing Standards*, and the Uniform Guidance, we

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the District's compliance with the compliance requirements referred to above and performing such other procedures as we considered necessary in the circumstances.
- Obtain an understanding of the District's internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control over compliance. Accordingly, no such opinion is expressed.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control over compliance that we identified during the audit.

## **Report on Internal Control over Compliance**

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. A material weakness in internal control over compliance is a deficiency, or combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. A significant deficiency in internal control over compliance is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

**Report on Internal Control over Compliance (Continued)**

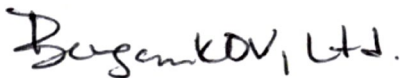
Our consideration of internal control over compliance was for the limited purpose described in Auditor's Responsibilities for the Audit of Compliance section and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies in internal control over compliance. Given these limitations, during our audit we did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses, as defined above. However, material weaknesses or significant deficiencies in internal control over compliance may exist that were not identified.

Our audit was not designed for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, no such opinion is expressed.

**Report on Schedule of Expenditures of Federal Awards Required by the Uniform Guidance**

We have audited the financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the District as of and for the year ended June 30, 2022, and the related notes to the financial statements, which collectively comprise District's basic financial statements. We issued our report thereon dated November 7, 2022, which contained unmodified opinions on those financial statements. Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the basic financial statements. The accompanying schedule of expenditures of federal awards is presented for purposes of additional analysis as required by the Uniform Guidance and is not a required part of the basic financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the schedule of expenditures of federal awards is fairly stated in all material respects in relation to the basic financial statements as a whole.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.



St. Cloud, Minnesota  
November 7, 2022

**Waterloo Community School District  
Schedule of Findings and Questioned Costs  
in Accordance with the Uniform Guidance**

**SECTION I – SUMMARY OF AUDITOR'S RESULTS**

**Financial Statements**

|                                                             |                                                                                                                                                                                                                                                                                       |
|-------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Type of auditor's report issued:                            | We issued an unmodified opinion on the fair presentation of the financial statements of the governmental activities, each major fund and the aggregate remaining fund information in accordance with accounting principles generally accepted in the United States of America (GAAP). |
| Internal control over financial reporting:                  |                                                                                                                                                                                                                                                                                       |
| • Material weakness(es) identified?                         | No                                                                                                                                                                                                                                                                                    |
| • Significant deficiency(ies) identified?                   | None reported                                                                                                                                                                                                                                                                         |
| Noncompliance material to basic financial statements noted? | No                                                                                                                                                                                                                                                                                    |

**Federal Awards**

|                                                                                                 |               |
|-------------------------------------------------------------------------------------------------|---------------|
| Type of auditor's report issued on compliance for major programs:                               | Unmodified    |
| Internal control over major programs:                                                           |               |
| • Material weakness(es) identified?                                                             | No            |
| • Significant deficiency(ies) identified?                                                       | None reported |
| Any audit findings disclosed that are required to be reported in accordance with 2 CFR 200.516? | No            |

**Identification of Major Programs**

|                                                                          |                              |
|--------------------------------------------------------------------------|------------------------------|
| Assistance Listing No:                                                   | 84.425                       |
| Name of Federal Program or Cluster:                                      | Education Stabilization Fund |
| Dollar threshold used to distinguish between type A and type B programs: | \$1,049,879                  |
| Auditee qualified as low risk auditee?                                   | No                           |

**Waterloo Community School District  
Schedule of Findings and Questioned Costs  
in Accordance with the Uniform Guidance**

**SECTION II – BASIC FINANCIAL STATEMENT FINDINGS**

None

**SECTION III – FEDERAL AWARD FINDINGS AND QUESTIONED COSTS**

None

**SECTION IV – OTHER FINDINGS RELATED TO STATUTORY REPORTING**

**IV-A-22 – Certified Budget**

We noted no instances where the expenditures for the year ended June 30, 2022, exceeded the amended certified budget.

**IV-B-22 – Questionable Expenditures**

We noted no expenditures that may not meet the requirements of public purpose as defined in an Attorney General's Opinion dated April 25, 1979.

**IV-C-22 – Travel Expense**

No expenditures of District money for travel expenses of spouse of District officials or employees were noted. No travel advances to District officials or employees were noted.

**IV-D-22 – Business Transactions**

No business transactions between the District and District officials or employees were noted.

**IV-E-22 – Restricted Donor Activity**

No transactions were noted between the District, District officials or District employees and restricted donors in compliance with Chapter 68B of the Code of Iowa

**IV-F-22 – Bond Coverage**

Surety bond coverage of District officials and employees is in accordance with statutory provisions. The amount of coverage should be reviewed annually to ensure that coverage is adequate for current operations.

**IV-G-22 – Board Minutes**

No transactions were found that we believe should have been approved in the Board minutes but were not.

**IV-H-22 – Certified Enrollment**

Finding – The following variances in the basic enrollment data certified to the Iowa Department of Education were noted:

- The District counted three students that were not enrolled.

**Waterloo Community School District  
Schedule of Findings and Questioned Costs  
in Accordance with the Uniform Guidance**

**SECTION IV – OTHER FINDINGS RELATED TO STATUTORY REPORTING  
(CONTINUED)**

**IV-H-22 – Certified Enrollment (Continued)**

The error resulted in the District over-reporting by 3 students.

Auditor's Recommendation – The District should review procedures to ensure accurate counts are taken throughout the year and accurate enrollment data is certified to the Iowa Department of Education.

District's Response and Corrective Action Plan – The District will contact the Iowa Department of Education and Iowa Department of Management notifying them of the above changes. The District will continue to monitor reconciliations of District information to information certified to the Iowa Department of Education.

Auditor's Conclusion – Response accepted.

**IV-I-22 – Supplementary Weighting**

There were no variances noted in the supplementary weighting data certified to the Iowa Department of Education.

**IV-J-22 – Deposits and Investments**

No instances of noncompliance with the deposit and investment provisions of Chapter 12B and 12C of the Code of Iowa and the District's investment policy were noted.

**IV-K-22 – Certified Annual Report**

The Certified Annual Report was certified timely to the Iowa Department of Education.

**IV-L-22 – Categorical Funding**

No instances were found of categorical funding being used to supplant rather than supplement other funds.

**IV-M-22 – Statewide Sales, Services, and Use Tax**

No instances of noncompliance with the allowable use of the statewide sales, services, and use tax revenue provided in Chapter 423F.3 of the Code of Iowa were noted.

**Waterloo Community School District  
Schedule of Findings and Questioned Costs  
in Accordance with the Uniform Guidance**

**SECTION IV – OTHER FINDINGS RELATED TO STATUTORY REPORTING  
(CONTINUED)**

**IV-M-22 – Statewide Sales, Services, and Use Tax (Continued)**

Pursuant to Chapter 423F.5 of the Code of Iowa, the annual audit is required to include certain reporting elements related to the statewide sales, services and use tax revenue. Districts are required to include these reporting elements in the Certified Annual Report (CAR) submitted to the Iowa Department of Education. For the year ended June 30, 2022, the District reported the following information regarding the statewide sales, services and use tax revenue in the District's CAR:

|                                    |               |               |
|------------------------------------|---------------|---------------|
| Beginning balance                  |               | \$ 23,234,373 |
| Revenue                            |               |               |
| Sales tax revenue                  | \$ 13,830,461 |               |
| Other local revenue                | 115,654       |               |
| Federal revenue                    | 834,079       | 14,780,194    |
| Expenditures/transfers out         |               |               |
| School infrastructure construction | 19,775,442    |               |
| Other                              | 186,335       |               |
| Transfer to other funds            |               |               |
| School nutrition fund              | 162,326       |               |
| Debt service fund                  | 9,115,911     | 29,240,014    |
| Ending balance                     |               | \$ 8,774,553  |

For the year ended June 30, 2022, the District did not reduce any levies as a result of the moneys received under Chapter 423E or 423F of the Code of Iowa.

**IV-N-22 – Deficit Balances**

There were no student activity accounts with deficit balances at June 30, 2022.

**SECTION V – PRIOR YEAR FINDINGS AND QUESTIONED COSTS**

During the course of our engagement, we proposed a material audit adjustment that would not have been identified as a result of the District's existing internal control system and, therefore, could have resulted in material misstatements of the District's basic financial statements.

In order to ensure basic financial statements were free from material misstatements, an audit adjustment was required to properly adjust capital assets.

**CORRECTIVE ACTION TAKEN**

The District ensured all material entries were recorded prior to the audit.